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BANKS ACT 94 OF 1990

(English text signed by the State President)

[Assented To: 28 June 1990]

[Commencement Date: 1 February 1991 - unless otherwise indicated]

as amended by:

Deposit-taking Institutions Amendment Act 81 of 1991

Government Notice R1765/ GG 13435/19910730

Deposit-taking Institutions Amendment Act 42 of 1992

Safe Deposit of Securities Act 85 of 1992

Deposit-taking Institutions Amendment Act 9 of 1993

Transfer of Walvis Bay to Namibia Act 203 of 1993

Proclamation No 132/ GG 15900/ 19940727

Banks Amendment Act 26 of 1994

Banks Amendment Act 55 of 1996

Banks Amendment Act 36 of 2000

Banks Amendment Act 19 of 2003

Banks Amendment Act 20 of 2007

[with effect from 1 January 2008]

Co-operative Banks Act 40 of 2007

[with effect from 1 August 2008 - GN 818 / GG 31292 / 20080801]

Taxation Laws Amendment Act 17 of 2009

Banks Amendment Act 22 of 2013

[with effect from 10 December 2013]

[with effect from 10 December 2014]

Banks Amendment Act 3 of 2015

[with effect from 29 June 2015]

Financial Sector Regulation Act 9 of 2017

[with effect from 1 April 2018 - Gen N 169 / GG 41549 / 20180329]

[with effect from 28 September 2018 - GN 1019 / GG 41947 / 20180928]

[with effect from 1 April 2023 - GN 3187 / GG 48291 / 20230324]

Financial Matters Amendment Act 18 of 2019

[with effect from 23 May 2019]

Financial Sector and Deposit Insurance Levies (Administration) and Deposit Insurance Premiums Act 12 of 2022

[with effect from 1 April 2023 - GN 3188 / GG 48291 / 20230324]

Financial Sector Laws Amendment Act 23 of 2021

[with effect from 1 June 2023 - GN 3202 / GG 48294 / 20230324]

[Editor's note: The Act has been amended by the substitution for the expression "Registrar", wherever it occurs, of the expression "Authority" by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

ACT

To provide for the regulation and supervision of the business of public companies taking deposits from the public; and to provide for matters connected therewith.

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CHAPTER I

INTERPRETATION AND APPLICATION OF ACT

1. Definitions

(1) In this Act, unless the context otherwise indicates-

“additional tier 1 capital” means-

- (a) those shares that do not represent the most subordinated claim in liquidation but which shares are subordinated to depositors, general creditors and any relevant subordinated debt, and which shares-
 - (i) do not constitute common equity tier 1 capital; and
 - (ii) comply with such further criteria or conditions as may be prescribed;
- (b) such component of, percentage of or component and percentage of minority interest in specified issued instruments or shares, and arising from the consolidation of accounts and calculated in such a manner, as may be prescribed;
- (c) capital obtained through the issue of prescribed categories of preferred securities;
[Definition of “additional tier 1 capital” inserted by s. 1 of Act 22/2013]

“additional tier 1 unimpaired reserve funds” means-

- (a) share premium arising from the issue of instruments or shares constituting additional tier 1 capital;
- (b) such component of, percentage of or component and percentage of accumulated other comprehensive income and other disclosed reserves arising from compliance with Financial Reporting Standards as may be prescribed;
[Definition of “additional tier 1 unimpaired reserve funds” inserted by s. 1 of Act 22/2013]

“agency” in relation to a bank, means a right granted to a person by that bank to receive on its behalf from its clients any deposits, money due to it or applications for loans or advances, or to make payments to such clients on its behalf;

“allocated capital and reserve funds” means such amount of qualifying capital and reserve funds as may be approved and assigned by the board of directors of a bank as capital and reserve funds designated to provide for the risks pertaining to the particular nature of such bank’s business as contemplated in section 70(2), 70(2A) or 70(2B), as the case may be;
[Definition of “allocated capital and reserve funds” inserted by s. 1 of Act 20/2007]

“Authority” means the Prudential Authority established in terms of section 32 of the Financial Sector Regulation Act;
[Definition of “Authority” inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“bank” means a public company registered as a bank in terms of this Act;
[Definition of “bank” inserted by s. 1 of Act 9/93 and substituted by s. 1 of Act 26/94]

“banking group” means a group consisting of two or more persons, whether natural or juristic persons, that are predominantly engaged in financial activities and one or more of which is a bank and-

- (a) each of which persons is an associate, as defined in section 37(7), of any one of the others; or
- (b) which persons are so interconnected that should one of them experience financial difficulties, another one or all of them would likely be adversely affected, irrespective of whether any of those persons is domiciled in the same country as any of the others;

[Definition of “banking group” inserted by s. 1 of Act 36/2000]

“Basel Committee on Banking Supervision” means a committee of the Bank for International Settlements, the secretariat of which consists of supervisors from central banks and other authorities of member countries and is located in Basel, Switzerland;

[Definition of “Basel Committee on Banking Supervision” inserted by s. 1 of Act 22/2013]

“branch” means an institution that is not a public company as contemplated in section 11(1), but by means of which a foreign institution conducts the business of a bank in the Republic under an authorization referred to in section 18A;
[Definition of “branch” inserted by s. 1 of Act 36/2000]

“branch of a bank” means an institution by means of which a bank conducts the business of a bank outside the Republic;
[Definition of “branch of a bank” inserted by s. 1 of Act 36/2000]

“board of review”

[Definition of “board of review” amended by s. 1 of Act 36/2000 and deleted by s. 290 of Act 9/2017 w.e.f. 28 September 2018]

“chief executive officer”-

- (a) in relation to a bank, means a person who, either alone or jointly with one or more other persons, is responsible under the direct authority of the board of directors of the bank for the conduct of the business of the bank;
- (b) in relation to a branch, means a person who, either alone or jointly, with one or more other persons, is responsible for the conduct of the business of the branch;

[Definition of “chief executive officer” substituted by s. 1 of Act 20/2007]

“chief representative officer” means the person in charge of a representative office;

“close relative”, in relation to any person, means-

- (a) a spouse;
- (b) a child, stepchild, parent or stepparent;
- (c) the spouse of any of the persons mentioned in paragraph (b);

[Definition of “close relative” substituted by s. 1 of Act 19/2003]

“Commission” means the Companies and Intellectual Property Commission established by section 185 of the Companies Act;

[Definition of “Commission” inserted by s. 1 of Act 22/2013]

“Commissioner” means the Commissioner appointed in terms of section 189 of the Companies Act;

[Definition of “Commissioner” inserted by s. 1 of Act 22/2013]

“common equity tier 1 capital” means-

- (a) those shares that represent the most subordinated claim in liquidation, and which shares-
 - (i) absorb the first and proportionately greatest share of any losses as the losses occur;
 - (ii) absorb losses proportionately and *pari passu* on a going concern basis; and
 - (iii) comply with such further criteria or conditions as may be prescribed;
- (b) such component of, percentage of or component and percentage of minority interest in specified issued instruments or shares, and arising from the consolidation of accounts and calculated in such a manner, as may be prescribed,

but does not include shares issued in pursuance of the capitalisation of reserves resulting from a revaluation of assets;

[Definition of “common equity tier 1 capital” inserted by s. 1 of Act 22/2013]

“common equity tier 1 unimpaired reserve funds” means-

- (a) share premium arising from the issue of instruments or shares constituting common equity tier 1 capital;
- (b) retained earnings;
- (c) such component of, percentage of or component and percentage of accumulated other comprehensive income and other disclosed reserves arising from compliance with Financial Reporting Standards, as may be prescribed;

[Definition of “common equity tier 1 unimpaired reserve funds” inserted by s. 1 of Act 22/2013]

“Companies Act” means the Companies Act, 2008 (Act No. 71 of 2008);

[Definition of “Companies Act” substituted by s. 1 of Act 22/2013]

“company” means a company under the Companies Act;

“conduct standard” has the same meaning ascribed to it in terms of section 1(1) of the Financial Sector Regulation Act;

[Definition of “conduct standard” inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“consolidating supervisor” means-

- (a) in relation to a foreign supervisor, the supervisor that is responsible for the regulation and supervision, on a consolidated basis, of a foreign institution that is incorporated in that foreign jurisdiction and which conducts a business similar to the business of a bank or controlling company; or
- (b) the Authority, in terms of his or her functions and responsibilities to regulate and supervise a bank, controlling company or banking group on a consolidated basis;

[Definition of “consolidating supervisor” inserted by s. 1 of Act 20/2007]

“control”, with reference to the control of a company, includes the meaning as provided for in section 2(2) of the Companies Act;

[Definition of “control” inserted by s. 1 of Act 22/2013]

“controlling company” means a public company registered in terms of this Act as a controlling company in respect of a bank;

“co-operative” means a co-operative incorporated in terms of the Co-operatives Act, 2005 (Act No. 14 of 2005);

[Definition of “co-operative” substituted by s. 1 of Act 22/2013]

“corporate governance”, in relation to the management of a bank or a controlling company, includes all structures, processes, policies, systems and procedures whereby the bank or controlling company is governed;

[Definition of “corporate governance” inserted by s. 1 of Act 19/2003]

“deposit”, when used as a noun, means an amount of money paid by one person to another person subject to an agreement in terms of which-

- (a) an equal amount or any part thereof will be conditionally or unconditionally repaid, either by the person to whom the money has been so paid or by any other person, with or without a premium, on demand or at specified or unspecified dates or in circumstances agreed to by or on behalf of the person making the payment and the person receiving it; and
- [Para. (a) substituted by s. 1 of Act 55/96]
- (b) no interest will be payable on the amount so paid or interest will be payable thereon at specified intervals or otherwise, notwithstanding that such payment is limited to a fixed amount or that a transferable or non-transferable certificate or other instrument providing for the repayment of such amount *mutatis mutandis* as contemplated in paragraph (a) or for the payment of interest on such amount *mutatis mutandis* as contemplated in paragraph (b) is issued in respect of such amount; but does not include an amount of money-
 - (i) paid as an advance, or as part payment, in terms of a contract for the sale, letting and hiring or other provision of movable or immovable property or of services, and which is repayable only in the event of-
 - (aa) that property or those services not in fact being sold, let and hired or otherwise provided;
 - (bb) the fulfilment of a resolutive condition forming part of that contract; or
 - (cc) the non-fulfilment of a suspensive condition forming part of that contract;
 - (ii) paid as security for the performance of a contract or as security in respect of any loss which may result from the non-performance of a contract;
 - (iii) without derogating from the provisions of paragraph (ii), paid as security for the delivery up or return of any movable or immovable property, whether in a particular state of repair or otherwise;
 - (iv) paid by a holding company to its subsidiary, or by a subsidiary to its holding company, or by one subsidiary to another subsidiary of the same holding company;
 - (v) paid by a person who, at the time of such payment-
 - (aa) is a close relative of the person to whom such money is paid;
 - (bb) is a director or executive officer of the person to whom such money is paid; or
 - (cc) is a close relative of a director or executive officer of the person to whom such money is paid;
 - (vi) paid by any person to a registered long-term insurer as defined in section 1 of the Long-term Insurance Act, 1998 (Act No. 52 of 1998), as a premium in respect of any kind of policy defined or referred to in the Long-term

Insurance Act, 1998, and under which policy that long-term insurer assumes, in return for such premium, such obligation as is described in the Long-term Insurance Act, 1998;

[Subpara. (vi) amended by GN R1765/91 and substituted by s. 1 of Act 20/2007]

(vii) paid to a fund registered or provisionally registered under section 4 of the Pension Funds Act, 1956 (Act No. 24 of 1956), as a contribution, contemplated in section 13A of that Act, by or on behalf of a member of that fund; or

(viii) paid to a benefit fund, as defined in section 1 of the Income Tax Act, 1962 (Act No. 58 of 1962), as a contribution or a subscription by or on behalf of a member of that fund,

[Subpara. (viii) inserted by s. 1 of Act 42/92]

(ix) paid by any person to a registered short-term insurer as defined in section 1 of the Short-term Insurance Act, 1998 (Act No. 53 of 1998), as a premium in respect of any kind of policy defined or referred in the Short-term Insurance Act, 1998, and under which policy that short-term insurer assumes, in return for such premium, the obligation described in the Short-term Insurance Act, 1998;

[Subpara. (ix) inserted by s. 1 of Act 20/2007]

and **“deposit”** when used as a verb, or any derivative thereof, has a corresponding meaning;

“deposit-taking institution”

[Definition of “deposit-taking institution” deleted by s. 1 of Act 9/93]

“director” has the meaning ascribed to that word in section 1 of the Companies Act, and includes an executive director and a non-executive director, unless expressly stated otherwise;

[Definition of “director” inserted by s. 1 of Act 19/2003 and substituted by s. 1 of Act 22/2013]

“division”, in relation to a bank, means a business unit or section of that bank that conducts its business-

(a) under a name that includes the word “bank” or any derivative thereof, or the words “deposit-taking institution” or “building society” or any derivative thereof; and

(b) under the instruction and within the governance structures of the bank concerned;”;

[Definition of “division” inserted by s. 1 of Act 20/2007]

“domestic shareholder”, in relation to a bank or controlling company, means a shareholder of the bank or controlling company-

(a) who is resident in the Republic;

(b) which is a company controlled by a person or persons who is or are resident in the Republic or, in the case of a juristic person or persons, was or were formed, established or incorporated by or under a law of the Republic;

[Para. (b) substituted by s. 1 of Act 22/2013]

(c) which is a juristic person other than a company and was formed, established or incorporated by or under a law of the Republic, excluding a pension fund registered in terms of the Pension Funds Act, 1956 (Act No. 24 of 1956), where the head office of the association which carries on the business of that fund, or of every employer who is a party to that fund, is outside the Republic; or

(d) that is a person belonging to a category of persons recognized by the Authority as domestic shareholders for the purposes of this Act;

“eligible institution” means an external credit assessment institution or an export credit agency that meets the minimum requirements as prescribed and which institution or agency has been approved in writing by the Authority;

[Definition of “eligible institution” inserted by s. 1 of Act 20/2007]

“employee in charge of a risk management function”, in relation to a bank, means that employee of the bank who is ultimately responsible for the management of one or more of the following types of risk to which the bank is exposed, namely-

(a) solvency risk;

(b) liquidity risk;

(c) credit risk;

(d) currency risk;

- (e) market risk (position risk);
- (f) interest rate risk;
- (g) counterparty risk;
- (h) technological risk;
- (i) operational risk;
- (j) compliance risk; or

- (k) any other risk regarded as material by that bank;

[Definition of “employee in charge of a risk management function” inserted by s. 1 of Act 55/96 and substituted by s. 1 of Act 19/2003]

“executive officer”, in relation to any institution-

- (a) that is not a bank, includes any manager, the compliance officer, the secretary of the company and any director who is also an employee of such an institution;
- (b) that is a bank, includes any employee who is a director or who is in charge of a risk management function of the bank, the compliance officer, secretary of the company or any manager of the bank who is responsible, or reports, directly to the chief executive officer of the bank;

[Definition of “executive officer” substituted by s. 1 of Act 26/94, s. 1 of Act 55/96 and s. 1 of Act 19/2003]

“external credit assessment” means an assessment or a rating issued by an eligible institution, which assessment or rating-

- (a) relates to the ongoing ability of a person or a country to repay amounts due and payable by the said person or the said country, including any principal amount and related interest; and
- (b) meets such requirements as may be prescribed;

[Definition of “external credit assessment” inserted by s. 1 of Act 20/2007]

“fellow subsidiary”, in relation to a company, means any other company which is a subsidiary of the holding company of which the first-mentioned company is a subsidiary;

“Financial Sector Regulation Act” means the Financial Sector Regulation Act, 2017;

[Definition of “Financial Sector Regulation Act” inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“financial statements” means annual financial statements referred to in section 30 of the Companies Act;

[Definition of “financial statements” substituted by s. 1 of Act 22/2013]

“foreign shareholder”, in relation to a bank or controlling company, means a shareholder of such bank or controlling company that is not a domestic shareholder;

“general public” does not include a bank;

“group of banks” means a group consisting of two or more banks which have the same holding company, and such holding company;

“holding company” has the meaning ascribed to that expression in section 1 of the Companies Act;

[Definition of “holding company” substituted by s. 1 of Act 22/2013]

“host supervisor” means-

- (a) in respect of a foreign supervisor, the supervisor that is responsible for the regulation and supervision of any branch, subsidiary, joint venture or related entity of a bank or controlling company, incorporated or operating within its jurisdiction; or
- (b) the Authority, in terms of his or her functions and responsibilities to regulate or supervise a foreign institution that is incorporated and conducts business similar to the business of a bank in a foreign country and which has been authorised and registered to conduct the business of a bank within the Republic;

[Definition of “host supervisor” inserted by s. 1 of Act 20/2007]

“hybrid-debt instrument” means a financial instrument that combines certain features of equity financial instruments and debt financial instruments;

[Definition of “hybrid-debt instrument” inserted by s. 1 of Act 20/2007]

“Land Bank” means the Land and Agricultural Bank of South Africa;

“liquid assets”

[Definition of “liquid assets” amended by s. 1 of Act 9/93, s. 1 of Act 36/2000 and s. 1 of Act 19/2003 and substituted by the definitions of “level one high-quality liquid assets” and “level two high-quality liquid assets” in s. 1 of Act 22/2013]

“level one high-quality liquid assets” means-

- (a) cash;
- (b) gold coin and bullion;
- (c) such percentage or amount of central bank reserves as may be determined by the Governor of the Reserve Bank from time to time;
- (d) marketable securities representing claims on or claims guaranteed by sovereigns, central banks, non-central government public sector entities, the Bank for International Settlements, the International Monetary Fund, the European Commission or multilateral development banks that comply with such requirements or such conditions as may be prescribed;

[Definition of “level one high-quality liquid assets” inserted by s. 1 of Act 22/2013 as substitution for the definition of “liquid assets”]

“level two high-quality liquid assets” means-

- (a) marketable securities representing claims on or claims guaranteed by sovereigns, central banks, non-central government public sector entities or multilateral development banks that comply with such requirements or such conditions as may be prescribed;
- (b) such corporate bonds that comply with such requirements or such conditions as may be prescribed;

[Definition of “level two high-quality liquid assets” inserted by s. 1 of Act 22/2013 as substitution for the definition of “liquid assets”]

“Minister” means the Minister of Finance;

“money broker”

[Definition of “money broker” deleted by s. 1 of Act 42/92]

“money broking”

[Definition of “money broking” deleted by s. 1 of Act 42/92]

“mutual bank” means a mutual bank as defined in section 1(1) of the Mutual Banks Act, 1993 (Act No. 124 of 1993);

[Definition of “mutual bank” inserted by s. 1 of Act 26/94]

“mutual building society”

[Definition of “mutual building society” deleted by s. 1 of Act 26/94]

“person” includes any partnership;

“prescribed”

[Definition of “prescribed” deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“primary share capital”

[Definition of “primary share capital” inserted by s. 1 of Act 36/2000, substituted by s. 1 of Act 20/2007 and deleted by s. 1 of Act 22/2013]

“primary unimpaired reserve funds”

[Definition of “primary unimpaired reserve funds” inserted by s. 1 of Act 36/2000, substituted by s. 1 of Act 20/2007 and deleted by s. 1 of Act 22/2013]

“prudential standard” has the same meaning ascribed to it in terms of section 1(1) of the Financial Sector Regulation Act;

[Definition of “prudential standard” inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“public” includes a juristic person;

“public company” has the meaning ascribed to that expression in section 1 of the Companies Act, and includes a national state-owned company as envisaged in paragraph (a) of the definition of “state-owned company” in section 1 of the Companies Act;

[Definition of “public company” inserted by s. 1 of Act 22/2013 and substituted by s. 10 of Act 18/2019]

“qualifying capital and reserve funds” means the net sum of capital and reserve funds required to be held by a bank, calculated and determined in accordance with the provisions of section 70(2), 70(2 A) or 70(2B), as the case may be, having regard to the nature of such bank’s business;

[Definition of “qualifying capital and reserve funds” inserted by s. 1 of Act 20/2007]

“Register” means the Financial Sector Information Register referred to in section 256 of the Financial Sector Regulation Act;

[Definition of “Register” inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“Registrar”

[Definition of “Registrar” deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“Authority of Companies”

[Definition of “Authority of Companies” deleted by s. 1 of Act 22/2013]

“regulation” means a regulation made under section 90;

“Regulations relating to Banks” means the Regulations relating to Banks as amended or re-enacted from time to time under section 90;

[Definition of “Regulations relating to Banks” inserted by s. 1 of Act 36/2000]

“Regulations relating to Banks’ Financial Instrument Trading”

[Definition of “Regulations relating to Banks’ Financial Instrument Trading” inserted by s. 1 of Act 36/2000 and deleted by s. 1 of Act 20/2007]

“Regulations relating to branches” means the Regulations titled ‘Conditions for the conducting of the business of a bank by a foreign institution by means of a branch in the Republic’ published by Government Notice No. 30627 of 1 January 2008, and amended from time to time;

[Definition of “Regulations relating to branches” inserted by s. 1 of Act 19/2003 and substituted by s. 1 of Act 22/2013]

“representative office”, in relation to-

- (a) a foreign institution referred to in section 34(1), means premises situated within the Republic and from which the business referred to in the said section 34(1) and conducted by such foreign institution in the other country referred to in that section, is promoted or assisted in any way; or
- (b) the establishment by a bank of a representative office outside the Republic as contemplated in section 52(1)(e), means premises situated outside the Republic and from which the business conducted by such bank within the Republic in terms of this Act is promoted or assisted in any way;

“Republic”, for the purposes of the definition of “domestic shareholder”, includes any state the territory of which formerly formed part of the Republic;

“Reserve Bank” means the South African Reserve Bank;

“secondary capital”

[Definition of “secondary capital” inserted by s. 1 of Act 36/2000, substituted by s. 1 of Act 20/2007 and deleted by s. 1 of Act 22/2013]

“secondary unimpaired reserve funds”

[Definition of “secondary unimpaired reserve fund” inserted by s. 1 of Act 36/2000, substituted by s. 1 of Act 20/2007 and deleted by s. 1 of Act 22/2013]

“securitisation scheme” means a synthetic securitisation scheme or a traditional securitisation scheme as defined in Government Notice R. 681 published in *Government Gazette* No. 26415 on 4 June 2004;

[Definition of “securitisation scheme” inserted by s. 1 of Act 20/2007]

“subsidiary” means a subsidiary provided for in section 3 of the Companies Act;

[Definition of “subsidiary” substituted by s. 1 of Act 22/2013]

“tertiary capital”

[Definition of “tertiary capital” inserted by s. 1 of Act 36/2000, substituted by s. 1 of Act 20/2007 and deleted by s. of Act 22/2013]

“the business of a bank” means-

- (a) the acceptance of deposits from the general public (including persons in the employ of the person so accepting deposits) as a regular feature of the business in question;
[Para. (a) substituted by s. 1 of Act 9/93 and s. 1 of Act 26/94]
- (b) the soliciting of or advertising for deposits;
- (c) the utilization of money, or of the interest or other income earned on money, accepted by way of deposit as

contemplated in paragraph (a)-

- (i) for the granting by any person, acting as lender in such person's own name or through the medium of a trust or a nominee, of loans to other persons;
- (ii) for investment by any person, acting as investor in such person's own name or through the medium of a trust or a nominee; or
- (iii) for the financing, wholly or to any material extent, by any person of any other business activity conducted by such person in his or her own name or through the medium of a trust or a nominee;
[Para. (c) substituted by s. 1 of Act 19/2003]
- (d) the obtaining, as a regular feature of the business in question, of money through the sale of an asset, to any person other than a bank, subject to an agreement in terms of which the seller undertakes to purchase from the buyer at a future date the asset so sold or any other asset; or
- (e) any other activity which the Authority has, after consultation with the Governor of the Reserve Bank, by notice in the *Gazette* declared to be the business of a bank,

but does not include-

- (aa) the acceptance of a deposit by a person who does not purport to accept deposits on a regular basis and who has not advertised for or solicited such deposit: Provided that-
 - (i) the person accepting deposits as contemplated in this paragraph shall not at any time hold deposits from more than twenty persons or deposits amounting in the aggregate to more than R500 000; and
 - (ii) a person and any person controlled directly or indirectly by the first-mentioned person (whether such control is through shareholding or otherwise) or managed by such first-mentioned person, and a subsidiary of such last-mentioned person, who accepts deposits as contemplated in this paragraph shall for the purposes of subparagraph (i) of this proviso be deemed to be one person;
[Item (aa) amended by s. 1 of Act 19/2003]
- (bb) the borrowing of money from its members by a co-operative subject to such conditions as may be prescribed;
- (cc) any activity of a public sector, governmental or other institution, or of any person of category of persons, designated by the Authority, with the approval of the Minister, by notice in the *Gazette*, provided such activity is performed in accordance with such conditions as the Authority may with the approval of the Minister determine in the relevant notice;
- (dd) any activity contemplated in paragraph (a), (b) or (c)-
 - (i) performed by any institution registered or established in terms of, by or under any other Act of Parliament and designated by the Minister by notice in the *Gazette*; or
 - (ii) performed in terms of any scheme authorized and controlled by, and conducted in accordance with the provisions of, any other Act of Parliament and so designated by the Minister, provided such activity is performed in accordance with such conditions as the Minister may determine in the relevant notice;
- (ee)
[Subpara. (ee) substituted by s. 1 of Act 42/92 and deleted by s. 1 of Act 20/2007]
- (ff) the effecting, subject to the provisions of any other Act of Parliament and to such conditions, if any, as the Authority may from time to time determine by notice in the *Gazette*, of a money lending transaction directly between a lender and a bank as borrower through the intermediation of a third party who does not act as a principal to the transaction (hereinafter in this paragraph referred to as the agent), provided the funds to be lent in terms of the money lending transaction are entrusted by the lender to the agent subject to a written contract of agency in which, in addition to any other terms thereof, at least the following matters shall be recorded:
 - (i) Confirmation that the agent acts as the agent of the lender; and
 - (ii) that the lender assumes, except in so far as there may in law be a right of recovery against the agent, all risks connected with the administration of the entrusted funds by the agent, as well as the responsibility to ensure that the agent executes the instructions as recorded in the written contract of agency; or
[Para. (ff) substituted by s. 1 of Act 42/92, s. 1 of Act 9/93 and s. 1 of Act 55/96]

(gg) the activities, set forth in subparagraphs (A) and (B) hereunder, of a person (hereinafter in this paragraph referred to as the mandatory) that-

(i) is a natural or juristic person registered in terms of, or a juristic person established by or under, any other Act of Parliament and the main business activities of whom or of which are regulated or controlled in terms of, by or under such other Act of Parliament; and

(ii) has been designated by the Authority by notice in the *Gazette*, which mandatory, for purposes of effecting a money lending transaction with a bank-

(A) accepts money from the mandator in terms of a prescribed contract of mandate; and

(B) in the execution of the mandate, and subject to such conditions as the Authority may determine in the notice referred to in subparagraph (ii) above, deposits such money into an account maintained by the mandatory with a bank, irrespective as to whether or not such money is so deposited together with money so accepted by the mandatory from other mandators;

[Para. (gg) added by s. 1 of Act 55/96]

“**this Act**” includes the regulations;

“**tier 2 capital**” means-

(a) those instruments or shares that are subordinated to depositors and general creditors and which instruments or shares-

(i) do not constitute common equity tier 1 or additional tier 1 capital; and

(ii) comply with such further conditions as may be prescribed;

(b) a prescribed percentage of capital obtained through the issue, with the prior written approval of the Authority and in accordance with conditions approved by the Authority in writing, and such further conditions, if any, as may be prescribed, of ordinary shares, preference shares or other capital instrument issued in pursuance of the capitalisation of reserves resulting from a revaluation of assets;

(c) such component of, percentage of or component and percentage of minority interest in specified issued instruments or shares, and arising from the consolidation of accounts and calculated in such a manner as may be prescribed;

(d) capital obtained through the issue of instruments or shares constituting common equity tier 1 capital or additional tier 1 capital where the relevant proceeds of such instruments or shares, or any portion thereof, are excluded from qualifying common equity tier 1 capital or additional tier 1 capital as a result of a prescribed limit;

[Definition of “tier 2 capital” inserted by s. 1 of Act 22/2013]

“**tier 2 unimpaired reserve funds**” means-

(a) any premium arising from the issue of instruments or shares that constitute tier 2 capital;

(b) a prescribed percentage of general provision, general loan loss reserve or other reserve held against unidentified and unforeseen losses that comply with such conditions as may be prescribed;

[Definition of “tier 2 unimpaired reserve funds” inserted by s. 1 of Act 22/2013]

“**Tribunal**” means the Financial Services Tribunal established in terms of section 219 of the Financial Sector Regulation Act;

[Definition of “Tribunal” inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

“**undesirable practice**” means any act prohibited, or any failure to perform any act enjoined, by section 78(1), and, in relation to a particular bank or banks specified in a notice referred to in section 78(2)(b) or all banks, includes any act which in terms of a notice referred to in section 78(2) constitutes an undesirable practice for such particular bank, such specified banks or all banks, as the case may be;

“**wholly owned subsidiary**” means a wholly owned subsidiary as defined in section 1 of the Companies Act.

(1A)

(a) In order to determine, for the purposes of this Act, whether a particular person is a fit and proper person to hold the office of a director or an executive officer of a bank or a controlling company, the Authority shall have regard to the following qualities, in so far as they are reasonably determinable, of the person concerned:

(i) The general probity of that person;

[Subpara. (i) substituted by s. 1 of Act 19/2003]

- (ii) the competence and soundness of judgement of that person for the fulfilment of the responsibilities of the office in question; and

[Subpara. (ii) substituted by s. 1 of Act 19/2003]

- (iii) the diligence with which the person concerned is likely to fulfil those responsibilities.

- (b) For the purposes of and without prejudice to the generality of the provisions of paragraph (a), the Authority may have regard to the previous conduct and activities of the person concerned in business or financial matters and, in particular, to any evidence that such person-

- (i) was convicted of the offence of fraud or any other offence of which dishonesty, or the commission of violence, was an element;

- (ii) has contravened the provisions of any law appearing to the Authority to be designed for protecting members of the public against financial loss due to the dishonesty or incompetence of, or malpractices by, persons engaged in-

- (aa) the provision of banking, insurance, investment or other financial services; or

- (bb) the management of juristic persons, or against financial loss due to activities relating to insolvency;

- (iii) was a director, who has been indicated, as contemplated in section 421(2) of the Companies Act, 1973 (Act 61 of 1973), as the effective cause of a particular company having been unable to pay its debts;

[Subpara. (iii) substituted by s. 1 of Act 22/2013]

- (iv) had taken part in any business practices that, in the opinion of the Authority, were deceitful, prejudicial or otherwise improper (whether unlawful or not) or which otherwise brought discredit on that person's methods of conducting business; or

[Subpara. (iv) substituted by s. 1 of Act 19/2003]

- (v) had taken part in or been associated with any such other business practices as would, or had otherwise conducted himself or herself in such a way as to, cast doubt on his or her competence and soundness of judgement.

[Subpara. (v) substituted by s. 1 of Act 19/2003]

- (c) The Authority shall be entitled, at any time, to request any person to complete a questionnaire that is designed to enable, and such person shall provide the Authority with such information as may be necessary to enable, the Authority to form an opinion, as contemplated in this subsection, regarding the qualities of that person.

[Para. (c) substituted by s. 1 of Act 19/2003]

- (d) Any person who refuses or fails to comply with a request addressed to that person by the Authority under paragraph (c) shall be guilty of an offence.

[Para. (d) inserted by s. 1 of Act 26/94 and substituted by s. 1 of Act 19/2003]

[Subs. (1A) inserted by s. 1 of Act 9/93]

(2)

- (a) The Minister may, on the recommendation of the Authority and after consultation with the Governor of the Reserve Bank, by regulation amend the definition of "deposit" or "the business of a bank" for the purposes of the application of any of or all the provisions of this Act.

[Para. (a) substituted by s. 1 of Act 9/93]

- (b) Every regulation made under paragraph (a) shall be of force and effect unless and until, during the session in which the relevant list has been laid upon the Tables in Parliament in accordance with the provisions of section 17 of the Interpretation Act, 1957 (Act No. 33 of 1957), every House of Parliament has by resolution disapproved of the regulation, in which event the regulation shall lapse as from a date to be specified in the resolution, but such lapsing of the regulation shall not affect the validity of anything done under such regulation before the date specified in the resolution, and nothing contained in this paragraph shall affect the power of the Minister to make a new regulation as to the subject matter of the regulation which has so lapsed.

- (3) Unless the context otherwise indicates, words and expressions not defined in subsection (1) have the same meaning ascribed to them in terms of the Financial Sector Regulation Act.

[Subs. (3) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

1A. Relationship between Act and Financial Sector Regulation Act

- (1) Except as otherwise provided by this Act or the Financial Sector Regulation Act, the powers and duties of the Authority in

terms of this Act are in addition to the powers and duties that it has in terms of the Financial Sector Regulation Act.

[Subs. (1) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

- (2) A reference in this Act to the Authority determining or publishing a matter by notice in the Gazette must be read as including a reference to the Authority determining or publishing the matter by notice published in the Register.

[Subs. (2) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

- (3) Unless expressly provided otherwise in this Act, or this Act requires a matter to be prescribed by regulation in terms of section 90, a reference in this Act to a matter being-

- (a) prescribed must be read as a reference to the matter being prescribed in a prudential standard or a conduct standard; or
- (b) determined must be read as a reference to the Authority determining the matter in writing and registering the determination in the Register.

[Subs. (3) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(4)

- (a) Matters in respect of which regulations relating to banks may be prescribed in terms of this Act may also be made in prudential standards or conduct standards.
- (b) Regulations prescribed in terms of this Act that are in force immediately before the commencement of this subsection continue to be in force, but may be repealed by the Minister to allow for prudential or conduct standards to be made in terms of the Financial Sector Regulation Act, in respect of the subject matter of those regulations.

- (c) Paragraph (b) does not limit the powers of the Minister in terms of this Act to prescribe regulations.

[Subs. (4) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

- (5) A reference in this Act to an inspection or an investigation in terms of section 6 of this Act must be read as a reference to an investigation in terms of the Financial Sector Regulation Act, but not a reference to an inspection in terms of section 83 or 84 of this Act.

[Subs. (5) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(6)

- (a) A reference in this Act to the Authority announcing or publishing information or a document on a web site must be read as a reference to the Authority publishing the information or document in the Register.

- (b) The Authority may also publish the information or document on its web site.

[Subs. (6) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

- (7) A reference in this Act to a prescribed fee must be read as a reference to the relevant fee determined in terms of section 237 and Chapter 16 of the Financial Sector Regulation Act.

[Subs. (7) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2023]

- (8) A reference in this Act to a review of a decision of the Authority must be read as a reference to a reconsideration of the decision by the Tribunal in terms of the Financial Sector Regulation Act.

[Subs. (8) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(9)

- (a) If any requirement in the Financial Sector Regulation Act is inconsistent with any provision of this Act, the requirement in the Financial Sector Regulation Act prevails.
- (b) If any requirement in a regulatory instrument made in terms of the Financial Sector Regulation Act is inconsistent with any provision of a regulatory instrument made in terms of this Act, the requirement in the regulatory instrument made in terms of the Financial Sector Regulation Act prevails.

[Subs. (9) inserted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

2. Exclusions from application of Act

Except where expressly stated otherwise, the provisions of this Act, in so far as they impose requirements with which any institution must comply-

- (a) before it may carry on the business of a bank; or
- (b) in the lawful carrying on of the business of a bank, shall not apply to-

- (i) the Reserve Bank;
- (ii) the Land Bank;
- (iii) the Development Bank of Southern Africa;
- (iv) the Corporation for Public Deposits established by section 2 of the Corporation for Public Deposits Act, 1984 (Act No. 46 of 1984);
- (v) the Public Investment Corporation Limited established by section 2 of the Public Investment Corporation Act, 2004 (Act No. 23 of 2004);
[Subpara. (v) substituted by s. 2 of Act 22/2013]
- (vi) any mutual bank; or
[Subpara. (vi) substituted by s. 2 of Act 26/94]
- (viA) a co-operative bank registered under the Co-operative Banks Act, 2007; or
[Subpara. (viA) inserted by s. 90 of Act 40/2007]
- (vii) any other institution or body designated by the Minister by notice in the *Gazette*.

CHAPTER II

ADMINISTRATION OF ACT

3.

[S. 3 substituted by s. 2 of Act 9/93 and repealed by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

4. Authority

[Heading of s. 4 substituted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(1)

[Subs. (1) deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(2)

[Subs. (2) substituted by s. 2 of Act 36/2000 and deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

- (3) The Authority may from time to time enter into a written cooperation arrangement, including a memorandum of understanding, with a host supervisor, consolidating supervisor or any other person or institution as the Authority may deem fit, which cooperation arrangement may include-
 - (a) a provision that the Authority may accept the methods and approval processes used by a foreign institution or bank at group level: Provided that-
 - (i) such methods and approval processes comply with such conditions as may be prescribed; or
 - (ii) the Authority may impose additional conditions or requirements;
 - (b) a provision that the Authority may conduct an on-site examination or an inspection of a bank or controlling company that is conducting business by means of a branch, subsidiary company, joint venture or related entity within the jurisdiction of the relevant host supervisor or consolidating supervisor, as the case may be;
 - (c) a provision that such host supervisor or consolidating supervisor may conduct an on-site examination or an inspection of a branch, subsidiary company, joint venture or related entity of a bank or a controlling company;
 - (d) a provision that the Authority may share information relating to the financial condition and performance of branches, subsidiaries, joint ventures or related entities of a bank or controlling company with the relevant host supervisor;
 - (e) a provision that the Authority-
 - (i) be informed by the relevant host supervisor of adverse assessments of qualitative aspects of the foreign operations of a bank or controlling company; or
 - (ii) may provide information to the relevant host supervisor regarding significant problems that are being experienced within a bank, controlling company or banking group;

- (f) such other matters as the Authority may deem relevant.

[Subs. (3) added by s. 2 of Act 20/2007]

- (4) The Authority shall implement and maintain a supervisory review process, which process may include-
- (a) an on-site examination, inspection or review of a bank or controlling company and its respective branches, subsidiaries, joint ventures or related entities, within or outside the Republic;
 - (b) an off-site review of a bank or controlling company and its respective branches, subsidiaries, joint ventures or related entities, within or outside the Republic;
 - (c) a discussion with an executive officer, a chief executive officer or an employee in charge of a risk management function of a bank or controlling company, including a discussion with an executive officer responsible for compliance or internal audit of a bank or controlling company;
 - (d) a discussion with a member of the board of directors or a member of a board-appointed committee of a bank or controlling company;
 - (e) a review of the work done by an external auditor of a bank or controlling company;
 - (f) a review of reports submitted in terms of this Act by a bank, controlling company or banking group.
- [Subs. (4) added by s. 2 of Act 20/2007]
- (5) In order to ensure the appropriate usage of an external credit assessment issued by an eligible institution, a bank, a controlling company or a branch, the Authority-
- (a) shall assign external credit ratings to risk weights as may be prescribed from time to time; and
 - (b) shall publicly disclose which external credit assessment or rating issued by an eligible external credit assessment institution relates to which prescribed risk weight.
- [Subs. (5) added by s. 2 of Act 20/2007]
- (6) The Authority may implement such international regulatory or supervisory standards and practices as he or she deems appropriate after consultation with banks.
- [Subs. (6) added by s. 2 of Act 20/2007]
- (7) Notwithstanding section 33 of the South African Reserve Bank Act, 1989 (Act No. 90 of 1989), the Authority-
- (a) may from time to time publicly disclose the following information:
 - (i) Criteria relating to the review of the internal capital assessments of banks;
 - (ii) factors relating to the setting of capital adequacy ratios by the Authority that are in excess of the minimum capital adequacy ratio as prescribed;
 - (b) shall from time to time publicly disclose the following information:
 - (i) The process and criteria for recognising eligible institutions; and
 - (ii) international regulatory or supervisory standards and practices implemented in terms of subsection (6).
- [Subs. (7) added by s. 2 of Act 20/2007]

5. Delegation of powers and assignment of functions by Authority

- (1) The Authority may with the approval of the Reserve Bank-
- (a) delegate to any officer or employee of the Reserve Bank or another financial sector regulator any power conferred upon the Authority by or under this Act; or
- [Para. (a) substituted by s. 3 of Act 22/2013]
- (b) authorize any such officer or employee to perform any duty assigned to the Authority by or under this Act.
- (2) Any delegation under subsection (1)(a) shall not prevent the exercise of the relevant power by the Authority.
- [Subs. (2) substituted by s. 2 of Act 19/2003 and s. 290 of Act 9/2017 w.e.f. 1 April 2018]

6. Powers of inspection of, and guide-lines by, Authority

- (1)
[Subs. (1) substituted by s. 3 of Act 19/2003 and deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]
- (2)
[Subs. (2) substituted by s. 3 of Act 19/2003 and deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]
- (3) Neither the provisions of this section nor any other provision of this Act shall be construed as prohibiting the Authority from holding discussions, from time to time, with the chief executive officer of any bank, or with any executive officer or employee, designated by such chief executive officer, of-
- (a) that bank;
 - (b) any subsidiary or controlling company of that bank, or any other subsidiary of such controlling company;
 - (c) any juristic person which would have been a subsidiary of that bank or of its controlling company had such juristic person been a company;
 - (d) any juristic person of which the board of directors or, in the case where such juristic person is not a company, of which the governing body is accustomed to act in accordance with the directions or instructions of that bank or its controlling company; or
 - (e) any trust controlled directly or indirectly by that bank or its controlling company, with a view to achieving effective supervision by the Authority, on an individual or a consolidated basis, of that bank or the group of banks of which that bank is a member.
- [Subs. (3) substituted by s. 3 of Act 26/94]
- (4) The Authority may from time to time by means of a circular furnish banks, controlling companies, representative offices, eligible institutions or auditors of banks or controlling companies with guidelines regarding the application and interpretation of the provisions of this Act.
[Subs. (4) substituted by s. 3 of Act 19/2003, s. 3 of Act 20/2007 and s. 4 of Act 22/2013]
- (5) The Authority may from time to time by means of a guidance note furnish banks, controlling companies, representative offices, eligible institutions and auditors of banks or controlling companies with information in respect of market practices or market or industry developments within or outside the Republic.
[Subs. (5) added by s. 3 of Act 20/2007 and substituted by s. 4 of Act 22/2013]
- (6)
- (a) The Authority may from time to time, in writing, after consultation with the relevant bank, controlling company, representative office, eligible institution or auditor of a bank or controlling company, issue a directive to such a bank, controlling company, representative office, eligible institution or auditor of a bank or controlling company, either individually or collectively, regarding the application of the Act;
[Para. (a) substituted by s. 4 of Act 22/2013]
 - (b) The directive contemplated in paragraph (a) may include the issuing of a non-financial sanction or a directive requiring a bank, a controlling company, a representative office, an eligible institution or an auditor of a bank or controlling company, either individually or collectively, within the period specified in the directive, to-
[Words preceding subpara. (i) substituted by s. 4 of Act 22/2013]
 - (i) cease or refrain from engaging in any act, omission or course of conduct or to perform such acts necessary to remedy the situation;
 - (ii) perform such acts necessary to comply with the directive or to effect the changes required to give effect to the directive; or
 - (iii) provide the Authority with such information and documents relating to the matter specified in the directive.
 - (c) The Authority may after consultation with the relevant bank, controlling company, representative office, eligible institution or auditor of a bank or controlling company, subject to the directive, cancel in writing a previously issued directive;
[Para. (c) substituted by s. 4 of Act 22/2013]
 - (d) No directive issued by the Authority shall have retroactive effect.
 - (e) Any bank, controlling company, representative office, eligible institution or auditor of a bank or controlling company that neglects, refuses or fails to comply with a directive issued under this subsection shall be guilty of an offence.

[Para. (c) substituted by s. 4 of Act 22/2013]
[Subs. (6) added by s. 3 of Act 20/2007]

7. Furnishing of information by banks and controlling companies

[Heading substituted by s. 4 of Act 20/2007]

- (1) The Authority may by notice in writing-
 - (a) direct a bank or a controlling company or a subsidiary of a bank or controlling company to furnish the Authority, at such time or times or at such intervals or in respect of such period or periods as may be specified in the notice, with such information as may be specified in the notice and as the Authority may reasonably require for the performance of his or her functions under this Act; or
[Para. (a) substituted by s. 4 of Act 19/2003]
 - (b) direct such bank, controlling company or subsidiary to furnish the Authority with a report by a public accountant as defined in section 1 of the Auditing Profession Act, 2005 (Act No. 26 of 2005), or by any other person with appropriate professional skill, on any matter, or any aspect of any matter, about which the Authority has directed or may direct under paragraph (a) the bank, controlling company or subsidiary to furnish information.
[Para. (b) substituted by s. 3 of Act 9/93 and s. 4 of Act 20/2007]
- (1A) The report required by the Authority under paragraph (b) shall be drawn up at the expense of the bank, controlling company or subsidiary in question.
[Subs. (1A) inserted by s. 4 of Act 19/2003]
- (2) The public accountant or other person appointed by a bank, controlling company or subsidiary to make a report required under subsection (1)(b), shall be a person designated or approved by the Authority, and the Authority may require the relevant report to be in such form as may be specified in the notice referred to in subsection (1).
- (3) No due diligence audit of the financial condition of any bank shall be conducted without the Authority first having been notified in writing of the intention to do so.
[Subs. (3) added by s. 3 of Act 36/2000]
- (4) The person at whose request a due diligence audit of the financial condition of a bank has been conducted shall furnish the Authority with a copy of the audit report.
[Subs. (4) added by s. 3 of Act 36/2000]
- (5) No person shall without the written consent of the Authority disclose to any other person, except to the bank whose financial condition was the subject of the due diligence audit, any information contained in a report referred to in subsection (4).
[Subs. (5) added by s. 3 of Act 36/2000]

8.

[S. 8 amended by s. 5 of Act 19/2003 and repealed by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

9.

[S. 9 amended by s. 2 of Act 42/92, s. 4 of Act 9/93 and s. 4 of Act 26/94, substituted by s. 4 of Act 36/2000, amended by s. 6 of Act 19/2003 and s. 5 of Act 20/2007 and repealed by s. 290 of Act 9/2017 w.e.f. 28 September 2018]

10.

[S. 10 amended by s. 7 of Act 19/2003 and s. 5 of Act 22/2013 and repealed by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

CHAPTER III

AUTHORIZATION TO ESTABLISH, AND REGISTRATION AND CANCELLATION OF REGISTRATION OF, BANKS

11. Registration a prerequisite for conducting business of bank

- (1) Subject to the provisions of section 18A, no person shall conduct the business of a bank unless such person is a public company and is registered as a bank in terms of this Act.
[Subs. (1) substituted by s. 5 of Act 26/94]

- (2) Any person who contravenes a provision of subsection (1) shall be guilty of an offence.

12. Application for authorization to establish bank

- (1) Any person who wishes to conduct the business of a bank may apply to the Authority for authorization to establish such a bank.

- (2) An application under subsection (1)-
- (a) shall be made in the manner and on the form prescribed in the Regulations relating to Banks; and
 - (b) shall be accompanied by a statement containing the information prescribed in the Regulations relating to Banks.
[Subs. (2) substituted by s. 8 of Act 19/2003]
- (3) The Authority may require an applicant contemplated in subsection (1) to furnish him or her with-
- (a) such information or documents, in addition to information and documents furnished by the applicant in terms of subsection (2); or
 - (b) a report by a public accountant as defined in section 1 of the Auditing Profession Act, 2005 (Act No. 26 of 2005), or by any other knowledgeable person approved by the Authority, on such aspects relating to the application in question,
[Para. (b) substituted by s. 5 of Act 9/93 and s. 6 of Act 20/2007]
- as the Authority may deem necessary.
[Subs. (3) amended by s. 8 of Act 19/2003]
- (4)
- (a) This subsection only applies to a national state-owned company as defined in paragraph (a) of the definition of “state-owned company” in section 1 of the Companies Act.
 - (b) A state-owned company may only with the approval of the Minister, granted with the concurrence of the Minister who is accountable to Parliament for that state-owned company, apply for authorisation to establish a bank in terms of subsection (1).
 - (c) An application in terms of paragraph (b) shall include a declaration by the auditor of the state-owned company, contemplated in **section 61**, that certifies that for the period of 24 months immediately preceding the date of the application, the assets of—
 - (i) the state-owned company exceeded its liabilities;
 - (ii) the holding company of the state-owned company exceeded the holding company’s liabilities; and
 - (iii) the holding company of the state-owned company’s holding company exceeded the liabilities of the first-mentioned holding company (if applicable).
 - (d) For purposes of the application of this Act to state-owned companies, a provision of this Act which is inconsistent with a provision of another Act, other than the Financial Sector Regulation Act, shall prevail.
[Subs. (4) added by s. 11 of Act 18/2019]

13. Granting or refusal of application for authorization

- (1) Subject to the provisions of subsection (2), the Authority may, after considering all information, documents and reports furnished to him or her for the purposes of an application under section 12, grant or refuse the relevant application or grant the application subject to such conditions as he or she may determine.
[Subs. (1) substituted by s. 9 of Act 19/2003]
- (2) The Authority shall not grant an application made under section 12 unless he or she is satisfied-
- (a) that the establishment of the proposed bank will be in the public interest;
 - (b) that the business the applicant proposes to conduct, is that of a bank;
 - (c) that the applicant will conduct the proposed business of a bank in the capacity of a public company incorporated and registered under the Companies Act;
 - (d) that the applicant will be able to establish itself successfully as a bank;
 - (e) that the applicant will have the financial means to comply, in the capacity of a bank, with the requirements of this Act;
 - (f) that the business of the proposed bank will be conducted in a prudent manner;
 - (fA) that every person who is to be a director or an executive officer of the proposed bank is, as far as can reasonably be

ascertained, a fit and proper person to hold the office of such director or executive officer;

[Para. (fA) inserted by s. 6 of Act 9/93]

- (g) that every person who is to be an executive officer of the proposed bank has sufficient experience of the management of the kind of business it is intended to conduct;

[Para. (g) amended by s. 6 of Act 22/2013]

- (h) that the composition of the board of directors of the proposed bank will be appropriate having regard to the nature and scale of the business it is intended to conduct, and

Para. (h) amended by s. 6 of Act 22/2013]

- (i) in the case of a foreign institution being the applicant, that the responsible consolidating supervisor of the foreign institution-

(i) has duly authorised the proposed establishment, by the foreign institution, of a bank in the Republic;

(ii) accepts and complies with the proposals, guidelines and pronouncements of the Basel Committee on Banking Supervision;

(iii) is not legally impeded from complying with the provisions of subparagraph (ii);

(iv) accepts its responsibilities as a consolidating supervisor;

(v) as far as may be reasonably possible, ensures that the members of the board and the executive management of the foreign institution at all times consist of fit and proper persons;

(vi) is satisfied with the standard of risk management maintained by the foreign institution; and

(vii) keeps the Authority informed of any material information regarding the financial soundness of the foreign institution and its bank in the Republic.

[Para. (i) added by s. 6 of Act 22/2013]

[Subs. (2) amended by s. 9 of Act 19/2003]

- (3) When the Authority grants or refuses an application made under section 12, he or she shall give written notice of that fact to the applicant concerned.

[Subs. (3) substituted by s. 9 of Act 19/2003]

- (4)

[Subs. (4) deleted by s. 6 of Act 9/93]

14. Revocation of authorization

- (1) The Authority may at any time prior to the registration, in terms of section 17, of a bank, revoke the authorization granted for the establishment of such a bank if the Authority is satisfied that-

(a) false or misleading information was furnished in the application for such authorization; or

(b) success has not been achieved within a period of 12 months as from the date of the granting of the said authorization, with the formation, in accordance with the proposals contained in the application for the said authorization, of the proposed bank.

[Para. (b) substituted by s. 10 of Act 19/2003]

[Subs. (1) amended by s. 6 of Act 26/94]

- (2) When the Authority revokes an authorization in terms of subsection (1), he or she shall give written notice of that fact to the person to whom the authorization was granted.

[Subs. (2) substituted by s. 10 of Act 19/2003]

15. Formation of certain companies prohibited except with approval of Authority

- (1) No public company shall without the written approval of the Authority be formed in terms of the Companies Act to conduct the business of a bank in accordance with the provisions of this Act.

- (2) The Authority shall grant the approval referred to in subsection (1) only if he or she is of the opinion that the company concerned will probably, having regard to the provisions of section 17, be eligible for registration as a bank in terms of this Act.

[Subs. (2) substituted by s. 7 of Act 26/94 and s. 11 of Act 19/2003]

- (3) Notwithstanding anything to the contrary contained in the Companies Act, the Commissioner shall not register in terms of that Act the memorandum of incorporation of a public company formed for the purpose of conducting the business of a bank, unless the application for such registration is accompanied by the approval referred to in subsection (1).

[Subs. (3) substituted by s. 7 of Act 22/2013]

16. Application for registration as bank

- (1) An applicant to whom the Authority has under section 13 granted authorization for the establishment of a bank (hereinafter in this Chapter referred to as the institution) may at any time during the period of 12 months commencing on the date of the granting of the said authorization apply to the Authority for the registration of the institution as a bank, provided such authorization has not been revoked in terms of section 14(1).

- (2) An application under subsection (1) shall-

- (a) be made in the manner and on the form prescribed in the Regulations relating to Banks; and

[Para. (a) substituted by s. 12 of Act 19/2003]

- (b) be accompanied by-

- (i) two copies each of the institution's memorandum of incorporation;

[Subpara. (i) substituted by s. 8 of Act 22/2013]

- (ii) a written statement in which is set out-

- (aa) the full and the abbreviated name of the institution as well as the literal translations thereof;

- (bb) the address of the institution's head office as well as its postal address;

- (cc) full particulars of the business the applicant proposes to conduct and of the manner in which it proposes to conduct such business; and

- (dd) the full names and the addresses of the chairperson, the other directors and the executive officers of the institution; and

[Item (dd) substituted by s. 12 of Act 19/2003]

- (iii) a list of shareholders in the institution, as at the date of the application, drawn up in accordance with the requirements with which a return referred to in section 59 has to comply.

- (3) The Authority may require an applicant contemplated in subsection (1) to furnish him or her with such information or documents, in addition to information and documents furnished by the applicant in terms of subsection (2), as the Authority may deem necessary.

[Subs. (3) substituted by s. 12 of Act 19/2003]

- (4) The application and every document lodged in terms of subsection (2) or (3) shall be signed by the chairperson or the chief executive officer of the institution.

[Subs. (4) substituted by s. 12 of Act 19/2003]

[S. 16 substituted by s. 8 of Act 26/94]

17. Granting or refusal of application for registration

- (1) Subject to the provisions of subsection (2), the Authority shall, after considering all information and documents furnished to him or her in terms of section 16 for the purposes of an application under that section, grant such application if he or she is satisfied-

- (a) that the business the applicant proposes to conduct is that of a bank;

- (b) that the applicant does not propose to adopt undesirable methods of conducting business; and

- (c) that the memorandum of incorporation of the institution is consistent with this Act and is not undesirable for any reason.

[Para. (c) substituted by s. 9 of Act 22/2013]

[Subs. (1) amended by s. 13 of Act 19/2003]

- (2) Notwithstanding the provisions of subsection (1), the Authority may refuse an application for the registration of an institution as a bank if he or she is of the opinion-

- (a) that any of the requirements specified in section 13(2) is no longer complied with by or in respect of the institution concerned;
 - (b) that the institution concerned, when registered as a bank, will probably not be able to comply with a provision of this Act, or is likely to pursue a practice contrary to a provision of this Act;
 - (c) that an interest which any person has in the institution concerned is inconsistent with a provision of this Act;
 - (d) that the interests of potential depositors with the institution concerned will be detrimentally affected by the manner in which the institution proposes to conduct its business, or for any other reason;
 - (e) that the name of the institution concerned-
 - (i) is identical with a name under which an existing bank or a mutual bank has already been registered;
 - (ii) so closely resembles the name of an existing bank or mutual bank that the one is likely to be mistaken for the other;
 - (iii) is identical with, or closely resembles, the name under which any bank or any other institution which was registered under any law repealed by this Act, or any mutual bank, was previously registered and that reasonable ground for objection against the use of that name by the institution concerned exists; or
 - (iv) is likely to mislead the public; or
 - (f) that the application does not comply with a requirement of this Act.
[Subs. (2) amended by s. 13 of Act 19/2003]
- (3) When the Authority in terms of this section grants or refuses an application for registration, he or she shall give written notice of that fact to the applicant concerned.
[Subs. (3) amended by s. 13 of Act 19/2003]
- (4) If the Authority in terms of this section grants an application for registration he or she shall, subject to the provisions of section 18, and on payment by the applicant of the prescribed registration fee, provisionally register the institution concerned as a bank and issue to the institution, on the prescribed form, a certificate of registration as a bank.
[Subs. (4) amended by s. 13 of Act 19/2003]
- (5) An institution which is for the first time registered as a bank shall not commence doing the business of a bank until it has furnished proof to the Authority that it complies with the provisions of section 70.
- (6) An institution which contravenes the provisions of subsection (5) shall be guilty of an offence.
[S. 17 substituted by s. 9 of Act 26/94]

18. Conditions of registration

- (1) The registration under section 17 of an institution as a bank shall be subject to the prescribed conditions and to such further conditions, if any, as the Authority may determine.
- (2) In addition to any other condition which the Authority may impose under subsection (1), he or she may impose a condition requiring the institution concerned to take within a specified period such steps in terms of the Companies Act as may be necessary to alter its memorandum of incorporation in accordance with the requirements of the Authority.
[Subs. (2) substituted by s. 14 of Act 19/2003 and s. 10 of Act 22/2013]
 [S. 18 substituted by s. 10 of Act 26/94]

18A. Branches of foreign institutions

- (1) An institution which has been established in a country other than the Republic and which lawfully conducts in such other country a business similar to the business of a bank (hereinafter in this section referred to as the foreign institution) may, notwithstanding the provisions of section 11(1), with the prior written authorization of the Authority and subject to the prescribed conditions and to such further conditions, if any, as the Authority may determine, conduct the business of a bank by means of a branch in the Republic.
- (2) To obtain the authorization of the Authority as contemplated in subsection (1), the foreign institution concerned shall in the manner and on the form prescribed in the Regulations relating to Banks lodge with the Authority a written application which shall be accompanied by-
 - (a) a written statement containing the prescribed information; and

(b) the prescribed fee.

[Subs. (2) amended by s. 15 of Act 19/2003]

(3) The Authority may require the foreign institution applying in terms of subsection (2) to furnish him or her with-

(a) such information or documents, in addition to information and documents furnished by the foreign institution in terms of subsection (2); or

(b) such further information with regard to the nature and extent of supervision exercised or to be exercised by the responsible supervisory authority of the foreign institution's country of domicile in respect of-

(i) the proposed branch in the Republic;

(ii) the foreign institution itself; or

(iii) any group of institutions of which the foreign institution may form a part, as the Authority may deem necessary.

[Subs. (3) amended by s. 15 of Act 19/2003]

(4) When the Authority grants or refuses an application in terms of subsection (2) for authorization to conduct the business of a bank by means of a branch in the Republic, he or she shall give written notice of that fact to the applicant concerned.

[Subs. (4) substituted by s. 15 of Act 19/2003]

(5) The Authority shall not grant an application in terms of subsection (2) unless he or she is satisfied that proper supervision as contemplated in subsection (3)(b) is or will be exercised by the responsible supervisory authority of the foreign institution's country of domicile.

[Subs. (5) substituted by s. 15 of Act 19/2003]

(6) If the Authority grants an application referred to in subsection (4) he or she shall on the prescribed form issue to the foreign institution concerned a certificate of authorization to conduct the business of a bank by means of a branch in the Republic.

[Subs. (6) substituted by s. 15 of Act 19/2003]

(7) Any foreign institution that conducts the business of a bank by means of a branch in the Republic without having obtained the Authority's written authorization referred to in subsection (1) shall be guilty of an offence.

(8) Any reference to a bank in this Act or in any other Act of Parliament shall, in so far as it may be relevant, include a reference to a branch, unless expressly stated otherwise.

[Subs. (8) added by s. 7 of Act 20/2007]

[S. 18A inserted by s. 11 of Act 26/94]

18B. Cancellation or suspension of authorization by Authority and notice by Authority of intention to cancel or suspend authorization

(1) The Authority may, subject to the provisions of subsections (2) and (3), in the case of a foreign institution that, under an authorization referred to in section 18A, conducts the business of a bank by means of a branch in the Republic, with the consent of the Minister and by notice in writing to the foreign institution concerned cancel, or suspend on such conditions as the Authority may deem fit, such authorization if the foreign institution concerned has failed to comply with a prescribed condition or a further condition, contemplated in section 18A(1), to which its authorization is subject.

(2) The Authority shall, before cancelling or suspending under subsection (1) the authorization of a foreign institution referred to in subsection (1), in a written notice addressed to the foreign institution concerned-

(a) inform the foreign institution of his or her intention to cancel or suspend, as the case may be, such authorization;

[Para. (a) substituted by s. 16 of Act 19/2003]

(b) furnish the foreign institution with the reasons for the intended cancellation or suspension; and

(c) call upon the foreign institution to show cause within a period specified in the notice, which shall not be less than 30 days as from the date of the notice, why its authorization should not be so cancelled or suspended.

(3) After considering any representations received within the specified period from the foreign institution concerned by virtue of the provisions of subsection (2) (c), the Authority may in his or her discretion-

(a) proceed with the cancellation or suspension in terms of subsection (1) of the authorization; or

(b) refrain from taking any further steps in terms of subsection (1),

and the Authority shall in writing inform the foreign institution concerned of his or her decision in terms of this subsection.

[Subs. (3) substituted by s. 16 of Act 19/2003]

[S. 18B inserted by s. 11 of Act 26/94]

19.

[S. 19 repealed by s. 12 of Act 26/94]

20.

[S. 20 repealed by s. 13 of Act 26/94]

21. Untrue information in connection with applications

Any person who in or in connection with-

(a) an application for authorization to establish a bank; or

(b) an application for registration as a bank,

[Para. (b) substituted by s. 14 of Act 26/94]

(c)

[Para. (c) deleted by s. 14 of Act 26/94]

furnishes the Authority with any information which to the knowledge of such person is untrue or misleading in any material respect, shall be guilty of an offence.

22. Use of name of bank

(1) Subject to the provisions of subsection (2), an institution which is registered as a bank or a foreign institution which is authorized under section 18A to conduct the business of a bank by means of a branch in the Republic or an institution which is registered as a representative office of a foreign institution under section 34 shall not-

(a) in the case of such bank use, or refer to itself by, a name other than the name under which it is so registered;

[Para. (a) amended by s. 11 of Act 22/2013]

(b) in the case of such foreign institution, in respect of the branch concerned use, or refer to the branch by, a name other than the name under which the conduct of the business of a bank in the Republic was so authorized; or

[Para. (b) amended by s. 11 of Act 22/2013]

(c) in the case of such foreign institution, in respect of the representative office use, or refer to the representative office by, a name other than the name under which the representative office was so registered,

[Para. (c) added by s. 11 of Act 22/2013]

or any literal translation or abbreviation of such name which has been approved by the Authority: Provided that the Authority may, if he or she deems it desirable, authorize the use of a name by which such bank or foreign institution is otherwise generally known.

[Subs. (1) substituted by s. 15 of Act 26/94, s. 5 of Act 36/2000 and s. 17 of Act 19/2003]

(2) An institution which is registered as a bank may, with the consent of the Authority, in conjunction with its registered name or the name of which the use was authorized by the Authority under the proviso to subsection (1) use, or refer to itself by, the name of another bank with which it has amalgamated or all the assets and liabilities of which have, as contemplated in section 54(1), been transferred to it or, in the case of a change of name, the name by which it was previously known.

[Subs. (2) substituted by s. 5 of Act 36/2000]

(2A) A bank may, with the prior written consent of the Authority, in conjunction with its registered name, and subject to such conditions as the Authority may determine, use or refer to a name of a division, brand or product of that bank, which name includes the word "bank" or any derivative thereof.

[Subs. (2A) inserted by s. 17 of Act 19/2003]

(3) An institution which contravenes the provisions of subsection (1) shall be guilty of an offence.

(4) Any person who, in connection with any business conducted by such person-

(a) uses any name, description or symbol indicating, or calculated to lead persons to infer, that such person is a bank registered as such under this Act; or

(b) in any other manner purports to be a bank registered as such under this Act,

while such person is not so registered as a bank, shall be guilty of an offence.

[Subs. (4) substituted by s. 15 of Act 26/94 and s. 17 of Act 19/2003]

- (5) No person shall use in respect of any business a name or description which includes the word “bank”, or any derivative thereof, or the words “deposit-taking institution” or “building society”, or any derivative thereof, unless-
 - (a) the business in question is a bank or a foreign institution which is authorised under section 18A to conduct the business of a bank by means of a branch in the Republic or an institution that is registered as a representative office of a foreign institution under section 34; or
[Para. (a) substituted by s. 15 of Act 26/94 and s. 17 of Act 19/2003]
 - (b) the business in question is registered as a controlling company in respect of a bank under this Act and the name or description in question is so used for the purpose of indicating the connection between the two companies concerned; or
 - (c) such name or description is composed of words which include the word “bank” as part of a place-name or a personal name, and the Authority has in writing authorized such person so to use such name or description.
[Subs. (5) amended by s. 7 of Act 9/93]
- (6) Notwithstanding the prohibition contained in subsection (5), a company-
 - (a) of which the formation has been approved by the Authority in terms of section 15, may be formed under a name which includes the word “bank” or the words “deposit-taking institution” or “building society”, or a derivative thereof; or
 - (b) whose application for registration as a bank has been granted by the Authority under section 17 and which has not been formed in accordance with paragraph (a) of this subsection under a name which already includes the word “bank” or the words “deposit-taking institution” or “building society”, or a derivative thereof, may before its registration take the necessary steps in accordance with the Companies Act to include such word, words or derivative in its name.
[Para. (b) substituted by s. 15 of Act 26/94]
[Subs. (6) substituted by s. 7 of Act 9/93]
- (7) The Authority may in writing direct a company referred to in subsection (6) whose name includes the word “bank” or the words “deposit-taking institution” or “building society”, or any derivative thereof, to remove such word, words or derivative from its name-
 - (a) in the case of a company referred to in paragraph (a) of that subsection, if it fails to apply in terms of section 16(1) for registration as a bank within the period of 12 months referred to in that section, or if its application for such registration is refused under section 17; and
 - (b) in the case of a company referred to in paragraph (b) of that subsection, if it fails to comply, within a reasonable time after its application for registration has been granted under section 17, with the conditions subject to which it was registered.
[Subs. (7) amended by s. 7 of Act 9/93 and substituted by s. 15 of Act 26/94]
- (8) Any person who contravenes any provision of subsection (5) or refuses or fails to comply with a direction under subsection (7) shall be guilty of an offence.
- (9) The provisions of subsection (5) shall not be construed as prohibiting the use in respect of any company, society, firm, business or undertaking of any name, style or description which immediately prior to the commencement of this Act was lawfully so used in terms of the provisions of any law repealed by this Act.

23. Cancellation or suspension of registration by Authority

- (1) The Authority may subject to the provisions of section 24, in the case of a bank registered as such, by notice in writing to the institution concerned cancel, or suspend on such conditions as the Authority may deem fit, such registration if the institution has not conducted any business as a bank during the period of six months commencing on the date on which the institution was registered as a bank.
[Subs. (1) substituted by s. 12 of Act 22/2013 and s. 290 of Act 9/2017 w.e.f. 1 April 2018]
- (2) The Authority may, subject to the provisions of section 24, in the case of a bank registered as such, by notice in writing to the institution concerned cancel, or suspend on such conditions as the Authority may deem fit, such registration if-
[Words preceding para. (a) substituted by s. 12 of Act 22/2013 and s. 290 of Act 9/2017 w.e.f. 1 April 2018]
 - (a) it has, in the opinion of the Authority, been obtained on the strength of untrue or misleading information furnished by any person and such person has, on account of having so furnished such information, been convicted of an offence in

terms of section 21; or

- (b) in the case of a bank of which the main place of business is situated in a country other than the Republic, the authorization in terms of which the institution concerned is authorized to conduct business in such other country similar to the business of a bank, is revoked by the competent authority in such other country; or
- (c) the institution concerned has failed to comply-
 - (i) with a prescribed condition or a further condition, contemplated in section 18 (1), to which its registration is subject; or
 - (ii) with a condition imposed by the Authority under section 18(2).

- (3) The Authority may, subject to the provisions of section 24, in the case of a bank registered as such, by notice in writing to the institution concerned cancel such registration if the institution has ceased to conduct the business of a bank or is no longer in operation.

[Subs. (3) substituted by s. 12 of Act 22/2013 and s. 290 of Act 9/2017 w.e.f. 1 April 2018]

[S. 23 substituted by s. 16 of Act 26/94]

24. Notice by Authority of intention to cancel or suspend registration

- (1) The Authority may by written notice to the chairperson or chief executive officer of the institution concerned suspend the registration of a bank under section 23 with immediate effect, provided that the Authority must-
 - (a) inform the institution of his or her intention to cancel such registration;
 - (b) furnish the institution with the reasons for the intended cancellation; and
 - (c) call upon the institution to show cause within a period specified in the notice, which shall not be less than 30 days as from the date of the notice, why its registration should not be so cancelled.

[Subs. (1) amended by s. 17 of Act 26/94 and s. 18 of Act 19/2003 and substituted by s. 13 of Act 22/2013]

- (2) After considering any representations received within the specified period from the institution concerned by virtue of the provisions of subsection (1)(c), the Authority may in his or her discretion-

- (a) proceed with the cancellation, in terms of section 23, of the registration; or

[Para. (a) substituted by s. 17 of Act 26/94 and s. 13 of Act 22/2013]

- (b) refrain from taking any further steps in terms of section 23,

and the Authority shall in writing inform the chairperson or chief executive officer of the institution concerned of his or her decision in terms of this subsection.

[Subs. (2) substituted by s. 18 of Act 19/2003]

25. Cancellation or suspension of registration by court

- (1) The Authority may by way of application on notice of motion apply to a competent court for an order cancelling or suspending the registration of a bank if in the opinion of the Authority there exist grounds, other than the grounds referred to in section 23, justifying such cancellation or suspension.

[Subs. (1) substituted by s. 18 of Act 26/94]

- (2) A competent court for the purposes of subsection (1) shall be any division of the High Court of South Africa within the area of jurisdiction of which the registered office, referred to in section 170 of the Companies Act, of the bank concerned is situated.

[Subs. (2) substituted by s. 19 of Act 19/2003]

- (3) The court entertaining an application made under subsection (1) shall enquire into and consider the matter and shall grant or refuse the application, and may make such order as to costs as it may deem fit.

- (4) In addition to any other grounds which the court may consider sufficient to justify the granting of an order under subsection (1) cancelling or suspending the registration of a bank, such an order may also be granted if the institution concerned-

- (a) has, or any of its directors or executive officers has, been convicted of any offence in terms of this Act;

- (b) does not carry on satisfactorily the business of a bank;

- (c) has failed to comply with a requirement of this Act which is applicable to it in its capacity as a registered bank;
[Para. (c) substituted by s. 18 of Act 26/94]
- (d) continues to employ an undesirable practice; or
- (e) has in a material respect misrepresented the facilities which it offers to the general public, or if, on any other ground advanced by the Authority in the relevant application, the court is of the opinion that it is not in the public interest to allow the institution concerned to continue its activities as a bank.
[Subs. (4) amended by s. 18 of Act 26/94]

26. Restriction by Authority of activities of bank

- (1) The Authority may, in lieu of an application under section 25(1), by written notice to a bank in respect of which, in the opinion of the Authority, any of the circumstances mentioned in paragraphs (a) to (e), inclusive, of section 25(4) is present, restrict the activities of the institution concerned as a bank in such respects and on such conditions as the Authority may specify in the notice.
[Subs. (1) substituted by s. 19 of Act 26/94]

- (2) The provisions of section 24 shall *mutatis mutandis* apply in respect of the restriction of the activities of a bank by the Authority under subsection (1).

27. Cancellation of registration at request of bank

The Authority shall cancel the registration of a bank upon submission to him or her by the institution concerned of a special resolution approved by the shareholders holding no less than 75 per cent of the voting rights entitled to vote on the decision authorising such cancellation.

[S. 27 substituted by s. 20 of Act 26/94, s. 20 of Act 19/2003 and s. 14 of Act 22/2013]

28. Cancellation of registration upon winding-up

When the affairs of a bank have been completely wound up as contemplated in section 82(1) of the Companies Act, the responsible Master of the High Court shall transmit to the Authority a copy of the certificate referred to in that section, and the Authority shall upon receipt of such copy cancel the registration of the bank concerned.

[S. 28 substituted by s. 21 of Act 26/94, s. 21 of Act 19/2003 and s. 15 of Act 22/2013]

29. Withdrawal of suspension of restriction

- (1) The Authority may on the written application of a bank of which-
 - (a) the registration was suspended under section 23; or
[Para. (a) substituted by s. 22 of Act 26/94]
 - (b) the activities were restricted under section 26, by written notice to the institution concerned withdraw such suspension or restriction, as the case may be, provided the Authority is satisfied that the institution has complied with all requirements for such withdrawal imposed by the Authority in the conditions of suspension or restriction.
- (2) Application for an order discharging an order under section 25 whereby the registration of a bank has been suspended by the court, may be made to the competent court referred to in section 25(2).
[Subs. (2) substituted by s. 22 of Act 26/94]

30. Publication of information relating to banks, controlling companies, eligible institutions and representative offices of foreign institutions and the keeping of records by the Authority

- (1) The Authority shall publish a notice in the *Gazette* and shall keep a record of-
 - (a)
 - (i) registration of an institution as a bank or a controlling company;
 - (ii) authorisation granted to conduct the business of a bank by means of a branch; or
 - (iii) consent granted for the establishment of a representative office by a foreign institution;
 - (b)
 - (i) cancellation or suspension of the registration of a bank or controlling company;
 - (ii) withdrawal of the authorisation to conduct the business of a bank by means of a branch; or

(iii) withdrawal of consent to conduct the business of a representative office by a foreign institution or the closure of such representative office;

(c) restriction on the activities of a bank, controlling company or branch;

(d) change of name of a bank, controlling company, branch or representative office of a foreign institution;

(e) permission granted in respect of the amalgamation, merger or arrangement referred to in Chapter 5 of the Companies Act, where a bank is the principal party to such amalgamation, merger or arrangement;

[Para. (e) substituted by s. 16 of Act 22/2013]

(f) permission granted to an arrangement for the transfer of more than 25 per cent of the assets, liabilities or assets and liabilities of a bank to another person; or

(g) approval granted in respect of an eligible institution, which is effected or which takes place under this Act.

(2) The Authority shall keep a record of every-

(a) approval granted to a bank or a controlling company to establish or acquire a subsidiary within or outside the Republic;

(b) approval granted to a bank to establish or acquire a branch of a bank;

(c) approval granted to a bank or a controlling company to acquire an interest in any undertaking having its registered office or principal place of business outside the Republic;

(d) approval granted to a bank or a controlling company to create or acquire a trust outside the Republic of which the bank is a major beneficiary;

(e) approval granted to a bank or a controlling company to establish or acquire any financial or other business undertaking under its direct or indirect control; or

(f) approval granted to a bank to establish or acquire a representative office outside the Republic,

which is effected or which takes place under this Act.

[S. 30 substituted by s. 8 of Act 9/93, amended by s. 23 of Act 26/94 and s. 22 of Act 19/2003 and substituted by s. 8 of Act 20/2007]

31. Date on which registration lapses

An institution registered as a bank shall cease to be registered as such-

(a)

[Para. (a) deleted by s. 24 of Act 26/94]

(b) in the case of a registration cancelled by the Authority under section 23, upon expiry of 30 days after the date of the notice referred to in subsection (1), (2) or (3) of that section or, if an application for the review of such a decision to cancel was lodged with the board of review in terms of section 9 before the expiry of the said 30 days and the board of review has confirmed such cancellation, upon the date on which the institution concerned is notified of such confirmation;

[Para. (b) substituted by s. 6 of Act 36/2000]

(c) in the case of a registration in respect of which the court has granted an order under section 25 cancelling the registration, upon the date on which that order comes into force; or

(d) in the case of a registration cancelled by the Authority in terms of section 27 or 28, upon such date as may be determined by the Authority.

32. Repayment of deposits upon lapse of registration

(1) Whenever an institution which is registered as a bank ceases to be registered as such, the Authority may in writing order that institution-

(a) to repay, in accordance with such directions and within such period as may be specified in the order, all money due by it to members of the public in respect of deposits accepted by it while registered as a bank, including any interest or any other amounts owing by it in respect of such money; and

- (b) to change its name and its memorandum of incorporation within the period and in the manner required by the Authority.

[Para. (b) substituted by s. 17 of Act 22/2013]

[Subs. (1) amended by s. 25 of Act 26/94]

- (2) Different directions and periods may under subsection (1) be determined in respect of different kinds of deposits: Provided that in determining such directions and periods no preference shall be given to any such member of the public which such person does not in law enjoy.

[Subs. (2) substituted by s. 23 of Act 19/2003]

- (3) An institution which by virtue of the provisions of subsection (1) repays a deposit before the due date agreed for the repayment thereof, shall not be bound to pay any interest or any other amounts which would have been payable in respect of such deposit for the period from the date of such repayment up to such due date.
- (4) Any institution which fails to comply with an order under subsection (1) shall-
 - (a) be guilty of an offence; and
 - (b) for the purposes of sections 344 and 345 of the Companies Act be deemed not to be able to pay its debts.

33. Reregistration in terms of this Act

- (1) Every institution which on the date immediately preceding the date of commencement of the Deposit-taking Institutions Amendment Act, 1993 (hereinafter in this section referred to as the Amendment Act), is a deposit-taking institution that has been provisionally or finally registered as such under the provisions of this Act as those provisions existed prior to the amendment thereof by the Amendment Act shall, in accordance with and subject to the provisions of subsections (2) and (3)-
 - (a) in the case of an institution that has so been provisionally registered as a deposit-taking institution, be provisionally registered as a bank; and
 - (b) in the case of an institution that has so been finally registered as a deposit-taking institution, be finally registered as a bank, by the Authority in terms of the provisions of this Act as so amended, as soon as is practicable after the said date of commencement.
- (2) The Authority shall when complying with the provisions of subsection (1) issue to the institution in question a certificate of provisional or final registration as a bank, as the case may be.
- (3) The reregistration of an institution in terms of this section shall in the case of a provisional registration be for the unexpired portion of the period of the institution's former provisional registration as a deposit-taking institution.
- (4) Upon the reregistration of an institution in terms of this section its previous registration as a deposit-taking institution shall be deemed to have lapsed and any certificate of registration issued in respect thereof shall be deemed to have been cancelled.
- (5) No fees shall be payable in respect of a reregistration in terms of this section.

[S. 33 substituted by s. 9 of Act 9/93]

33A. Reregistration after commencement of Banks Amendment Act, 1994

- (1) Every institution which on the date immediately preceding the date of commencement of the Banks Amendment Act, 1994 (hereinafter in this section referred to as the Amendment Act), is a bank that has been provisionally or finally registered as such under the provisions of this Act as those provisions existed prior to the amendment thereof by the Amendment Act shall, in accordance with and subject to the provisions of subsections (2) and (3), be reregistered as a bank by the Authority in terms of the provisions of this Act as so amended, as soon as is practicable after the said date of commencement.
- (2) The Authority shall, when complying with the provisions of subsection (1), issue to the institution in question a certificate of registration as a bank.
- (3) The reregistration of an institution in terms of this section shall be subject *mutatis mutandis* to the provisions of section 18.
- (4) Upon the reregistration of an institution in terms of this section its previous provisional or final registration as a bank, as the case may be, shall be deemed to have lapsed and any certificate of registration issued in respect thereof shall be deemed to have been cancelled.
- (5) No fees shall be payable in respect of a reregistration in terms of this section.

[S. 33A inserted by s. 26 of Act 26/94]

34. Representative offices of foreign institutions

- (1) An institution which has been established in a country other than the Republic and which lawfully conducts in such other country a business similar to the business of a bank (hereinafter in this section referred to as a foreign institution), may not establish a representative office in the Republic without having previously obtained the written consent of the Authority.
- (2) The consent referred to in subsection (1) shall be obtained by way of a written application to the Authority in which is specified-
 - (a) the name of the foreign institution;
 - (b) the country in which it is established;
 - (c) the name of its proposed chief representative officer in the Republic; and
 - (d) the address of its proposed representative office in the Republic, and the application shall be accompanied by the prescribed fee and a certificate of the competent authority in the other country in question to the effect that the foreign institution concerned is by or under the laws of that other country authorized to conduct a business in such country similar to the business of a bank.

[Subs. (2) amended by s. 27 of Act 26/94]

- (2A) A foreign institution applying in terms of subsection (2) may be required by the Authority to furnish him or her with such information and documents as he or she may deem necessary, over and above any information and documents which have been furnished by such foreign institution by virtue of that subsection.

[Subs. (2A) inserted by s. 27 of Act 26/94 and substituted by s. 2 of Act 55/96 and s. 24 of Act 19/2003]

- (2B) After having considered all information and documents furnished to the Authority for the purposes of an application in terms of subsection (2), the Authority may grant the application, either unconditionally or subject to such conditions as he or she may determine, if the Authority is satisfied that-
 - (a) the foreign institution making that application lawfully conducts a business similar to the business of a bank in a country other than the Republic;
 - (b) the competent authority responsible in that other country for the supervision of that foreign institution-
 - (i) has duly authorized the proposed establishment of a representative office in the Republic by that foreign institution;
 - (ii) accepts, is committed to and complies with the proposals, guidelines and pronouncements of the Basle Committee on Banking Supervision;
 - (iii) is not legally precluded from fulfilling its obligations in terms of subparagraph (ii); and
 - (iv) will on a continuous basis furnish the Authority with all material information regarding the financial soundness of that foreign institution; and
 - (c) the establishment of a representative office in the Republic by that foreign institution will not be detrimental to the public interest.

[Subs. (2B) inserted by s. 2 of Act 55/96 and amended by s. 24 of Act 19/2003]

- (2C) Upon granting an application for consent to the establishment of a representative office in the Republic, the Authority, against payment of the prescribed fee by the foreign institution, shall issue to the foreign institution, on the prescribed form, a certificate of authorization for the establishment of a representative office in the Republic.

[Subs. (2C) inserted by s. 2 of Act 55/96]

- (3) After the establishment of a representative office in terms of this section the foreign institution concerned shall in writing notify the Authority-
 - (a) of any change of the name of the institution;
 - (b) of any substitution of its chief representative officer in the Republic;
 - (c) of any change of the address of the representative office; or
 - (d) of the closing down of the representative office, as soon as it occurs.

- (4) A representative office contemplated in this section may not conduct the business of a bank in the Republic.
- (5) Representative offices established in accordance with the provisions of this section shall furnish the Authority, at such time or times or at such intervals or in respect of such period or periods and in such form as may be prescribed, with such prescribed information as the Authority may require reasonably for purposes of the performance of his or her functions under this Act.

[Subs. (5) inserted by s. 2 of Act 55/96 and substituted by s. 24 of Act 19/2003]

- (6) Representative offices established in accordance with this section shall conduct their business subject to such conditions as may be prescribed.

[Subs. (6) added by s. 24 of Act 19/2003]

35. Annual licence

A bank, a branch by means of which a foreign institution is under section 18A authorized to conduct the business of a bank in the Republic and a representative office established in terms of section 34 must obtain from the Authority a business licence pertaining to its particular business in respect of each year ending on the thirty-first day of December.

[S. 35 substituted by s. 28 of Act 26/94 and s. 4 of Act 12/2022 w.e.f. 1 April 2023]

CHAPTER IV

SHAREHOLDING IN, AND REGISTRATION OF CONTROLLING COMPANIES IN RESPECT OF BANKS

36.

[S. 36 amended by s. 3 of Act 42/92 and repealed by s. 29 of Act 26/94]

37. Permission for acquisition of shares in bank or controlling company

- (1) Subject to the provisions of subsection (6), no person shall acquire in a bank or controlling company-
- (a) shares of which the total nominal value or voting rights in respect of the issued shares of such bank or controlling company that are exercisable by such person; or
 - (b) shares of which the total nominal value together with the total nominal value of such shares already held by such person or the voting rights in respect of the issued shares of such bank or controlling company that is exercisable by such person together with the voting rights attached to the shares of such bank or controlling company that are already held and exercisable by such person; or
 - (c) shares of which the total nominal value together with the total nominal value of such shares already held by such person and by the associate or associates of such person or the voting rights in respect of the issued shares of such bank or controlling company that are exercisable by such person together with the voting rights attached to the shares of such bank or controlling company that are already held and exercisable by such person and by the associate or associates of such person,

amount to more than 15 per cent of the total nominal value or the total voting rights in respect of all the issued shares of the bank or controlling company, without first having obtained permission in accordance with the provisions of subsection (2) for such acquisition.

[Subs. (1) amended by s. 4 of Act 42/92 and s. 25 of Act 19/2003 and substituted by s. 9 of Act 20/2007]

- (2)
- (a) If, subject to the provisions of paragraph (c)-
 - (i) any person has for a period of 12 months or such shorter period as the Authority may deem fit held so many shares in or the voting rights in respect of the issued shares of a bank or controlling company as such person may in accordance with the provisions of subsection (1) hold therein, such person may, if the Authority has granted permission in writing thereto, acquire more than 15 per cent, but not exceeding 24 per cent, of those shares or the voting rights in respect of the issued shares as contemplated in the said subsection;
 - (ii) the said person has for a period of 12 months or such shorter period as the Authority may deem fit held 24 per cent of those shares or the voting rights in respect of the issued shares as so contemplated such person may, if the Authority has granted permission in writing thereto, acquire more than 24 per cent, but not exceeding 49 per cent, of those shares or the voting rights in respect of the issued shares as contemplated in the said subsection (1);
 - (iii) the said person has for a period of 12 months or such shorter period as the Minister may deem fit held 49 per cent

of those shares or the voting rights in respect of the issued shares as contemplated in the said subsection (1) such person may, if the Minister has, through the Authority, granted permission thereto in writing, acquire more than 49 per cent, but not exceeding 74 per cent, of those shares or the voting rights in respect of the issued shares as contemplated in the said subsection; and

- (iv) the said person has for a period of 12 months or such shorter period as the Minister may deem fit held 74 per cent of those shares or the voting rights in respect of the issued shares as contemplated in the said subsection (1) such person may, if the Minister has, through the Authority, granted permission thereto in writing, acquire more than 74 per cent of those shares or the voting rights in respect of the issued shares, as contemplated in the said subsection.

[Para. (a) substituted by s. 4 of Act 42/92 and s. 9 of Act 20/2007]

- (b) In considering granting permission in terms of paragraph (a) the Authority or the Minister, as the case may be, may consult with the Competition Commission established in terms of the Competition Act, 1998 (Act No. 89 of 1998).
- (c) Notwithstanding the provisions of paragraph (a), the Authority or the Minister, as the case may be, may, if in a particular case the Authority or the Minister, as the case may be, deems it fit to do so, grant permission for the acquisition of shares or the voting rights in respect of the issued shares as contemplated in subparagraph (i), (ii), (iii) or (iv) of paragraph (a) without the applicant for such permission having held shares or the voting rights in respect of the issued shares for the period of 12 months or any shorter period as required in any of the said subparagraphs.

[Para. (c) inserted by s. 4 of Act 42/92 and substituted by s. 9 of Act 20/2007]

[Subs. (2) substituted by s. 25 of Act 19/2003]

- (3) If any person at the commencement of the Banks Amendment Act, 2007, already holds more than 15 per cent of the voting rights in respect of the issued shares in a bank or controlling company as contemplated in subsection (1), such person may not acquire more of the voting rights in respect of the issued shares as contemplated in the said subsection before such person has obtained the appropriate permission in terms of subsection (2).

[Subs. (3) substituted by s. 4 of Act 42/92, s. 25 of Act 19/2003 and s. 9 of Act 20/2007]

- (4) Permission in terms of subsection (2) for the acquisition of shares or the voting rights in respect of the issued shares in a bank or controlling company shall not be granted unless the Authority or the Minister, as the case may be, is satisfied that the proposed acquisition of shares or the voting rights in respect of the issued shares-

- (a) will not be contrary to the public interest; and
- (b) will not be contrary to the interests of the bank concerned or its depositors or of the controlling company concerned, as the case may be.

[Subs. (4) amended by s.9 of Act 20/2007]

- (5) If, in the case of a shareholding contemplated in-

- (a) subsection (2)(a)(i) and (ii), the Authority; or
- (b) subsection (2)(a)(iii) and (iv), the Minister,

is of the opinion that the retention of such shareholding or voting rights in respect of the issued shares in a bank or controlling company by a particular shareholder will be to the detriment of the bank or controlling company concerned, the Authority or the Minister, as the case may be, may by way of application on notice of motion apply to the division of the High Court in whose area of jurisdiction the head office of the bank or controlling company is situated, for an order-

- (i) compelling such shareholder to reduce, within a period determined by the court, the shareholding or voting rights in respect of the issued shares of that person in that bank or controlling company to a shareholding or voting rights in respect of the issued shares, as contemplated in subsection (1), with a total nominal value of not more than 15 per cent of the total nominal value of all the issued shares or voting rights in respect of the issued shares of that bank or controlling company; and
- (ii) limiting, with immediate effect, the voting rights that may be exercised by such shareholder by virtue of the shareholding of that person to 15 per cent of the voting rights attached to all the issued shares of the bank or controlling company concerned.

[Subs. (5) substituted by s. 4 of Act 42/92, s. 25 of Act 19/2003 and s. 9 of Act 20/2007]

- (6) The provisions of subsection (1) shall not apply to the acquisition of shares or voting rights in respect of the issued shares in a bank by a controlling company registered as such in respect of that bank.

[Subs. (6) substituted by s. 4 of Act 42/92 and s. 9 of Act 20/2007]

- (7) For the purposes of this section “associate”-
- (a) in relation to a natural person, means-
 - (i) a close relative of that person; or
 - (ii) any person who has entered into an agreement or arrangement with the first-mentioned person, relating to the acquisition, holding or disposal of, or the exercising of voting rights in respect of, shares in the bank or controlling company in question;
 - (b) in relation to a juristic person-
 - (i) which is a company, means any subsidiary or holding company of that company, any other subsidiary of that holding company and any other company of which that holding company is a subsidiary;
 - (ii) which is a close corporation registered under the Close Corporations Act, 1984 (Act No. 69 of 1984), means any member thereof as defined in section 1 of that Act;
 - (iii) which is not a company or a close corporation as contemplated in this paragraph, means another juristic person which would have been a subsidiary of the first-mentioned juristic person-
 - (aa) had such first-mentioned juristic person been a company; or
 - (bb) in the case where that other juristic person, too, is not a company, had both the first-mentioned juristic person and that other juristic person been a company;
 - (iv) means any person in accordance with whose directions or instructions the board of directors of or, in the case where such juristic person is not a company, the governing body of such juristic person is accustomed to act; and
 - (c) in relation to any person-
 - (i) means any juristic person of which the board of directors or, in the case where such juristic person is not a company, of which the governing body is accustomed to act in accordance with the directions or instructions of the person first-mentioned in this paragraph; and
 - (ii) includes any trust controlled or administered by that person.

[Subs. (7) substituted by s. 30 of Act 26/94]

38. Registration of shares in name of nominees

- (1) Notwithstanding the provisions of the Companies Act, no bank or controlling company shall without the written approval of the Authority-
 - (a) allot or issue any of its shares to, or register any of its shares in the name of, any person other than the intended beneficial shareholder;
 - (b) transfer any of its shares in the name of a person other than the beneficial shareholder; or
 - (c) after the commencement of this Act allow any of its shares to remain registered in the name of a person other than the beneficial shareholder.
- (2) Subsection (1) shall not affect the allotment or issue, or the registration of the transfer, of shares in a bank or controlling company-
 - (a) in the name of the trustee or custodian of a collective investment scheme as defined in section 1 of the Collective Investment Schemes Control Act, 2002 (Act No. 45 of 2002), or of a nominated company of the manager or trustee approved by the Authority of Collective Investment Schemes;

[Para. (a) substituted by s. 18 of Act 22/2013]
 - (b) in the name of any executor, administrator, trustee, curator, guardian or liquidator in respect of the estate of a deceased member of the bank or controlling company or of a member whose estate has been sequestrated or of a member who is otherwise under disability or as the liquidator of any body corporate in the course of being wound up which is a member of the bank or controlling company;

[Para. (b) substituted by s. 18 of Act 22/2013]

- (c) for a period of not more than six months, in the name of a regulated person as defined in section 1 of the Securities Services Act, 2004 (Act No. 36 of 2004), or of a company controlled by the bank or of an employee of the bank, if it is necessary that the shares be so allotted, issued or registered in order to facilitate delivery to the purchaser or to protect the rights of the beneficiary in respect of those shares or where the beneficiary is not known;

[Para. (c) substituted by s. 26 of Act 19/2003 and s. 18 of Act 22/2013]

- (d) in the name of a person in other special circumstances determined by the Minister by notice in the *Gazette*; or

- (e) in the name of a central securities depository as defined in section 1 of the Services Act, 2004 (Act No. 36 of 2004).

[Para. (e) inserted by s. 17 of Act 85/92 and substituted by s. 18 of Act 22/2013]

39. Furnishing of information by shareholders

Any person desiring shares in a bank or controlling company to be allotted or issued to such person or to be registered in the name of such person, or in whose name such shares are registered, and any person acting on behalf of such a person, shall at the written request of the bank or controlling company furnish it with-

- (a)

[Para. (a) deleted by s. 31 of Act 26/94]

- (b) such information as may be required by the bank or controlling company for the purposes of complying with the provisions of section 38.

[S. 39 amended by s. 27 of Act 19/2003]

40. Absence of wrongful intent

If a bank or a controlling company or any director, officer, employee or agent of a bank or controlling company in good faith and on the strength of information reasonably obtained acts or fails to act and thereby unknowingly contravenes the provisions of section 38, such act or failure to act shall not constitute an offence.

[S. 40 substituted by s. 32 of Act 26/94]

41. Effects of registration of shares contrary to Act

- (1) No person shall-

- (a) either personally or by proxy granted to any other person, cast a vote attached to; or

- (b) receive a dividend payable on,

any share in a bank or controlling company allotted or issued to such person or registered in the name of such person in contravention of a provision of this Act.

[Subs. (1) substituted by s. 28 of Act 19/2003]

- (2) The validity of any resolution adopted by a bank or controlling company shall not be affected by a vote being cast in contravention of subsection (1)(a), if that resolution was adopted by the requisite majority of votes which were validly cast.

- (3) A dividend referred to in subsection (1)(b) shall accrue to the bank or controlling company concerned.

42. Restriction of right to control bank

- (1) Subject to the provisions of section 37, no person other than a bank or an institution which has been approved by the Authority and which conducts business similar to the business of a bank in a country other than the Republic may exercise control over a bank, unless such person is a public company and is registered as a controlling company in respect of such bank.

[Subs. (1) substituted by s. 5 of Act 42/92 and s. 33 of Act 26/94]

- (2) For the purpose of this Act a person shall be deemed to exercise control over a bank if, in the case where that person is a company, the bank is a subsidiary of that company, or, whether or not that person is a company, if that person alone or together with his or her associates-

- (a) holds shares in the bank of which the total nominal value represents more than 50 per cent of the nominal value of all the issued shares of the bank, unless, due to limitations on the voting rights attached to the shares so held by the person alone or together with his or her associates, as the case may be, such person voting independently or such person and his or her associates voting as a group, is or are unable to decisively influence the outcome of the voting at a general meeting of the bank;

- (b) is entitled to exercise more than 50 per cent of the voting rights in respect of the issued shares of that bank; or
- (c) is entitled or has the power to determine the appointment of the majority of the directors of that bank, including-
 - (i) the power to appoint or remove, without the concurrence of any other person, all or the majority of such directors; or
 - (ii) the power to prevent any person from being appointed a director without his or her consent,

and if a person's appointment as a director of the bank follows necessarily from his or her appointment as a director of the person first-mentioned in this subsection, the first-mentioned appointment shall for the purposes of this subsection be deemed to be an appointment by virtue of a power of a person so first-mentioned.

[Subs. (2) substituted by s. 29 of Act 19/2003]

- (3) For the purposes of this section "associate" means an associate as defined in section 37(7).

[Subs. (3) substituted by s. 33 of Act 26/94]

43. Application for registration as controlling company

- (1) Subject to section 42, a public company-
 - (a) that intends to exercise control over any bank; or
 - (b) which is a holding company, as defined in section 1 of the Companies Act, in respect of any other public company which has applied in terms of section 16 for registration as a bank,

[Para. (b) substituted by s. 19 of Act 22/2013]

shall apply to the Authority on the form prescribed or registration as a controlling company in respect of that bank or proposed bank, as the case may be.

[Subs. (1) amended by s. 34 of Act 26/94 and substituted by s. 30 of Act 19/2003 and s. 10 of Act 20/2007]

- (2) An application referred to in subsection (1) shall be accompanied by such information and documents as may be prescribed.
- (3) A public company applying in terms of subsection (1) for registration as a controlling company shall submit such additional particulars in connection with its application as the Authority may require.

44. Granting or refusal of application for registration as controlling company

- (1) Subject to the provisions of subsection (2), the Authority may, after considering all information, documents and particulars furnished in terms of section 43 for the purposes of an application under that section, grant or refuse the relevant application or grant the application subject to such conditions as he or she may impose.

[Subs. (1) substituted by s. 31 of Act 19/2003]

- (2) The Authority shall not grant an application made under section 43 unless he or she is satisfied-
 - (a) that the registration of the applicant as a controlling company will not be contrary to the public interest;
 - (b) that, in the case of an applicant applying for registration in the circumstances referred to in section 43(1)(a), the applicant will be able to establish control, as contemplated in section 42(2), over the bank concerned;
 - (c) that no provision of the memorandum of incorporation of the applicant is inconsistent with a provision of this Act or is undesirable in so far as it concerns banks;

[Para. (c) substituted by s. 20 of Act 22/2013]

- (d) that every director or executive officer of the applicant is, as far as can reasonably be ascertained, a fit and proper person to hold the office of such director or executive officer, and that every such executive officer has sufficient knowledge and experience to manage the affairs of the applicant in its capacity of a controlling company;

- (e) that the applicant is in a financially sound condition;

- (f) that no interest which any person has in the applicant is inconsistent with a provision of this Act; and

- (g) that the application complies with the requirements of this Act.

[Subs. (2) amended by s. 31 of Act 19/2003]

- (3) When the Authority in terms of this section grants or refuses an application for registration as a controlling company, he or

she shall give written notice of that fact to the applicant concerned.

[Subs. (3) substituted by s. 31 of Act 19/2003]

(4)

- (a) If the Authority in terms of this section grants an application he or she shall, upon compliance by the applicant with the conditions subject to which the application was granted and on payment of the prescribed registration fee, register the applicant concerned as a controlling company in respect of the bank concerned and on the prescribed form issue to the applicant a certificate of registration as a controlling company in respect of the bank concerned.

[Para. (a) substituted by s. 31 of Act 19/2003]

- (b) No applicant which has applied for registration as a controlling company in the circumstances referred to in section 43(1)(b) shall be registered as such a controlling company unless the company in respect of which it made such application is registered as a bank.

(5) In addition to any other condition which the Authority may impose under subsection (1), he or she may impose a condition requiring an applicant which applied for registration as a controlling company in the circumstances referred to in section 43(1)(a)-

- (a) to furnish within a specified period proof to the satisfaction of the Authority that it will immediately after its registration as a controlling company establish control over the bank in respect of which it desires to be registered; or
- (b) to make an offer, within a specified period and on a basis and on conditions regarded by the Authority as reasonable and fair, to persons holding shares in the said bank to take up shares in the applicant or to exchange shares held by them in the said bank for shares in the applicant.

[Subs. (5) amended by s. 31 of Act 19/2003]

(6)

- (a) Whenever the Authority has imposed a condition referred to in subsection (5)(b), he or she may, after consultation with the applicant concerned, designate a person to investigate, independently of the applicant, and to advise the Authority on, the reasonableness and fairness of the basis and conditions on which the applicant intends to make the share offer in compliance with the condition.

[Para. (a) substituted by s. 31 of Act 19/2003]

- (b) The costs of an investigation in terms of paragraph (a) shall be paid by the applicant concerned.

(7) A public company which on the date immediately preceding the date of commencement of the Deposit-taking Institutions Amendment Act, 1993 (hereinafter in this subsection referred to as the Amendment Act), is, in terms of the provisions of this Act as those provisions existed prior to the amendment thereof by the Amendment Act, registered as a controlling company in respect of a deposit-taking institution, shall, with effect from the date of the reregistration of the deposit-taking institution concerned as a bank in terms of section 33, be deemed to be a controlling company registered as such in terms of this section in respect of the bank as so reregistered.

[Subs. (7) substituted by s. 10 of Act 9/93]

45. Cancellation by Authority of registration of controlling company

- (1) If a controlling company has failed to establish control over the bank in respect of which it is registered, or no longer exercises such control, the Authority may by notice in writing to such controlling company cancel its registration in respect of that bank.
- (2) No cancellation of any registration under subsection (1) shall be of force unless the Authority has previously by notice in writing given the controlling company concerned an opportunity to show cause within a period specified in the notice, not being less than 30 days, why its registration should not be cancelled.

46. Cancellation by court of registration of controlling company

- (1) The Authority may by way of application on notice of motion apply to a competent court for an order cancelling the registration of a controlling company if in the opinion of the Authority there exist grounds, other than the grounds referred to in section 45, justifying such cancellation.
- (2) The provisions of subsections (2) and (3) of section 25 shall *mutatis mutandis* apply to an application under subsection (1).
- (3) In addition to any other grounds which the court may consider sufficient to justify the granting of an order under subsection (1) cancelling the registration of a controlling company, such an order may also be granted if the controlling company concerned-

- (a) has furnished the Authority in or in connection with its application for registration with information which is in a material respect untrue; or
- (b) has contravened or failed to comply with a provision of or a requirement under this Act, or if, on any other ground advanced by the Authority in the relevant application, the court is of the opinion that it is not in the public interest to allow the controlling company concerned to continue its activities as a controlling company.

47. Cancellation of registration at request of controlling company

The Authority shall cancel the registration of the controlling company upon submission to him or her by the controlling company of a special resolution approved by the shareholders holding no less than 75 per cent of the voting rights entitled to vote on the decision authorising such cancellation.

[S. 47 substituted by s. 32 of Act 19/2003 and s. 21 of Act 22/2013]

48. Lapse of registration of controlling company upon cancellation of registration of bank

- (1) If the registration of a bank in respect of which a controlling company is registered, is cancelled, the registration of that controlling company in respect of that bank shall be deemed to have been cancelled simultaneously.
[Subs. (1) substituted by s. 35 of Act 26/94]
- (2) The cancellation of the registration of a controlling company by virtue of the provisions of subsection (1) shall be with effect from the date on which the bank concerned in terms of section 31 ceased to be registered as such.

49. Date on which registration of controlling company lapses

A controlling company shall cease to be registered as such-

- (a) in the case of a registration cancelled by the Authority under section 45, upon expiry of 30 days after the date of the notice referred to in subsection (1) of that section or, if an application for the review of such a decision to cancel was lodged with the board of review in terms of section 9 before the expiry of the said 30 days and the board of review has confirmed such cancellation, upon the date on which the controlling company concerned is notified of such confirmation;
[Para. (a) substituted by s. 7 of Act 36/2000]
- (b) in the case of a registration in respect of which the court has granted an order under section 46 cancelling the registration, upon the date on which that order comes into force; or
- (c) in the case of a registration cancelled by the Authority in terms of section 47, upon such date as may be determined by the Authority.

50. Investments and loans and advances by controlling companies

- (1) A controlling company investing money-
 - (a) in undertakings other than banks or institutions which conduct business similar to the business of a bank in a country other than the Republic, controlling companies or companies of which the main object is the holding or development of property which is used or intended to be used mainly for the purpose of conducting the business of a bank; or
 - (b) in fixed property which is not used or intended to be used mainly for the purpose of conducting the business of a bank,

shall manage its transactions in such investments in such a way that the amount of such investments does not at any time exceed a prescribed percentage of a prescribed amount of the share capital and reserve funds of the controlling company calculated on a consolidated basis as prescribed.
- (2) A controlling company providing loans and advances-
 - (a) to undertakings other than banks, institutions which conduct business similar to the business of a bank in a country other than the Republic, controlling companies or companies of which the main object is the holding or development of property which is used or intended to be used mainly for the purpose of conducting the business of a bank; or
 - (b) in relation to fixed property which is not used or intended to be used mainly for the purpose of conducting the business of a bank,

shall manage its transactions in relation to such loans and advances in such a way that the amount of such loans and advances does not at any time exceed a prescribed percentage of a prescribed amount of the share capital and reserve funds of the controlling company and calculated on a consolidated basis as prescribed.

[S. 50 amended by s. 33 of Act 19/2003 and substituted by s. 11 of Act 20/2007]

CHAPTER V

FUNCTIONING OF BANKS AND CONTROLLING COMPANIES WITH REFERENCE TO COMPANIES ACT

51. Application of Companies Act to banks and controlling companies

(1) A company registered as a bank or as a controlling company shall continue to be a company in terms of the Companies Act, and the provisions of that Act shall, subject to the provisions of subsection (2), continue to apply to any such company to the extent to which they are not inconsistent with any provision of this Act: Provided that-

(a) the provisions of the Companies Act governing the conversion of public companies into other forms of companies shall not apply to any such company;

(b) the provisions of sections 128 to 154 of the Companies Act relating to business rescue shall not apply to a bank;

(c)

[Para. (c) deleted by s. 6 of Act 23/2021 w.e.f. 1 June 2023]

(d)

[Para. (c) deleted by s. 6 of Act 23/2021 w.e.f. 1 June 2023]

[Subs. (1) amended by s. 22 of Act 22/2013 and substituted by s. 1 of Act 3/2015 w.e.f. 29 June 2015]

(2) The Minister may with the concurrence of the Minister of Trade and Industry by notice in the Gazette declare that a provision of the Companies Act specified in such notice-

(a) shall not apply to any company registered as a bank or as a controlling company;

(b) shall only apply to any such company subject to such adjustments and qualifications as may be specified in the notice; or

(c) the administration of which vests in the Commissioner, shall in respect of companies registered as banks or as controlling companies vest in the Authority.

[Para. (c) substituted by s. 22 of Act 22/2013]

[Subs. (2) amended by s. 11 of Act 9/93]

(3)

[Subs. (3) deleted by s. 34 of Act 19/2003]

52. Subsidiaries, branch offices, other interests and representative offices of banks and controlling companies

(1) A bank shall not without the prior written approval of the Authority and in accordance with such conditions as the Authority may determine-

(a) establish or acquire a subsidiary in the manner prescribed within or outside the Republic or enter into an agreement having the effect that any company becomes its subsidiary within or outside the Republic;

(aA) invest in a joint venture within or outside the Republic if the investment, or the investment together with one or more investments already made by the bank in that joint venture, results in the bank being exposed to an amount representing more than five per cent of its capital and reserves: Provided that for as long as the bank is exposed to the aforementioned extent, such approval must be obtained whenever it seeks to make a further investment in that joint venture;

(b) open or acquire a branch office outside the Republic;

(c) acquire an interest in any undertaking having its registered office or principal place of business outside the Republic: Provided that the Authority may issue a directive, with or without conditions, specifying the circumstances under which a bank will be permitted to notify the Authority of such an acquisition without having to obtain the prior written approval of the Authority;

[Para. (c) substituted by s. 23 of Act 22/2013]

- (d) outside the Republic-
 - (i) create or acquire a trust of which the bank is a major beneficiary; or
 - (ii) establish or acquire any financial or other business undertaking under its direct or indirect control;
- (e) establish or acquire a representative office outside the Republic; or
- (f) create or acquire a division within or outside the Republic by means of an arrangement or agreement with any person having the effect that such person conducts his or her business through or by means of such a division.

[Subs. (1) amended by s. 3 of Act 55/96 and s. 35 of Act 19/2003 and substituted by s. 12 of Act 20/2007]

- (1A) Notwithstanding subsection (1), the Authority may, by notice published in the Register, determine circumstances and conditions in terms whereof an application contemplated in subsection (1) is not required.

[Subs. (1A) inserted by s. 12 of Act 20/2007 and substituted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

- (2) To obtain the prior approval of the Authority as contemplated in subsection (1), there shall be lodged with the Authority a written application in which full particulars of the proposed action are furnished, including, in the case of a proposed establishment of a representative office outside the Republic as contemplated in paragraph (e) of the said subsection-

- (a) the country in which the representative office is to be established;
- (b) the name of the proposed chief representative officer, in that country, of the bank; and
- (c) the address of the proposed representative office in that country.

- (3) The Authority may require an applicant contemplated in subsection (2) to furnish him or her with such information, in addition to particulars furnished by the applicant in terms of that subsection, as the Authority may deem necessary.

[Subs. (3) substituted by s. 35 of Act 19/2003]

- (4) After the establishment in terms of this section of a representative office outside the Republic, the bank concerned shall in writing notify the Authority of-

- (a) any substitution of its chief representative officer in the country concerned;
- (b) any change of the address of the representative office in question; or
- (c) the closing down of the representative office, as soon as it occurs.

- (5) The provisions of subsection (1)(a), (c) and (d), and of subsections (2) and (3) in so far as they are relevant, shall *mutatis mutandis* apply in respect of any controlling company.

- (6) For the purposes of this section and section 53 “joint venture” means a contractual arrangement between two or more persons, one or more of whom is a bank or a controlling company, in terms whereof the parties undertake an economic activity that is subject to their joint control.

[Subs. (6) inserted by s. 3 of Act 55/96]

53. Disclosure by banks and controlling companies of interest in subsidiaries, trusts and other undertakings

A bank or a controlling company shall on such a form and at such intervals as may be prescribed furnish the Authority with such particulars as may be prescribed relating to its shareholding or other interest in-

- (a) its subsidiaries contemplated in section 52(1)(a);
- (aA) any joint venture contemplated in section 52(1)(aA);
- (b) an undertaking contemplated in section 52(1)(c); or
- (c) any trust or financial or other business undertaking contemplated in section 52(1)(d).

[Para. (aA) inserted by s. 4 of Act 55/96]

54. Amalgamations, mergers and arrangements

[Heading of s. 54 substituted by s. 24 of Act 22/2013]

- (1) The Minister must consent, in writing and conveyed through the Authority, to-

- (a) an amalgamation, merger or arrangement referred to in Chapter 5 of the Companies Act and which involves a bank as one of the principal parties to the relevant transaction; and
[Para. (a) substituted by s. 24 of Act 22/2013]

- (b) an arrangement for the transfer of more than 25 per cent of the assets, liabilities or assets and liabilities of a bank to another person:

Provided that the 25 per cent referred to in paragraph (b) shall be calculated by aggregating the amount of the transferred assets, liabilities or assets and liabilities together with any previous transfer of assets, liabilities or assets and liabilities within the same financial year of the bank concerned: Provided further that the Minister's consent is granted beforehand.

[Subs. (1) substituted by s. 13 of Act 20/2007]

- (1A) Subsection (1)(b) shall not be applicable to the transfer of assets effected in accordance with a duly approved securitisation scheme.

[Subs. (1A) inserted by s. 13 of Act 20/2007]

(1B)

- (a) No arrangement for the transfer of 25 per cent or less of the assets, liabilities or assets and liabilities of a bank to another person shall have legal force unless the consent of the Authority to the transaction in question has been obtained beforehand.
- (b) In the event that only assets are transferred and the amount of the transferred assets, together with any previous transfer of assets within the same financial year, aggregates to an amount that is less than 10 per cent of the total on-balance-sheet assets of the transferring bank, consent in terms of paragraph (a) is not required: Provided that the transferring bank notifies the Authority of such a transfer in writing beforehand.

[Subs. (1B) inserted by s. 13 of Act 20/2007]

- (1C) Subsection (1B) shall not be applicable to the transfer of assets effected in accordance with a duly approved securitisation scheme.

[Subs. (1C) inserted by s. 13 of Act 20/2007]

(1D) This section does not apply to a bank in resolution.

[Subs. (1D) inserted by s. 7 of Act 23/2021 w.e.f. 1 June 2023]

- (2) The Minister shall not grant his or her consent referred to in subsection (1) unless-

- (a) he or she is satisfied that the transaction in question will not be detrimental to the public interest;
[Para. (a) substituted by s. 36 of Act 19/2003]
- (b) in the case of an amalgamation referred to in subsection (1), the amalgamation is an amalgamation of banks only; or
- (c) in the case of a transfer of assets, liabilities or assets and liabilities referred to in subsection (1) such transfer is effected to another bank or to a person approved by the Authority for the purpose of the said transfer.

[Para. (c) substituted by Proc. 132/94, s. 36 of Act 26/94 and s. 13 of Act 20/2007]

[Subs. (2) amended by s. 36 of Act 19/2003]

- (2A) The Authority shall not grant his or her consent referred to in subsection (1A) unless he or she is satisfied-

- (a) that the transaction in question will not be detrimental to the public interest;
- (b) that the transaction in question will not be contrary to the interests of the bank concerned or its depositors or the controlling company concerned; or
- (c) in the case of a transfer of assets, liabilities or assets and liabilities referred to in subsection (1B)(a), such transfer is effected to another bank or to a person approved by the Authority for the purpose of the said transfer.

[Subs. (2A) inserted by s. 13 of Act 20/2007]

- (3) Upon the coming into effect of a transaction effecting the amalgamation of one bank with another bank as contemplated in subsection (2)(b), or effecting the transfer of such part of the assets, liabilities or assets and liabilities as approved in terms of subsection (1) or (1B) of one bank to another bank or person as contemplated in subsection (2)(c) or (2A)(c)-

- (a) all the assets and liabilities of the amalgamating banks or, in the case of such transfer of assets, liabilities or assets and liabilities as approved in terms of subsection (1) or (1B), respectively, those assets, liabilities or assets and liabilities of the transferor bank that are transferred in terms of the transaction, shall vest in and become binding upon the amalgamated bank or, as the case may be, the bank or person taking transfer of such assets, liabilities or assets and

liabilities;

- (b) the amalgamated bank or, in the case of such transfer of all the assets and liabilities or a transfer of part of the assets, liabilities or assets and liabilities as approved in terms of subsection (1) or (1B), the bank or person taking transfer of such assets, liabilities or assets and liabilities, shall have the same rights and be subject to the same obligations as those which the amalgamating banks or, as the case may be, the transferor bank may have had or to which they or it may have been subject immediately before the amalgamation or transfer;
- (c) all agreements, appointments, transactions and documents entered into, made, drawn up or executed with, by or in favour of any of the amalgamating banks or, as the case may be, the transferor bank, and in force immediately prior to the amalgamation or transfer, but excluding such agreements, appointments, transactions and documents that, by virtue of the terms and conditions of the amalgamation or transfer, are not to be retained in force, shall remain of full force and effect and shall be construed for all purposes as if they had been entered into, made, drawn up or executed with, by or in favour of the amalgamated bank or, as the case may be, the bank or person taking transfer of the assets, liabilities or assets and liabilities in question; and
- (d) any bond, pledge, guarantee or instrument to secure future advances, facilities or services by any of the amalgamating banks or, as the case may be, by the transferor bank, which was in force immediately prior to the amalgamation or transfer, shall remain of full force and effect and shall be construed as a bond, pledge, guarantee or instrument given to or in favour of the amalgamated bank or, as the case may be, the bank or person taking transfer of such assets, liabilities or assets and liabilities, as security for future advances, facilities or services by that bank or person except where, in the case of such transfer, any obligation to provide such advances, facilities or services is not included in the transfer.

[Subs. (3) substituted by s. 36 of Act 26/94, s. 5 of Act 55/96 and s. 13 of Act 20/2007]

- (4) Any amalgamation or merger or any arrangement for the transfer of assets, liabilities or assets and liabilities, referred to in subsection (1) or (1B), excluding a transfer other than a transfer referred to in subsection (2)(c) or (2A)(c) shall be subject-

[Words preceding para. (a) substituted by s. 24 of Act 22/2013]

- (a) to confirmation at a general meeting of shareholders of each of the banks concerned; or
- (b) in the case of a transaction effecting the transfer of assets, liabilities or assets and liabilities of one bank to another bank or a person as contemplated in subsection (2)(c) or (2A)(c), to confirmation at a general meeting of shareholders of the transferor bank and the bank or person taking transfer of such assets, liabilities or assets and liabilities,

and the notice convening such a meeting shall contain or have attached to it the terms and conditions of the relevant agreement or arrangement.

[Subs. (4) substituted by s. 36 of Act 26/94, amended by s. 5 of Act 55/96 and substituted by s. 13 of Act 20/2007]

- (5) Notice of the passing of the resolution confirming, as contemplated in subsection (4), any amalgamation or merger or any arrangement for the transfer of assets, liabilities or assets and liabilities referred to in subsection (1) or (1B), together with a copy of such resolution and the terms and conditions of the relevant agreement or arrangement, duly certified by the chairperson of the meeting at which such resolution was passed and by the secretary of the bank or person concerned, shall be sent to the Authority by each of the banks involved or, in the case of a transaction effecting the transfer of assets, liabilities or assets and liabilities of one bank to another bank or a person as contemplated in subsection (2)(c) or (2A)(c), by the relevant transferor bank and the bank or person taking transfer of such assets, liabilities or assets and liabilities, and after having received such notices from all the parties to the relevant agreement or arrangement, the Authority shall register those notices.

[Subs. (5) substituted by s. 36 of Act 26/94, s. 5 of Act 55/96, s. 13 of Act 20/2007 and s. 24 of Act 22/2013]

- (6) Upon the registration by the Authority of the notices referred to in subsection (5)-

- (a) of any amalgamation of two or more banks, the registration of the individual banks which were parties to the amalgamation shall be deemed to be cancelled and the Authority shall withdraw those registrations and, on payment by the bank created by the amalgamation of the prescribed registration fee, register such bank, subject *mutatis mutandis* to the provisions of section 18, as a bank; or

[Para. (a) substituted by s. 36 of Act 26/94]

- (b) of any arrangement for the transfer of all the assets and liabilities of a bank, the registration of such bank shall be deemed to be cancelled and shall be withdrawn by the Authority.

- (7) Upon registration by a bank by the Authority in terms of subsection (6), he or she shall issue a certificate of registration to the bank concerned.

[Subs. (7) substituted by s. 36 of Act 26/94 and s. 36 of Act 19/2003]

- (8) The Commissioner, every Master of the High Court and every officer or person in charge of a deeds registry or any other office, if, in the office of such Commissioner, Master, officer or person or any register under the control of such

Commissioner, Master, officer or person there-

[Words preceding para. (a) substituted by s. 24 of Act 22/2013]

(a) is registered any title to property belonging to, or any bond or other right in favour of, or any appointment of or by;

(aA) is registered any share, stock, debenture or other marketable security in favour of; or

(b) has been issued any licence to or in favour of,

any bank which has amalgamated with any other bank, or any bank which has transferred all or part of its assets, liabilities or assets and liabilities referred to in subsection (1) or (1B), to any other bank or person shall, if satisfied-

(i) that the Minister has consented in terms of subsection (1) to the amalgamation or transfer or that the Authority has consented in terms of subsection (1B) to the transfer; and

(ii) that such amalgamation or transfer has been duly effected,

and upon production to such Commissioner, Master, officer or person of any relevant deed, bond, share, stock, debenture, certificate, letter of appointment, licence or other document, make such endorsements thereon and effect such alterations in the registers of such Commissioner, Master, officer or person as may be necessary to record the transfer of the relevant property, bond or other right, share, stock, debenture, marketable security, letter of appointment or licence and of any rights thereunder to the amalgamated bank or, as the case may be, to the bank or person that has taken transfer of the said assets, liabilities or assets and liabilities in question.

[Words following para. (ii) substituted by s. 24 of Act 22/2013]

[Subs. (8) amended by s. 12 of Act 9/93, and substituted by s. 36 of Act 26/94, s. 5 of Act 55/96, s. 36 of Act 19/2003 and s. 13 of Act 20/2007]

(8A) No transfer duty, securities transfer tax, registration fees, licence duty or other charges shall be payable in respect of-

(a) a transfer contemplated in subsection (8) taking place in the execution of a transaction entered into at the instance of the Authority in the interest of the effective supervision of banks or the maintenance of a stable banking sector; or

(b) any endorsement or alteration made to record such transfer,

upon submission to the Commissioner, or the Master, officer or person referred to in subsection (8), as the case may be, of a written confirmation by the Authority of Banks that the Minister, on the recommendation of the lastmentioned Authority and after consultation with the Commissioner of the South African Revenue Service has consented to the waiver of such duties, fees or charges.

[Words following para. (b) substituted by s. 24 of Act 22/2013]

[Subs. (8A) inserted by s. 5 of Act 55/96 and substituted by s. 90 of Act 17/2009]

(9) The provisions of this section shall not affect the rights of any creditor of a bank which has amalgamated with or transferred all or part of its assets, liabilities or assets and liabilities referred to in subsections (1) and (1B) to any other bank or person or taken over all or part of the assets, liabilities or assets and liabilities in question of any other bank, except to the extent provided in this section.

[Subs. (9) substituted by s. 12 of Act 9/93, s. 36 of Act 26/94 and s. 13 of Act 20/2007]

(10)

[Subs. (10) substituted by s. 12 of Act 9/93 and s. 13 of Act 20/2007 and deleted by s. 24 of Act 22/2013]

(11) Notwithstanding anything to the contrary contained in-

(a) Chapter 5 of the Companies Act; or

[Para. (a) substituted by s. 24 of Act 22/2013]

(b) the Fundamental Transactions and Takeover Regulations contained in Chapter 5 of the Companies Regulations, 2011, published under Government Notice R. 351 in *Government Gazette* No. 34239 on 26 April 2011,

[Para. (b) substituted by s. 24 of Act 22/2013]

(c)

[Para. (c) deleted by s. 24 of Act 22/2013]

neither the Takeover Regulation Panel established in terms of section 196 of the Companies Act nor its executive committee or its executive director shall furnish any clearance, decision or ruling in respect of a matter submitted to it or such executive director in terms of the provisions of Chapter 5 of the Companies Act and the Takeover Regulations, and which matter relates to an affected transaction, as defined in section 117 of the Companies Act involving-

[Words preceding para. (c) substituted by s. 24 of Act 22/2013]

(i)

[Subpara. (i) deleted by s. 36 of Act 26/94]

(ii) an acquisition of shares in a bank or controlling company for which permission under section 37(2)(a)(i), (ii), (iii) or (iv) is a prerequisite, unless the person submitting the matter in question has furnished the said Panel, executive committee or executive director with written proof that such exemption or permission, as the case may be, has in fact been obtained.

[Para. (c) amended by s. 36 of Act 19/2003]

[S. 54 substituted by s. 6 of Act 42/92]

55. Reconstruction within group of companies

No reconstruction of companies within a group-

- (a) in respect of which annual financial statements are required to be made out in terms of section 30 of the Companies Act; and
[Para. (a) substituted by s. 25 of Act 22/2013]
- (b) of which a bank or a controlling company or subsidiary of a bank is a member, shall be affected without the prior written approval of the Authority.

56. Alteration of memorandum of incorporation, and change of name

[Heading of s. 56 substituted by s. 26 of Act 22/2013]

(1) No-

(a) alteration, in terms of section 16 of the Companies Act, of the memorandum of incorporation of a company registered as a bank; or

(b) change, in terms of section 16(8) of the Companies Act, of the name of any such company,

shall have legal force for the purposes of this Act or any other law unless such alteration or change has been approved in writing by the Authority prior to the registration thereof by the Commissioner.

[Subs. (1) substituted by s. 26 of Act 22/2013]

(2) Any application for the Authority's approval in terms of subsection (1) shall be lodged with the Authority before the proposed special resolution authorizing the alteration or change in question is laid before a general meeting of the company, and such application shall be accompanied by-

- (a) two copies of the proposed special resolution; and
- (b) an explanation of the reasons for the resolution.

(3) The Authority shall not grant any application referred to in subsection (2) if he or she is of the opinion-

- (a) that the proposed alteration is inconsistent with any provision of this Act or is undesirable in so far as it concerns the activities of banks; or
- (b) that the proposed new name is unacceptable on any of the grounds mentioned in subparagraphs (i), (ii), (iii) and (iv) of section 17(2)(e).

[Subs. (3) amended by s. 37 of Act 19/2003]

(4) A bank shall within 21 days of the registration by the Commissioner of an alteration of its memorandum of incorporation or a change of its name, furnish the Authority with a certified copy of the special resolution which sets out the alteration or change of name, as the case may be.

[Subs. (4) substituted by s. 26 of Act 22/2013]

(5) Upon receipt, by virtue of the provisions of subsection (4), of a copy of a special resolution, and payment by the bank concerned of the prescribed fee, the Authority shall-

- (a) in the case of a special resolution relating to an alteration of a memorandum of incorporation, register the alteration in question and issue to the bank concerned a certificate to the effect that the said alteration has been registered by the Authority with effect from a date specified in the certificate; or

[Para. (a) substituted by s. 26 of Act 22/2013]

- (b) in the case of a special resolution relating to a change of name, change the name of the bank concerned in the register of banks, and issue to the bank concerned a certificate of such change of name.

[Para. (b) substituted by s. 37 of Act 19/2003]

- (6) An alteration referred to in subsection (5)(a) shall not take effect until it has been registered in terms of that subsection.
- (7) The provisions of subsections (1), (2) and (3) shall not apply with respect to any alteration of a bank's memorandum of incorporation in accordance with a direction by the Authority under this Act.
[Subs. (7) substituted by s. 26 of Act 22/2013]
- (8) The provisions of subsection (1) (a), and of subsections (2), (3), (4), (5) and (6) in so far as they are relevant, shall *mutatis mutandis* apply in respect of any controlling company.

57. Alteration of memorandum of incorporation in accordance with direction of Authority

- (1) The Authority may at any time in writing direct a bank to effect such alteration, not contrary to a provision of this Act, to its memorandum of incorporation as the Authority may deem desirable in order to remove anomalies or undesirable divergences in the activities of different banks.
- (2) An alteration directed by the Authority under subsection (1) shall on or before the day of the first annual general meeting, referred to in section 61(7) of the Companies Act, following upon the date of such direction, be submitted for consideration to the shareholders of the bank concerned.
- (3) If a bank refuses or fails to alter its memorandum of incorporation in accordance with a direction of the Authority under subsection (1), the Authority may submit a copy of that direction to the Commissioner, who shall thereupon deal with the proposed alteration contained therein in accordance with the Companies Act as if it were contained in a special resolution adopted by the bank concerned and submitted to the Commissioner by that bank in accordance with that Act.

[S. 57 amended by s. 38 of Act 19/2003 and substituted by s. 27 of Act 22/2013]

58. Information regarding directors and officers

Every bank and every controlling company shall within 30 days of its registration as such, furnish the Authority with a copy of its record of directors and officers.

[S. 58 substituted by s. 37 of Act 26/94 and s. 28 of Act 22/2013]

59. Returns regarding shareholders

- (1) Every bank and every controlling company shall within 90 days of its registration as such, and annually thereafter within 30 days of 31 December of each year, furnish the Authority with a return regarding its shareholders as at the date of the said registration or as on 31 December of that year, as the case may be.
- (2) A return referred to in subsection (1) shall contain the information prescribed.

[S. 59 amended by s. 13 of Act 9/93, s. 38 of Act 26/94 and s 39 of Act 19/2003 and substituted by s. 14 of Act 20/2007]

60. Directors and officers of bank or controlling company

[Heading substituted by s. 15 of Act 20/2007]

- (1) Without derogating from the application of sections 77 and 78 of the Companies Act, each director, chief executive officer and executive officer of a bank owes a fiduciary duty and a duty of care and skill to the bank of which such person is a director, chief executive officer or executive officer.

[Subs. (1) substituted by s. 40 of Act 19/2003 and s. 29 of Act 22/2013]

(Commencement date of Subs. (1): 9 August 1991)

- (1A) Without derogating from the application of sections 77 and 78 of the Companies Act, each director, chief executive officer and executive officer of a bank owes a duty towards the bank to-

[Words preceding para. (1A) substituted by s. 29 of Act 22/2013]

- (a) act *bona fide* for the benefit of the bank;
- (b) avoid any conflict between the bank's interests and the interests of such a director, chief executive officer or executive officer, as the case may be;
- (c) possess and maintain the knowledge and skill that may reasonably be expected of a person holding a similar appointment and carrying out similar functions as are carried out by the director, chief executive officer or executive officer of that bank; and
- (d) exercise such care in the carrying out of his or her functions in relation to that bank as may reasonably be expected of a diligent person who holds the same appointment under similar circumstances, and who possesses both the knowledge and skill mentioned in paragraph (c) and any such additional knowledge and skill as the director, chief executive

officer or executive officer in question may have.

[Subs. (1A) inserted by s. 40 of Act 19/2003]

(1B)

- (a) The Authority may institute action in terms of section 77 of the Companies Act or section 424 of the Companies Act, 1973 (Act 61 of 1973), against any director, chief executive officer or executive of the Bank who was knowingly a party to the carrying out of the business of the bank in the manner envisaged in that section.

[Para. (a) substituted by s. 29 of Act 22/2013]

- (b) Notwithstanding anything to the contrary in any law, any amount recovered as a result of proceedings instituted by the Authority as envisaged in paragraph (a), shall be utilized-

- (i) first to reimburse all expenses reasonably incurred by the Authority in bringing such proceedings;

- (ii) thereafter to set off against any amount-

(aa) paid by the Corporation for Deposit Insurance established in terms of section 166AE of the Financial Sector Regulation Act, 2017 (Act No. 9 of 2017), to or in respect of depositors of the bank;

(bb) paid to depositors by a financial sector regulator as defined in section 1(1) of the Financial Sector Regulation Act, 2017 (Act No. 9 of 2017) or any governmental body as part or full compensation for the losses suffered by depositors as a result of the bank being unable to repay their deposits; and

[Subpara. (ii) substituted by s. 8 of Act 23/2021 w.e.f. 1 June 2023]

- (iii) thereafter for the *pro rata* repayment of the losses of depositors.

[Subs. (1B) inserted by s. 40 of Act 19/2003]

- (2) Without derogating from the provisions of subsections (1) and (1A), a director, chief executive officer or executive officer of a bank shall, in the performance of his or her functions in respect of that bank, observe such guidelines and comply with such requirements as may be prescribed under section 90(1)(b).

[Subs. (2) substituted by s. 40 of Act 19/2003]

(Commencement date of Subs. (2): 9 August 1991)

- (3) Notwithstanding anything to the contrary in any law or the common law or in any agreement contained, not more than 49 per cent, rounded off to the next lower integral number, of the directors of-

- (a) a bank shall be employees of that bank or of any of its subsidiaries, or of such bank's controlling company, or of any of such controlling company's subsidiaries;

[Para. (a) substituted by s. 39 of Act 26/94]

- (b) a controlling company shall be employees of that company or of any bank in respect of which that company is registered as a controlling company:

Provided that in respect of any matter put to the vote at a meeting of the board of directors of a bank or of a controlling company, as the case may be, such directors who are employees of that bank or that controlling company, as the case may be, shall together not have a vote in excess of 49 per cent of the total vote cast by all the directors present and voting at that meeting.

- (4) No person who on the date of commencement of this Act is a director of a bank or controlling company shall on the expiration of his term of office be eligible for reappointment as such a director unless or until he qualifies for such appointment in terms of the provisions of subsection (3).

(5)

- (a) Every bank shall give the Authority written notice of the nomination of any person for appointment as a chief executive officer, director or executive officer by furnishing the Authority with the prescribed information in respect of the nominee : Provided that the Authority may return the written notice to the bank concerned on the grounds that it is incomplete or that it contains an error, in which case the requirement for the Authority to object to the appointment within a period of 20 working days is stayed.

[Proviso added to para. (a) by s. 29 of Act 22/2013]

- (b) The notice shall reach the Authority at least 30 days prior to the proposed date of appointment.

- (c) The Authority may object to the proposed appointment by means of a written notice, stating the grounds for the objection, given to the chairperson of the board of directors of the bank and to the nominee, within 20 working days of receipt of the notice referred to in paragraph (b).

- (d) If the Authority objects to the proposed appointment as envisaged in paragraph (c), the bank shall not appoint the nominee and any purported appointment shall have no legal effect: Provided that the bank or nominee may dispute the Authority's objection, in which case the provisions of subsection (6)(d) to (k), shall apply *mutatis mutandis*.
- (e) For the purpose of this subsection the term "every bank" shall mean the chief executive officer of such bank, or in the case where it concerns the appointment of the chief executive officer, such member of the board of directors of such bank as may be designated by the board of directors of such bank.

[Subs. (5) substituted by s. 39 of Act 26/94, s. 40 of Act 19/2003 and s. 15 of Act 20/2007]

(6)

- (a) Without derogating from any law, the Authority may object to the appointment or continued employment of a chief executive officer, director or executive officer of a bank if the Authority reasonably believes that the chief executive officer, director or executive officer concerned is not, or is no longer, a fit and proper person to hold that appointment, or if it is not in the public interest that such chief executive officer, director or executive officer holds or continues to hold such appointment.
- (b) If the Authority wishes to terminate the appointment or the continued employment of a chief executive officer, director or executive officer of a bank, the Authority shall notify the following affected parties in writing of his or her intention and of the grounds for the proposed termination:
 - (i) The chief executive officer, director or executive officer concerned;
 - (ii) The chairperson of the board of directors of that bank (except if the chairperson of the board is the person whose appointment the Authority wishes to terminate, in which case each director of the bank concerned shall be notified); and
 - (iii) The chief executive officer of that bank, (except if the chief executive officer is the person whose appointment the Authority wishes to terminate, in which case the deputy chief executive officer shall be notified).
- (c) The written notice referred to in paragraph (b) shall notify such parties that they are entitled to submit written representations to the Authority in response to that notice.
- (d) Any notified party shall be entitled, but not obliged, to make written representations to the Authority's written notice within 14 working days of receipt of the Authority's notice, or within such longer period as the Authority may, upon written application by the affected party concerned, allow.
- (e) The Authority shall, within 14 working days of receipt of a written representation referred to in paragraph (d)-
 - (i) consider the representation;
 - (ii) decide whether or not the appointment of the chief executive officer, director or executive officer concerned should be terminated for the reasons contemplated in paragraph (a); and
 - (iii) give notice to the affected parties of his or her decision in writing.
- (f) If, after having considered any written representation in respect of the chief executive officer, director or executive officer concerned, the Authority remains of the view that such officer's appointment should be terminated, or if no written representation is submitted to the Authority within the period allowed under paragraph (d), the Authority shall refer the matter to the Arbitration Foundation of South Africa or its successor-in-law, or any other body designated by the Authority by means of a notice in the *Gazette* (hereinafter referred to as the "Arbitrator") for arbitration.
- (g) The Authority shall make the request for arbitration referred to in paragraph (f)-
 - (i) in writing; and
 - (ii) within three working days after the expiry of the 14 day period referred to in paragraph (e) or, if the affected parties do not submit any written representations to the Authority within the period allowed under paragraph (d), within three working days after the expiry of that period.
- (h) The Arbitrator shall determine whether or not adequate reasons exist for the termination, by the Authority, of the appointment of the chief executive officer, director or executive officer concerned.
- (i) If under paragraph (h) the Arbitrator decides that adequate reasons exist for the termination, the Arbitrator shall confirm the termination of the appointment in writing addressed to the Authority and the chief executive officer, director or executive officer concerned, whereupon the termination shall immediately take effect.

- (j) If under paragraph (h) the Arbitrator determines that adequate reasons do not exist for the termination, the Arbitrator shall reject the termination by written notice to the Authority and to the chief executive officer, director or executive officer concerned, whereupon the appointment of the person in question shall continue with full force and effect.
- (k) A termination in terms of this section shall be final and binding and shall not be subject to review as envisaged in section 9.

[Subs. (6) substituted by s. 40 of Act 19/2003 and s. 15 of Act 20/2007]

- (6A) Subsections (5) and (6) apply with the changes required by the context to the appointment of a currently serving non-executive director as chairperson of the board of directors of a bank or controlling company.

[Subs. (6A) inserted by s. 15 of Act 20/2007]

- (7) This section, where applicable, shall apply *mutatis mutandis* in respect of any branch or a controlling company.

[Subs. (7) added by s. 40 of Act 19/2003]

- (8) A bank or a controlling company shall not appoint any person to a position of, or refer to any employee as, a director unless that person or employee has been appointed as a director of that bank or controlling company in terms of section 66 of the Companies Act.

[Subs. (8) added by s. 29 of Act 22/2013 w.e.f. 10 December 2014]

[S. 60 substituted by s. 1 of Act 81/91]

60A. Compliance function

- (1) Notwithstanding anything to the contrary in any law, a bank shall establish an independent compliance function as part of the risk management framework of the bank.
- (2) The compliance function shall be headed by a compliance officer of the bank, who shall perform his or her functions with such care and skill as can reasonably be expected from a person responsible for such a function in a similar institution.
- (3) The appointed compliance officer shall perform his or her functions subject to such requirements and conditions as may be prescribed in the Regulations relating to Banks.

[S. 60A inserted by s. 41 of Act 19/2003]

60B. Corporate governance

- (1) Notwithstanding anything to the contrary in any law, the board of directors and executive officers of a bank shall establish and maintain an adequate and effective process of corporate governance, which shall be consistent with the nature, complexity and risks inherent in the activities and the business of the bank concerned.
- (2) The process of corporate governance shall be established with the objective of achieving the bank's strategic and business objectives efficiently, effectively, ethically and equitably (within acceptable risk parameters), to ensure-
 - (a) compliance with the strategic framework and guidelines established for the bank or controlling company;
 - (b) commitment by the executive officers of the bank or controlling company to adhere to corporate behaviour that is universally recognised and accepted as correct and proper;
 - (c) a balance of interests of the shareholders and other interested persons who may be affected by the conduct of directors or executive officers of the bank or controlling company within a framework of effective accountability;
 - (d) that mechanisms and procedures are established and maintained to minimize or avoid potential conflicts of interests between the business interests of the bank or controlling company and the personal interests of directors or executive officers of the bank or controlling company;
 - (e) responsible conduct by the directors and executive officers of the bank or controlling company;
 - (f) the achievement of the maximum level of efficiency and profitability of the bank within an acceptable risk profile for the bank or controlling company;
 - (g) the timely, accurate and meaningful disclosure of matters that are material to the business of the bank or controlling company or the interests of the shareholders or other persons having an interest in the bank or controlling company;
 - (h) that the board of directors retains control over the strategic and business direction of the bank or controlling company, whilst enabling its executives to manage the bank's or controlling company's operations and the achievement of the agreed strategic and business objectives; and

(i) compliance with all applicable laws and regulations.

(3) A bank shall establish and maintain the process of corporate governance in accordance with any requirements that may be prescribed in the Regulations relating to Banks.

[S. 60B inserted by s. 41 of Act 19/2003]

61. Appointment of auditor

(1) Notwithstanding the provisions of Part C of Chapter 3 of the Companies Act-

[Words preceding para. (a) substituted by s. 30 of Act 22/2013]

(a) no person shall hold office as auditor of a bank or a controlling company unless the appointment of such person as such an auditor has been approved by the Authority; and

(b) any person contemplated in paragraph (a) shall be appointed for such period and on such conditions as may be prescribed.

[Subs. (1) substituted by s. 42 of Act 19/2003]

(2) A bank or a controlling company shall within 30 days of the appointment in accordance with the provisions of Part C of Chapter 3 of the Companies Act of a person as auditor thereof, apply to the Authority on the prescribed form for the Authority's approval of such appointment.

[Subs. (2) substituted by s. 14 of Act 9/93, s. 42 of Act 19/2003 and s. 30 of Act 22/2013]

(3) The Authority may-

(a) refuse an application under subsection (2) for the Authority's approval of the appointment of an auditor if-

(i) the application seeks the re-appointment of an auditor who has already served as auditor of the bank in question for the prescribed number of years consecutively; or

(ii) any grounds for withdrawal of approval listed in paragraph (b)(i) to (iv) apply to the proposed appointee; or

(b) withdraw any approval of the appointment of an auditor previously granted by the Authority under this section, if such an auditor-

(i) has been convicted of an offence of which dishonesty is an element;

(ii) is found to be incompetent or unfit to perform the functions of an auditor;

(iii) is under investigation by the Independent Regulatory Board for Auditors; or

[Subpara. (iii) substituted by s. 30 of Act 22/2013]

(iv) fails to disclose any direct or indirect interests which may constitute a conflict of interest in respect of such auditor's duties,

and thereupon the functions and responsibilities of that auditor in respect of that bank shall cease forthwith.

[Subs. (3) substituted by s. 42 of Act 19/2003]

(4) If the Authority under paragraph (a) of subsection (3) refuses an application for his or her approval of the appointment of an auditor or under paragraph (b) of that subsection withdraws an approval previously granted by him or her, the board of directors of the bank or the controlling company concerned shall appoint another person as auditor and the provisions of subsections (1) and (2) shall apply *mutatis mutandis* in respect of the lastmentioned appointment.

[Subs. (4) substituted by s. 42 of Act 19/2003]

(5) A person appointed under subsection (4) as auditor of a bank shall for the purpose of Part C of Chapter 3 of the Companies Act be deemed to have been so appointed as auditor at the immediately preceding annual general meeting of the bank.

[Subs. (5) substituted by s. 30 of Act 22/2013]

(6) A person appointed under subsection (4) to replace an auditor whose approval has been withdrawn under subsection (3)(b) shall be appointed for the remainder of the period for which the person whom he or she replaces was appointed and is subject to the same conditions as his or her predecessor.

[Subs. (6) added by s. 42 of Act 19/2003]

62. Appointment of auditor by Authority

- (1) If a bank for any reason fails to appoint an auditor the Authority may, notwithstanding the provisions of sections 90 and 91 of the Companies Act make the necessary appointment.

[Subs. (1) substituted by s. 31 of Act 22/2013]

- (2) A person appointed under subsection (1) as auditor of a bank shall be deemed to have been so appointed by that bank.

63. Functions of auditor in relation to Authority

- (1) Notwithstanding anything to the contrary contained in the Auditing Profession Act, 2005 (Act No. 26 of 2005), or the Companies Act, but subject to the provisions of subsections (2) and (3) of this section, the auditor referred to in section 61 or 62-

- (a) shall, whenever such auditor furnishes, in terms of section 20(5)(b) of the first-mentioned Act, the Independent Regulatory Board for Auditors with copies of the report, acknowledgement of receipt and reply and with the other particulars referred to in that section, relating to an irregularity or suspected irregularity in the conduct of the affairs of the bank for which such auditor has been appointed as auditor, also furnish the Authority with such copies and particulars; and

[Para. (a) substituted by s. 32 of Act 22/2013]

- (b) shall in writing inform the Authority of any matter relating to the affairs of a bank-

- (i) of which such auditor became aware in the performance of such auditor's functions as auditor of that bank; and
 - (ii) which, in the opinion of such auditor, may endanger the bank's ability to continue as a going concern or may impair the protection of the funds of the bank's depositors or may be contrary to principles of sound management (including risk management) or amounts to inadequate maintenance of internal controls; and

- (c) shall, if requested by the Authority to do so, furnish him or her with written information relating to a matter referred to in paragraph (b), specified by the Authority.

[Subs. (1) amended by s. 7 of Act 42/92, s. 15 of Act 9/93 and s. 40 of Act 26/94, substituted by s. 43 of Act 19/2003 and amended by s. 16 of Act 20/2007]

- (2) Whenever an auditor by virtue of the provisions of subsection (1)(b) or (c) furnishes the Authority with written information, such auditor may at the same time furnish the chief executive officer of the bank to which such information relates with a copy of the relevant document.

[Subs. (2) substituted by s. 43 of Act 19/2003]

- (3) The furnishing in good faith by an auditor of information in terms of subsection (1)(b) or (c) shall in no circumstances be held to constitute a contravention of any provision of the law or a breach of any provision of a code of professional conduct to which such auditor may be subject.

[Subs. (3) substituted by s. 7 of Act 42/92]

- (4) Nothing in subsection (1) contained shall be construed as conferring upon any person any right of action against an auditor which, but for the provisions of that subsection, such person would not have had.

[Subs. (4) added by s. 7 of Act 42/92 and substituted by s. 43 of Act 19/2003]

64. Audit committee

- (1) Subject to the provisions of subsections (3), (3A) and (4), the board of directors of a bank and controlling company shall appoint at least three of its members to form and serve on an audit committee.

- (2) The audit committee shall –

- (a) assist the board of directors-

- (i) in its evaluation of the adequacy and efficiency of the internal control systems, accounting practices, information systems and auditing processes applied within that bank or controlling company, as the case may be in the day-to-day management of its business;
 - (ii) to facilitate and promote communication, regarding the matters referred to in subparagraph (i) or any other related matter, between the board of directors and the executive officers of, the auditor appointed under section 61 or 62 for, and the employee charged with the internal auditing of the transactions of, the bank or controlling company, as the case may be; and
 - (iii) to introduce such measures as in the committee's opinion may serve to enhance the credibility and objectivity of financial statements and reports prepared with reference to the affairs of the bank or controlling company, as the case may be;

[Para. (a) amended by s. 33 of Act 22/2013]

- (aA) in accordance with section 90 of the Companies Act, nominate a registered auditor who is independent of the bank or controlling company for appointment as an auditor of the bank or controlling company, as the case may be;

[Para. (aA) inserted by s. 33 of Act 22/2013]

- (aB) determine the terms of engagement of, and the fees to be paid to, the auditor;

[Para. (aB) inserted by s. 33 of Act 22/2013]

- (aC) ensure that the appointment of the auditor complies with the provisions of the Companies Act and any other legislation relating to the appointment of auditors;

[Para. (aC) inserted by s. 33 of Act 22/2013]

- (aD) determine, subject to the provisions of the Companies Act, the nature and extent of any non-audit services that the auditor may provide to the bank or controlling company, as the case may be, or that the auditor shall not provide to the bank or controlling company, or a related company as defined in the Companies Act;

[Para. (aD) inserted by s. 33 of Act 22/2013]

- (aE) pre-approve any proposed agreement with the auditor for the provision of non-audit services to the bank or controlling company, as the case may be;

[Para. (aE) inserted by s. 33 of Act 22/2013]

- (aF) prepare a report, to be included in the annual financial statements for that financial year-

- (i) describing how the audit committee carried out its functions;
 - (ii) stating whether the audit committee is satisfied that the auditor was independent of the bank or the controlling company, as the case may be; and
 - (iii) commenting on the financial statements, the accounting practices and the internal financial control of the bank or the controlling company, as the case may be;

[Para. (aF) inserted by s. 33 of Act 22/2013]

- (aG) receive and shall appropriately deal with any concerns or complaints, whether from within or outside the bank or controlling company, as the case may be, or on its own initiative, relating to-

- (i) the accounting practices and internal audit of the bank or controlling company;
 - (ii) the content or auditing of the financial statements of the bank or controlling company;
 - (iii) the internal financial controls of the bank or controlling company; or
 - (iv) any other related matter;

[Para. (aG) inserted by s. 33 of Act 22/2013]

- (aH) make submissions to the board of directors on any matter concerning the accounting policies of, financial control of, records of and reporting by the bank or controlling company;

[Para. (aH) inserted by s. 33 of Act 22/2013]

- (aI) perform any other function determined by the board of directors, including the development and implementation of a policy and plan for a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes within the bank or controlling company; and

[Para. (aI) inserted by s. 33 of Act 22/2013]

- (b) perform such further functions as may be prescribed.

- (2A) Nothing in this section precludes the appointment by a company at its annual general meeting of an auditor other than one nominated by the audit committee: Provided that if such an auditor is appointed, the appointment is valid only if the audit committee is satisfied that the proposed auditor is independent of the company.

[Subs. (2A) inserted by s. 33 of Act 22/2013]

- (2B) In considering whether, for the purposes of subsections (2)(aA) and (2A), a registered auditor is independent of a company, the audit committee of that company must-

- (a) ascertain whether or not that auditor receives any direct or indirect remuneration or other benefit from the bank or controlling company, except-

- (i) as auditor; or
- (ii) for rendering such other services to the bank or controlling company as are permitted in terms of subsection (6) (d);
- (b) consider whether or not the auditor's independence may have been prejudiced-
 - (i) as a result of any-
 - (aa) previous appointment as auditor; or
 - (bb) consultancy, advisory or other work undertaken by the auditor for the bank or controlling company; and
 - (ii) by taking into account any other criteria relating to independence or conflict of interest that are prescribed by the Independent Regulatory Board for Auditors established by the Auditing Profession Act, 2005 (Act No. 26 of 2005), in respect of the bank or controlling company and, if the bank or controlling company is a member of a group of companies, any other company within that group.
[Subs. (2B) inserted by s. 33 of Act 22/2013]
- (2C) Neither the appointment nor the duties of an audit committee reduce the powers and duties of the board or the directors of the company, except in respect of the appointment, fees and terms of engagement of the auditor.
[Subs. (2C) inserted by s. 33 of Act 22/2013]
- (2D) A company shall pay all expenses reasonably incurred by its audit committee, including the fees of any consultant or specialist engaged by the audit committee to assist it in the performance of any of its functions.
[Subs. (2D) inserted by s. 33 of Act 22/2013]
- (3)
 - (a) All of the members of the audit committee of a bank shall be persons who are not employees of the bank nor of any of its subsidiaries, its controlling company or any subsidiary of its controlling company: Provided that the chairperson of the board of directors of the bank or the controlling company shall not be appointed as a member of the audit committee.
 - (b) All of the members of the audit committee of a controlling company shall be persons who are not employees of the controlling company nor of any of its subsidiaries, the bank in respect of which it is the controlling company or any subsidiary of that bank: Provided that the chairperson of the board of directors of the controlling company or the bank in respect of which it is the controlling company shall not be appointed as a member of the audit committee.
- (3A) Notwithstanding the provisions of the Companies Act, the board of a bank or controlling company, as the case may be, must appoint a person to fill any vacancy on the audit committee within 90 business days after the vacancy arises.
[Subs. (3A) inserted by s. 33 of Act 22/2013]
- (4) The Authority may upon written application exempt the board of directors of a bank from the duty to appoint an audit committee in respect of a bank if the Authority is satisfied that the audit committee appointed in respect of the relevant controlling company, in addition to its responsibilities in respect of that controlling company, is able to also adequately assume the responsibilities of an audit committee in respect of that bank.
[S. 64 amended by s. 44 of Act 19/2003 and substituted by s. 17 of Act 20/2007]

64A. Risk and capital management committee

- (1) Subject to subsection (3) the board of directors of a bank and controlling company shall appoint at least three of its members, of whom at least two are non-executive directors, to form and serve on a risk and capital management committee.
- (2) The functions of the risk and capital management committee shall be to assist the board of directors-
 - (a) in its evaluation of the adequacy and efficiency of the risk policies, procedures, practices and controls applied within that bank or controlling company in the day-to-day management of its business;
 - (b) in the identification of the build up of and concentration of the various risks to which the bank or controlling company is exposed;
 - (c) in developing a risk mitigation strategy to ensure that the bank or controlling company manages the risks in an optimal manner;
 - (d) in ensuring that a formal risk assessment is undertaken at least annually;

- (e) in identifying and regularly monitoring all key risks and key performance indicators to ensure that its decision-making capability and accuracy of its reporting is maintained at a high level;
 - (f) to facilitate and promote communication, through reporting structures, regarding the matters referred to in paragraph (a) or any other related matter, between the board and the executive officers of the bank or controlling company;
 - (g) to establish an independent risk management function, and in the case where the bank or controlling company forms part of a group, a group risk management function, the head of which shall act as the reference point for all aspects relating to risk management within the bank or controlling company, including the responsibility to arrange training of members of the board in the different risk areas to which that bank or controlling company, is exposed;
 - (h) to introduce such measures as may serve to enhance the adequacy and efficiency of the risk management policies, procedures, practices and controls applied within that bank or controlling company;
 - (i) to co-ordinate the monitoring of risk management on a globalised basis;
 - (j) to establish and implement a process of internal controls and reviews to ensure the integrity of the overall risk and capital management process;
 - (k) to establish and implement policies and procedures designed to ensure that the bank or controlling company identifies, measures and reports all material risks;
 - (l) to establish and implement a process that relates capital to the level of risk;
 - (m) to establish and implement a process that states capital adequacy goals with respect to risk, taking account of the bank's strategic focus and business plan; and
 - (n) to perform such further functions as may be prescribed.
- (3) The Authority may upon written application exempt the board of directors of a bank from the duty to appoint a risk and capital management committee in respect of a bank if the Authority is satisfied that the risk and capital management committee appointed in respect of the relevant controlling company, in addition to its responsibilities in respect of that controlling company, is able to also adequately assume the responsibilities of a risk and capital management committee in respect of that bank.

[S. 64A inserted by s. 45 of Act 19/2003 and substituted by s. 18 of Act 20/2007]

64B. Directors' affairs committee

- (1) Subject to subsection (3) the board of directors of a bank and controlling company shall establish a directors' affairs committee, consisting only of non-executive directors of the bank or controlling company.
- (2) The functions of the directors' affairs committee shall be to assist the board of directors-
 - (a) in its determination and evaluation of the adequacy, efficiency and appropriateness of the corporate governance structure and practices of the bank or controlling company;
 - (b) to establish and maintain a board directorship continuity programme entailing-
 - (i) a review of the performance of and planning for successors to the executive directors;
 - (ii) measures to ensure continuity of non-executive directors;
 - (iii) a regular review of the composition of skills, experience and other qualities required for the effectiveness of the board; and
 - (iv) an annual self-assessment of the board as a whole and of the contribution of each individual director;
 - (c) in the nomination of successors to the key positions in the bank or controlling company in order to ensure that a management succession plan is in place;
 - (d) in determining whether the services of any director should be terminated;
 - (e) in ensuring that the bank or controlling company is at all times in compliance with all applicable laws, regulations and codes of conduct and practices; and

(f) to perform such further functions as may be prescribed.

- (3) The Authority may upon written application exempt the board of directors of a bank from the duty to appoint a directors' affairs committee in respect of a bank if the Authority is satisfied that the directors' affairs committee appointed in respect of the relevant controlling company, in addition to its responsibilities in respect of that controlling company, is able to also adequately assume the responsibilities of a directors' affairs committee in respect of that bank.

[S. 64B inserted by s. 45 of Act 19/2003 and substituted by s. 19 of Act 20/2007]

64C. Remuneration committee

- (1) Subject to subsection (3), the board of directors of a bank or controlling company shall establish a remuneration committee, consisting only of non-executive directors of the bank or controlling company.
- (2) The functions of the remuneration committee shall be to assist the board of directors-
- (a) to oversee the compensation system's design and operation;
 - (b) to exercise competent and independent judgment on compensation policies, processes and practices and the incentives created for managing risk, capital and liquidity;
 - (c) to evaluate practices by which compensation is paid for potential future revenues in respect of which the timing and likelihood of realization remain uncertain;
 - (d) to ensure that all relevant decisions are consistent with an assessment of the bank or controlling company's financial condition and future prospects;
 - (e) to work closely with the bank or controlling company's risk and capital management committee in the evaluation of the incentives created by the compensation system;
 - (f) to ensure that the bank or controlling company's compensation policy, processes and procedures are in compliance with the relevant requirements specified in the Regulations and such further requirements as may be specified in writing by the Authority;
 - (g) to conduct an annual compensation review independently of management, which review shall, among other things, assess the bank or controlling company's compliance with the Regulations and such further requirements as may be specified in writing by the Authority;
 - (h) to ensure that the remuneration of employees in the risk control and compliance functions is determined independently of all relevant business areas, and is adequate to attract qualified and experienced staff;
 - (i) to ensure that performance measures are based principally on the achievement of the board approved objectives of the bank or controlling company and its relevant functions; and
 - (j) to consult shareholders.
- (3) The Authority may upon written application exempt the board of directors of a bank from the duty to appoint a remuneration committee in respect of a bank if the Authority is satisfied that the remuneration committee appointed in respect of the relevant controlling company, in addition to its responsibilities in respect of that controlling company, is able to also adequately assume the responsibilities of a remuneration committee in respect of that bank.

[S. 64C inserted by s. 34 of Act 22/2013]

65. Forwarding of certain notices, reports, returns and financial statements to Authority

- (1) Whenever a bank or controlling company-
- (a) forwards a notice of a meeting or of the declaration of a dividend or a report on its activities during a financial year or part of such year to its shareholders;
 - (b) files a notice with the Commissioner in terms of section 23(3)(b)(ii) of the Companies Act of any intended change in the situation of its registered office;
 - (c) files in terms of section 70(6) of the Companies Act a notice referred to in that section regarding its directors to the Commissioner; or

[Para. (b) substituted by s. 35 of Act 22/2013]

[Para. (c) substituted by s. 35 of Act 22/2013]

- (d) files in terms of section 33 of the Companies Act, financial statements to the Commissioner,
[Para. (d) substituted by s. 35 of Act 22/2013]

it shall simultaneously forward a copy of such notice, report, return or statements to the Authority.

- (2) A bank or controlling company shall within 30 days after a general meeting with shareholders, forward to the Authority a copy of the minutes to be kept in respect of such meeting in terms of section 24(3)(d) of the Companies Act.
[Subs. (2) substituted by s. 35 of Act 22/2013]

66. Disclosure of issued share capital

If a bank publishes any statement or issues any document in which the amount of its authorized share capital is mentioned, the amount of its issued share capital shall also be mentioned in such statement or document.

67. Disclosure of names of certain shareholders

If, in the case of an individual shareholder in a bank who holds more than 25 per cent of all the issued shares in that bank to which voting rights are attached, the sum of the amounts of such bank's investments with or loans or advances or other exposures to such individual shareholder exceeds the total nominal value of the said shares so held by that individual shareholder, the bank shall in its financial statements mention the name of such individual shareholder.

68.

[S. 68 amended by s. 16 of Act 9/93, s. 42 of Act 26/94, s. 9 of Act 36/2000, s. 46 of Act 19/2003 and s. 36 of Act 22/2013 and repealed by s. 9(1) of Act 23/2021 w.e.f. 1 June 2023. Despite the amendments to the Banks Act, 1990, contained in subsection 9(1), an investigation by a commissioner in terms of section 69A of the Banks Act, 1990, that is pending and not concluded immediately before the date on which subsection (1) comes into effect must be continued, concluded and reported on by the commissioner in terms of that section as if it had not been repealed.]

69.

[S. 69 amended by s. 8 of Act 42/92, s. 17 of Act 9/93, s. 43 of Act 26/94, s. 10 of Act 36/2000, s. 47 of Act 19/2003, s. 47 of Act 169/2003, s. 37 of Act 22/2013 and s. 2 of Act 3/2015 and repealed by s. 9(1) of Act 23/2021 w.e.f. 1 June 2023. Despite the amendments to the Banks Act, 1990, contained in subsection 9(1), an investigation by a commissioner in terms of section 69A of the Banks Act, 1990, that is pending and not concluded immediately before the date on which subsection (1) comes into effect must be continued, concluded and reported on by the commissioner in terms of that section as if it had not been repealed.]

69A.

[S. 69A inserted by s. 44 of Act 26/94, amended by s. 11 of Act 36/2000, s. 48 of Act 19/2003 and s. 290 of Act 9/2017 and repealed by s. 9(1) of Act 23/2021 w.e.f. 1 June 2023. Despite the amendments to the Banks Act, 1990, contained in subsection 9(1), an investigation by a commissioner in terms of section 69A of the Banks Act, 1990, that is pending and not concluded immediately before the date on which subsection (1) comes into effect must be continued, concluded and reported on by the commissioner in terms of that section as if it had not been repealed]

CHAPTER VI

PRUDENTIAL REQUIREMENTS

70. Minimum share capital and unimpaired reserve funds

- (1)

[Subs. (1) substituted by s. 18 of Act 9/93, amended by s. 45 of Act 26/94, substituted by s. 12 of Act 36/2000 and deleted by s. 20 of Act 20/2007]

- (2)

- (a) A bank of which the business does not include trading in financial instruments shall manage its affairs in such a way that, subject to the provisions of paragraph (b), the sum of its common equity tier 1 capital, additional tier 1 capital and tier 2 capital and its common equity tier 1 unimpaired reserve funds, additional tier 1 unimpaired reserve funds and tier 2 unimpaired reserve funds in the Republic does not at any time amount to less than the greater of-

[Words preceding subpara. (i) substituted by s. 38 of Act 22/2013]

- (i) R250 000 000 or, in the case of such a bank which immediately prior to the date of commencement of this Act was registered as a banking institution or a building society under a law repealed by this Act, R1 000 000; or
- (ii) an amount which represents a prescribed percentage of the sum of amounts relating to the different categories of assets and other risk exposures and calculated in such a manner as may be prescribed.

- (b) Notwithstanding the provisions of paragraph (a)-

- (i) the sum of the bank's common equity tier 1 capital and common equity tier 1 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-
[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

- (aa) taken into account to an amount as may be prescribed; and

- (bb) calculated by deducting from the amount thereof such amounts as may be prescribed; and

- (ii) the sum of the bank's additional tier 1 capital and additional tier 1 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-
[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

- (aa) taken into account to an amount as may be prescribed; and

- (bb) calculated by deducting from the amount thereof such amounts as may be prescribed:

.....

[Proviso to subpara. (ii) deleted by s. 38 of Act 22/2013]

[Subpara. (ii) substituted by s. 49 of Act 19/2003]

- (iii) the sum of the bank's tier 2 capital and tier 2 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-

- (aa) taken into account to an amount as may be prescribed; and

- (bb) calculated by deducting from the amount thereof such amounts as may be prescribed.

[Subpara. (iii) added by s. 38 of Act 22/2013]

[Subs. (2) amended by s. 45 of Act 26/94, substituted by s. 12 of Act 36/2000, amended by s. 49 of Act 19/2003 and substituted by s. 20 of Act 20/2007]

(2A)

- (a) A bank of which the business consists solely of trading in financial instruments shall manage its affairs in such a way that, subject to the provisions of paragraph (b), the sum of its common equity tier 1 capital, additional tier 1 capital and tier 2 capital, and its common equity tier 1 unimpaired reserve funds, additional tier 1 unimpaired reserve funds and tier 2 unimpaired reserve funds in the Republic does not at any time amount to less than the greater of-

[Words preceding subpara. (i) substituted by s. 38 of Act 22/2013]

- (i) R250 000 000; or

- (ii) an amount which represents a prescribed percentage of the sum of amounts relating to the different categories of assets and other risk exposures and calculated in such a manner as may be prescribed.

- (b) Notwithstanding the provisions of paragraph (a)-

- (i) the sum of the bank's common equity tier 1 capital and common equity tier 1 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-
[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

- (aa) taken into account to an amount as may be prescribed; and

- (bb) calculated by deducting from the amount thereof such amounts as may be prescribed;

- (ii) the sum of the bank's additional tier 1 capital and additional tier 1 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-
[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

- (aa) taken into account to an amount as may be prescribed; and

- (bb) calculated by deducting from the amount thereof such amounts as may be prescribed:

.....

[Proviso to subpara. (ii) deleted by s. 38 of Act 22/2013]

- (iii) the sum of a bank's tier 2 capital and tier 2 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-

[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

(aa) taken into account to an amount as may be prescribed; and

(bb) calculated by deducting from the amount thereof such amounts as may be prescribed:

.....

[Proviso to subpara. (ii) deleted by s. 38 of Act 22/2013]

(iv) the total amount of allocated and qualifying common equity tier 1 capital, allocated and qualifying common equity tier 1 unimpaired reserve funds, allocated and qualifying additional tier 1 capital, allocated and qualifying additional tier 1 unimpaired reserve funds, allocated and qualifying tier 2 capital and allocated and qualifying tier 2 unimpaired reserve funds shall be determined as prescribed.

[Subpara. (iv) substituted by s. 38 of Act 22/2013]

[Subs. (2A) inserted by s. 12 of Act 36/2000 and substituted by s. 20 of Act 20/2007]

(2B)

(a) A bank of which the business includes trading in financial instruments shall manage its affairs in such a way that, subject to the provisions of paragraph (b), the sum of its common equity tier 1 capital, additional tier 1 capital and tier 2 capital and its common equity tier 1 unimpaired reserve funds, additional tier 1 unimpaired reserve funds and tier 2 unimpaired reserve funds in the Republic does not at any time amount to less than the greater of-

[Words preceding subpara. (i) substituted by s. 38 of Act 22/2013]

(i) R250 000 000; or

(ii) an amount which represents a prescribed percentage of the sum of amounts relating to the different categories of assets and other risk exposures and calculated in such a manner as may be prescribed.

(b) Notwithstanding the provisions of paragraph (a)-

(i) the sum of the bank's common equity tier 1 capital and common equity tier 1 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-

[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

(aa) taken into account to an amount as may be prescribed; and

(bb) calculated by deducting from the amount thereof such amounts as may be prescribed; and

(ii) the sum of the bank's additional tier 1 capital and additional tier 1 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-

[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

(aa) taken into account to an amount as may be prescribed; and

(bb) calculated by deducting from the amount thereof such amounts as may be prescribed:

.....

[Proviso to subpara. (ii) deleted by s. 38 of Act 22/2013]

(iii) the sum of a bank's tier 2 capital and tier 2 unimpaired reserve funds shall, in the calculation of the aggregate amount which the bank is in terms of paragraph (a) required to maintain, be-

[Words preceding item (aa) substituted by s. 38 of Act 22/2013]

(aa) taken into account to an amount as may be prescribed; and

(bb) calculated by deducting from the amount thereof such amounts as may be prescribed:

.....

[Proviso to subpara. (iii) deleted by s. 38 of Act 22/2013]

(iv) the total amount of allocated and qualifying common equity tier 1 capital, allocated and qualifying common equity tier 1 unimpaired reserve funds, allocated and qualifying additional tier 1 capital, allocated and qualifying additional tier 1 unimpaired reserve funds, allocated and qualifying tier 2 capital and allocated and qualifying tier 2 unimpaired reserve funds shall be determined as prescribed.

[Subpara. (iv) substituted by s. 38 of Act 22/2013]

[Subs. (2B) inserted by s. 12 of Act 36/2000, amended by s. 49 of Act 19/2003 and substituted by s. 20 of Act 20/2007]

(3)

[Subs. (3) amended by s. 9 of Act 42/92 and s. 18 of Act 9/93, substituted by s. 45 of Act 26/94 and deleted by s. 12 of Act 36/2000]

(4)

[Subs. (4) deleted by s. 45 of Act 26/94]

(5)

[Subs. (5) amended by s. 9 of Act 42/92, s. 18 of Act 9/93 and s. 45 of Act 26/94 and deleted by s. 12 of Act 36/2000]

(6)

[Subs. (6) substituted by s. 18 of Act 9/93 and deleted by s. 45 of Act 26/94]

(7)

[Subs. (7) deleted by s. 45 of Act 26/94]

70A. Minimum capital and reserve funds in respect of banking group

(1) Notwithstanding the provisions of section 70(2), (2A) and (2B), a controlling company shall manage its affairs in such a way that-

(a) subject to the provisions of subsection (2), the sum of its common equity tier 1 capital, additional tier 1 capital and tier 2 capital, and its common equity tier 1 unimpaired reserve funds, additional tier 1 unimpaired reserve funds and tier 2 unimpaired reserve funds does not at any time amount to less than an amount which represents a prescribed percentage of the sum of amounts relating to the different categories of assets and other risk exposures and calculated in such a manner as may be prescribed;

[Para. (a) substituted by s. 39 of Act 22/2013]

(b) the capital and reserve funds of any regulated entity included in the banking group and structured under such controlling company do not at any time amount to less than the required amount of capital and reserve funds determined in respect of the relevant regulated entity included in such banking group in accordance with the rules and regulations of the relevant regulator responsible for the supervision of the relevant regulated entity.

(2) Notwithstanding the provisions of subsection (1), in the calculation of the aggregate amount of capital that a controlling company is required to maintain, the sum of a controlling company's-

(a) common equity tier 1 capital and common equity tier 1 unimpaired reserve funds shall be-

[Words preceding subpara. (i) substituted by s. 39 of Act 22/2013]

(i) taken into account to an amount as may be prescribed; and

(ii) calculated by deducting from the amount thereof such amounts as may be prescribed;

(b) additional tier 1 capital and additional tier 1 unimpaired reserve funds shall be-

[Words preceding subpara. (i) substituted by s. 39 of Act 22/2013]

(i) taken into account to an amount as may be prescribed; and

(ii) calculated by deducting from the amount thereof such amounts as may be prescribed:

.....

[Proviso to subpara. (ii) deleted by s. 39 of Act 22/2013]

(c) tier 2 capital and tier 2 unimpaired reserve funds shall be-

[Words preceding subpara. (i) substituted by s. 39 of Act 22/2013]

(i) taken into account to an amount as may be prescribed; and

(ii) calculated by deducting from the amount thereof such amounts as may be prescribed:

.....

[Proviso to subpara. (ii) deleted by s. 39 of Act 22/2013]

[S. 70A inserted by s. 13 of Act 36/2000 and substituted by s. 21 of Act 20/2007]

71.

[S. 71 repealed by s. 19 of Act 9/93]

72. Minimum liquid assets

- (1) A bank shall hold in the Republic level one high-quality liquid assets to a value which does not amount to less than the sum of amounts, calculated as prescribed percentages, but which in no instance may exceed 20 per cent, of such different categories of its liabilities as may be specified by regulation with reference to the time when such liabilities fall due or with reference to any other aspect pertaining to such liabilities.
- (2) The amounts of the level one high-quality liquid assets and of the liabilities referred to in subsection (1) shall be calculated in such manner and be determined at such times as may be prescribed.
- (3) A bank shall not pledge or otherwise encumber any portion of the level one high-quality liquid assets held by it in compliance with the provisions of subsection (1): Provided that the Authority may, exempt a bank from the prohibition contained in this subsection on such conditions and to such an extent and for such a period as the Authority may determine.
- (4) For the purposes of this section securities which constitute 'level one high-quality liquid assets' as defined in section 1 shall be valued as prescribed.

[S. 72 amended by s. 10 of Act 42/92, s. 14 of Act 36/2000 and s. 50 of Act 19/2003 and substituted by s. 40 of Act 22/2013]

73. Concentration risk

[Heading substituted by s. 22 of Act 20/2007]

- (1) A bank, controlling company, branch or branch of a bank-
 - (a) shall not make investments with or grant loans or advances or other credit to any person, to an aggregate amount exceeding 10 per cent of such amount of its capital and reserves as may be prescribed, without first having obtained the permission of its board of directors, or of a committee appointed for such purpose (for the composition of which committee the prior written approval of the Authority has to be obtained), to make such investments or to grant such loans, advances or other credit; and
 - (b) shall in the event of the aggregate amount of investments, loans, advances and other credit contemplated in paragraph (a), relating to any private sector non-bank person, exceeding 800 per cent of such an amount of its capital and reserves as may be prescribed, be subject to such additional capital requirements as may be prescribed.

[Para. (b) substituted by s. 51 of Act 19/2003]

- (2) Notwithstanding anything to the contrary contained in this Act, a bank, controlling company, branch or branch of a bank-
 - (a) shall not without the prior written approval of the Authority make an investment with or grant a loan, advance or other credit to any private sector non-bank person, which transaction, either alone or together with any previous transaction or transactions entered into by it with that private sector non-bank person, results in the bank, controlling company, branch or branch of a bank being exposed to that private sector non-bank person to an amount exceeding 25 per cent of a prescribed amount;
 - (b) shall in such manner and on such a form as may be prescribed report to the Authority whenever it makes an investment with or grants a loan or advance or other credit to any person other than a private sector non-bank person, which transaction, either alone or together with any previous transaction or transactions entered into by it with that other person, results in the bank, controlling company, branch or branch of a bank being exposed to that other person up to an amount exceeding 25 per cent of a prescribed amount;

[Para. (b) amended by s. 22 of Act 20/2007]

- (c) shall, in the event of the Authority granting such written approval as contemplated in paragraph (a), be subject to such additional capital requirements as may be prescribed.
- (d) shall in the case of any exposure to an industry, sector or geographical area, that exceeds a prescribed amount, comply with such conditions or requirements as may be prescribed, including a requirement to maintain additional capital and reserve funds in respect of the said exposure; and

[Para. (d) added by s. 22 of Act 20/2007]

- (e) shall in such manner and on such a form as may be prescribed report such an investment in or such a loan or advance or other credit exposure to a specific industry, sector or geographical area, which investment, loan, advance or credit exposure, either alone or together with any previous investment, loan, advance or exposure, results in the bank, controlling company or branch of a bank being exposed to that industry, sector or geographical area up to an amount exceeding such a percentage of capital and reserve funds as may be prescribed.

[Para. (e) added by s. 22 of Act 20/2007]

- (3) For the purposes of this section-

- (a) “person” includes-
 - (i) two or more persons, whether natural or juristic persons, the respective exposures to whom constitute a single exposure because of the fact that one of them directly or indirectly exercises control over the other or others; and
 - (ii) two or more persons, whether natural or juristic persons, between whom there exists no relationship of control as contemplated in subparagraph (i), but the respective exposures to whom are to be regarded as a single exposure because of the fact that they are so interconnected that should one of them experience financial difficulties, another one or all of them would be likely to experience a lack of liquidity; and
- (b) “private sector non-bank person” means a person as defined in paragraph (a) but does not include-
 - (i) the central government or other public sector bodies;
 - (ii) a bank;
 - (iii) a mutual bank;
 - (iv) a branch of a bank;
 - (v) a branch;
 - (vi) a foreign institution that, under an authorization referred to in section 18A, conducts the business of a bank by means of a branch in the Republic;
 - (vii) a controlling company; or
 - (viii) any other person designated by the Authority.
- (4) The Authority may, with the consent of the Minister, exempt, with such conditions as the Authority may determine, such exposures as the Authority may determine from the provisions of this section by means of a circular as contemplated in section 6(4).

[Subs. (4) added by s. 22 of Act 20/2007]

[S. 73 substituted by s. 11 of Act 42/92, s. 46 of Act 26/94 and s. 15 of Act 36/2000]

74. Failure or inability to comply with prudential requirements

- (1) If-
 - (a) a bank fails to comply with a provision of section 70 or 72, or is unable to comply with any such provision; or
 - (b) a controlling company fails to comply with a provision of section 70A, or is unable to comply with any such provision,

the bank or controlling company shall forthwith in writing report its failure or inability to the Authority, stating the reasons for such failure or inability.
- (2) The Authority may, notwithstanding section 91A, summarily take action under this Act against a bank or controlling company referred to in subsection (1) or, if in the circumstances the Authority deems it fit to do so, condone the failure or inability and afford the bank or controlling company concerned an opportunity, subject to such conditions as the Authority may determine, to comply with the relevant provision within a specified period.
- (3) Irrespective of whether criminal proceedings in terms of this Act have been or may be instituted against a bank or controlling company in respect of any failure or inability referred to in subsection (1), the Authority may, subject to any condonation granted under subsection (2), by way of a written notice impose upon that bank or controlling company, in respect of such failure or inability, a fine-
 - (a) in the case of any failure or inability to comply with the provisions of section 70 or 70A, not exceeding one-tenth of one per cent of the amount of the shortfall for each day on which such failure or inability continues; or
 - (b) in the case of any failure or inability to comply with the provisions of section 72, not exceeding three per cent of the amount of the shortfall.
- (4) A fine imposed under subsection (3) shall be paid to the Authority within such period as may be specified in the relevant notice, and if the bank or controlling company concerned fails to pay the fine within the specified period the Authority may by way of civil action in a competent court recover from that bank or controlling company the amount of the fine or any

portion thereof which the Authority may in the circumstances consider justified.

[S. 74 amended by s. 20 of Act 9/93 and s. 52 of Act 19/2003 and substituted by s. 23 of Act 20/2007]

75. Returns

(1) A bank shall, in order to enable the Authority to determine-

(a) whether the bank is complying with the provisions of-

(i) sections 70 and 72; or

(ii) section 10A of the South African Reserve Bank Act, 1989 (Act No. 90 of 1989); or

[Para. (a) substituted by s. 21 of Act 9/93]

(b) the nature and amounts of the bank's assets, liabilities and contingent liabilities,

[Para. (b) substituted by s. 12 of Act 42/92]

furnish the Authority, subject to the provisions of subsection (3A), with returns.

[Subs. (1) amended by s. 47 of Act 26/94]

(2)

[Subs. (2) deleted by s. 47 of Act 26/94]

(3) A bank shall, in addition to the returns referred to in subsection (1), furnish the Authority, subject to the provisions of subsection (3A), with the prescribed returns, including returns relating to the extent and management of risk exposures in the conduct of its business.

[Subs. (3) substituted by s. 47 of Act 26/94]

(3A) The returns referred to in subsections (1) and (3) shall be prepared in conformity with financial reporting standards issued in terms of the Companies Act and shall be furnished to the Authority in respect of such period, at such times and on such a form as may be prescribed.

[Subs. (3A) inserted by s. 47 of Act 26/94 and substituted by s. 24 of Act 20/2007]

(4) The regulations contemplated in subsections (3) and (3A) may also-

(a) prescribe that a bank which carries on the business of a bank through the medium of a subsidiary, branch office, agency or other undertaking outside the Republic, shall incorporate in the returns which it is required to furnish in terms of subsections (1) and (3) the required information in respect of such business, and also that such information shall be furnished separately by the bank on a form so prescribed; and

(b) prescribe that in the case of a group of banks the holding company in such group shall, in addition to the returns furnished in terms of subsections (1) and (3) by each bank in the group, furnish the Authority by means of a consolidated return, on a form prescribed, relating to-

(i) all the banks in that group;

(ii) all the subsidiaries of such banks;

(iii) the controlling company of such banks and all other subsidiaries of such controlling company;

(iv) any juristic person which would have been a subsidiary of any one of such banks or of such controlling company had such juristic person been a company;

(v) any juristic person of which the board of directors, or, in the case where such juristic person is not a company, of which the governing body, is accustomed to act in accordance with the directions or instructions of any one of such banks or of such controlling company; and

(vi) any trust controlled directly or indirectly by any one of such banks or by such controlling company, as well as to any business, if any, referred to in paragraph (a), with the information required to be furnished in such firstmentioned returns, or with such other information as the Authority may require.

[Subs. (4) substituted by s. 47 of Act 26/94]

(5) A bank shall furnish the Authority, in respect of those of the respective returns referred to in subsections (1) and (3) which most nearly coincide with the end of the financial year of the bank with a report by the auditor of the bank in which is stated whether or not those returns fairly and in conformity with financial reporting standards issued in terms of the Companies Act present those affairs of the bank to which the returns relate, and the Authority may, if he or she deems it necessary, require

the bank so to furnish the Authority with such a report in respect of any other of those returns furnished during the financial year.

[Subs. (5) substituted by s. 12 of Act 42/92, s. 21 of Act 9/93, s. 47 of Act 26/94, s. 53 of Act 19/2003 and s. 24 of Act 20/2007]

- (6) A bank shall, at such times as may be prescribed, furnish the Authority with such further prescribed information as the Authority may require.

[Subs. (6) substituted by s. 12 of Act 42/92 and s. 47 of Act 26/94]

CHAPTER VII

PROVISIONS RELATING TO ASPECTS OF THE CONDUCT OF THE BUSINESS OF A BANK

76. Restriction on investments in immovable property and shares, and on loans and advances to certain subsidiaries

- (1) Subject to the provisions of subsection (2), a bank which invests money in immovable property or in shares of any company, or which lends or advances money to any of its subsidiaries of which the main object is the acquisition and holding or development of immovable property, shall manage its transactions in such investments, loans or advances in such a way that the sum of the amounts-

- (a) invested by it in immovable property, taken at the book value thereof;
- (b) invested by it in shares of any company (excluding preference shares which are not convertible into ordinary shares), taken at the price at which they were acquired; and
- (c) owing to it by any such subsidiary in respect of a loan or an advance granted by it,

does not at any time exceed a prescribed amount.

- (2) A bank may with the written approval of the Minister and subject to such conditions as he or she may determine, make investments and grant loans and advances, referred to in subsection (1), to an aggregate amount which exceeds the sum to which it is limited in terms of subsection (1).

[S. 76 amended by s. 2 of Act 81/91 and s. 48 of Act 26/94, substituted by s. 54 of Act 19/2003 and amended by s. 25 of Act 20/2007]

77. Restriction on investments with, and loans and advances to, certain associates

- (1) A bank which invests money in debentures or preference shares of any of its associates (excluding any such associate which is a subsidiary referred to in section 76(1), a bank or a mutual building society), or which lends or advances money to any such associate, or which provides guarantees in respect of liabilities of such associates, shall manage its transactions in such investments, loans, advances or guarantees in such a way that the sum of the amounts-

- (a) invested by it in debentures or preference shares of such associates (excluding debentures or preference shares which are convertible into ordinary shares), taken at the price at which they were acquired;
- (b) owing to it by such associates in respect of loans or advances granted by it; and
- (c) of such guarantees,

does not at any time exceed ten per cent of the amount prescribed.

[Subs. (1) amended by s. 13 of Act 42/92 and substituted by s. 55 of Act 19/2003]

- (2) The sum of the amounts referred to in paragraphs (a), (b) and (c) of subsection (1) shall be calculated for the purposes of that subsection by deducting therefrom the amount by which the sum of the issued primary share capital and primary unimpaired reserve funds, referred to in section 76(1), of the bank exceeds the sum of the amounts referred to in paragraph (a), (b) and (c) of section 76 (1).

- (3) For the purposes of this section "associate" means an associate as defined in section 37(7).

[Subs. (3) substituted by s. 49 of Act 26/94]

78. Undesirable practices

- (1) A bank-

- (a) shall not hold shares in any company of which such bank is a subsidiary;
- (b) shall not lend money to any person against security of its own shares or of shares of that bank's controlling company;

[Para. (b) substituted by s. 56 of Act 19/2003]

- (c) shall not, for the purpose of furthering the sale of its own shares, grant unsecured loans or loans against security which in the opinion of the Authority is inadequate;
- (d) shall hold all its assets in its own name, excluding any asset-
 - (i) *bona fide* hypothecated to secure an actual or potential liability;
 - (ii) in respect of which the Authority has, on application of the bank concerned, approved in writing that such asset may be held in the name of another person; or
 - (iii) falling within a category of assets designated by the Authority by notice in the *Gazette* as a category of assets which may be held in the name of another person;
- (e) shall not show in its financial statements or in any return referred to in section 75(1)(b) as an asset any amount representing the cost of organization or extension or the purchase of a business or a loss (including a loss originating from the sale of an asset) or bad debts;
- (f) shall not before provision has been made out of profits for the items referred to in paragraph (e)-
 - (i) open any branch or agency or any further branch or agency; or
 - (ii) pay out dividends on its shares;
- (g) shall not, for the purpose of effecting a money lending transaction directly between a lender and a borrower, perform any act in the capacity of an agent except where the funds to be lent in terms of the money lending transaction are entrusted by the lender to the bank subject to a written contract of agency in which, in addition to any other terms thereof, at least the following matters shall be recorded:
 - (i) Confirmation by the lender that the bank acts as the agent of the lender;
 - (ii) that the lender assumes, except in so far as the lender may in law have a right of recovery against the bank, all risks connected with the placing by the bank of the funds entrusted to it by the lender, as well as the responsibility to ensure that the bank executes the lender's instructions as recorded in the written contract of agency; and
 - (iii) that no express or implied guarantee regarding the payment of any amount of money owing by one person to another in pursuance of the relevant money lending transaction is furnished by the bank;

[Para. (g) substituted by s. 50 of Act 26/94 and s. 56 of Act 19/2003]
- (h) shall not in its accounting records record any asset at a value increased by the amount of a loss incurred upon the realization of another asset;
- (i) shall not conclude a repurchase agreement in respect of a fictitious asset or an asset created by means of a simulated transaction; and
- (j) shall not purport to have concluded a repurchase agreement without-
 - (i) such agreement being substantiated by a written document signed by the other party thereto; and
 - (ii) the details of such agreement being recorded in the accounts of the bank as well as in the accounts, if any, kept by the bank in the name of such other party.
- (k) shall not, without the prior written approval of the Authority and notwithstanding anything to the contrary contained in any law, pay out dividends from its share capital.

[Para. (k) added by s. 56 of Act 19/2003]

(2) The Authority may-

- (a) in writing notify a bank that a practice employed by that bank and specified in the notice constitutes an undesirable practice for that bank; or
- (b) by notice in the *Gazette* declare a practice specified in that notice to be an undesirable practice for banks specified in that notice or for all banks, and a bank which, after the expiry of a period of 21 days as from the date of a notice received by it by virtue of paragraph (a) or applicable to it in terms of paragraph (b), employs a practice which

constitutes an undesirable practice for it by virtue of such a notice, shall be guilty of an offence.

- (3) A bank shall, upon receipt from the Authority of a written request to that effect, discontinue the publication or issue of any advertisement, brochure, prospectus or similar document, specified in the request, which contains information which is not a correct statement of fact, or the publication or issue of which is, in the opinion of the Authority, not in the public interest.

79. Shares, debentures, negotiable certificates of deposit, share warrants and promissory notes or similar instruments

- (1) A bank shall not-

- (a) sections 35(2) and 36 of the Companies Act notwithstanding, issue shares of no par value or convert any of its shares into shares of no par value;

[Para. (a) substituted by s. 41 of Act 22/2013]

- (b) without the written approval of the Authority and in accordance with conditions determined by the Authority in writing-

- (i) issue any preference shares, hybrid debt instruments or debt instruments;

- (ii) convert any of its shares into preference shares, hybrid debt instruments or debt instruments; or

- (iii) convert any of its preference shares of a particular class into preference shares of any other class,

that will qualify as common equity tier 1 capital, additional tier 1 capital or tier 2 capital, as the case may be;

[Words following subpara. (iii) substituted by s. 41 of Act 22/2013]

- (c) issue negotiable certificates of deposit, promissory notes, or any such similar instrument, otherwise than in accordance with such conditions as may be prescribed; or

- (d)

[Para. (d) deleted by s. 41 of Act 22/2013]

- (2) The aggregate amount representing the value of debt instruments and negotiable certificates of deposit and similar instruments issued by a bank in terms of paragraphs (b)(i) and (c), respectively, of subsection (1), shall at no time exceed an amount representing the prescribed percentage of the aggregate amount of the bank's liabilities in respect of deposits made with it and in respect of such debt instruments, negotiable certificates of deposit and similar instruments.

- (3) Notwithstanding anything to the contrary contained in any contract or in the memorandum of incorporation of any bank or controlling company, there shall be no differentiation in the voting rights attached to any of the ordinary shares of a bank or controlling company for members of ordinary shares and each holder of an ordinary share in a bank or controlling company shall be entitled to that proportion of the total votes in the bank or controlling company which the aggregate amount of the nominal value of the shares held by him or her bears to the aggregate amount of the nominal value of all the shares issued by such bank or controlling company.

[Subs. (3) substituted by s. 41 of Act 22/2013]

- (4) The provisions of subsection (1)(a), (b) and (d) shall *mutatis mutandis* apply to a controlling company.

[S. 79 amended by s. 51 of Act 26/94 and substituted by s. 26 of Act 20/2007]

80. Limitation on certain activities of banks

- (1)

[Subs. (1) deleted by s. 52 of Act 26/94]

- (2)

[Subs. (2) deleted by s. 52 of Act 26/94]

- (3) No bank and no associate of a bank shall, without the prior written approval of the Authority, either jointly or individually acquire or hold shares in any registered long-term insurer as defined in section 1 of the Long-term Insurance Act, 1998 (Act No. 52 of 1998), or in any short-term insurer as defined in section 1 of the Short-term Insurance Act, 1998 (Act No. 53 of 1998), to the extent to which the nominal value of those shares exceeds 49 per cent of the nominal value of all the issued shares of such insurer.

[Subs. (3) substituted by s. 22 of Act 9/93 and s. 27 of Act 20/2007]

- (4) Where in any particular case at the commencement of this Act the ratio contemplated in subsection (3) is exceeded, the bank and its associates may retain the shares in question, but they shall not acquire any further shares in such insurer as long as such ratio is so exceeded.

(5) For the purposes of this section-

(a) “associate”, in relation to a bank, means-

- (i) a holding company of that bank;
- (ii) a company of which such holding company is a subsidiary;
- (iii) a fellow subsidiary of that bank; or
- (iv) a subsidiary (excluding a sub-subsidiary) of that bank or of such fellow subsidiary; and

(b) “sub-subsidiary”, in relation to a bank or its fellow subsidiary, means a company which is a subsidiary of such bank or fellow subsidiary by virtue of its being a subsidiary of a subsidiary of that bank or fellow subsidiary.

CHAPTER VIII

CONTROL OF CERTAIN ACTIVITIES OF UNREGISTERED PERSONS

81. Order prohibiting anticipated or actual contraventions of certain provisions of Act

(1) If the Authority has reason to suspect that any person who is not registered as a bank in terms of this Act nor authorized in terms of the provisions of section 18A(1) to carry on the business of a bank-

- (a) is likely to conduct the business of a bank in contravention of the provisions of section 11(1) or 18A(6); or
- (b) has so contravened the provisions of section 11(1) or 18A(6) or has contravened the provisions of section 22(4) or (5), or that such a contravention is likely to be continued or repeated,

the Authority may apply to a division of the High Court having jurisdiction (hereinafter in this section referred to as the court) for an order-

- (i) prohibiting the anticipated contravention referred to in paragraph (a);
- (ii) prohibiting the continuation or repetition of a contravention referred to in paragraph (b); or
- (iii) prohibiting the person concerned from disposing of or otherwise dealing with any of the assets of that person while the contravention suspected of having been committed or of being continued is investigated.

[Subs. (1) amended by s. 53 of Act 26/94 and substituted by s. 57 of Act 19/2003]

(2) If it is proved to the satisfaction of the court, in the case of an application for an order referred to in-

- (a) subsection (1)(i), that there is a reasonable likelihood that the provisions of section 11(1) or 18A(6) will be contravened by a person concerned as contemplated in subsection (1)(a);
[Para. (a) substituted by s. 53 of Act 26/94]
- (b) subsection (1)(ii), that there is a reasonable likelihood that a contravention will be continued or repeated as contemplated in subsection (1)(b); or
- (c) subsection (1)(iii), that there is a reasonable likelihood that a contravention has been committed or is being continued as contemplated in subsection (1)(b), the court may make the relevant order applied for.

82. Authority’s power to exact information from unregistered persons

(1) If the Authority has reason to suspect that any person who is neither registered as a bank nor authorized in terms of the provisions of section 18A(1) to carry on the business of a bank is carrying on the business of a bank, the Authority may by notice in writing direct that person to submit to the Authority such document or to furnish the Authority with such information, relating to the affairs of that person, as the Authority may specify in the notice and as may be available to that person.

[Subs. (1) substituted by s. 54 of Act 26/94 and s. 58 of Act 19/2003]

(2) A document or information referred to in subsection (1) shall be submitted or furnished within such period as the Authority may specify in the relevant notice or within such extended period as the Authority may allow on application made by the person concerned before the expiration of the period initially specified in the notice.

- (3) Any person who refuses to comply, or fails to comply within the specified or extended period referred to in subsection (2), with a direction issued by the Authority under subsection (1) shall be guilty of an offence.

83. Repayment of money unlawfully obtained

- (1) If as a result of an inspection conducted under section 12 of the South African Reserve Bank Act, 1989 (Act No. 90 of 1989), the Authority is satisfied that any person has obtained money by carrying on the business of a bank without being registered as a bank or without being authorized, in terms of the provisions of section 18A(1), to carry on the business of a bank, the Authority may in writing direct that person to repay, subject to the provisions of section 84 and in accordance with such requirements and within such period as may be specified in the direction, all money so obtained by that person in so far as such money has not yet been repaid, including any interest or any other amounts owing by that person in respect of such money.

[Subs. (1) substituted by s. 55 of Act 26/94 and s. 59 of Act 19/2003]

- (2) Any person who by virtue of the provisions of subsection (1) repays any money referred to in that subsection before the due date for the repayment thereof agreed upon by that person and the person from whom the money was obtained, shall not be obliged to pay any interest or any other amounts which would have been payable in respect of such money for the period from the date of such repayment up to such due date.

- (3) Any person who refuses or fails to comply with a direction under subsection (1)-

- (a) shall be guilty of an offence; and
- (b) shall for the purposes of any law relating to the winding-up of juristic persons or to the sequestration of insolvent estates, be deemed not to be able to pay the debts owed by such person or to have committed an act of insolvency, as the case may be, and the Authority shall, notwithstanding anything to the contrary contained in any law, be competent to apply for the winding-up of such a juristic person or for the sequestration of the estate of such a person, as the case may be, to any court having jurisdiction.

[Subs. (3) substituted by s. 59 of Act 19/2003]

- (4) The provisions of this section shall not be construed as relieving any person from liability to criminal proceedings arising out of a contravention of any provision of this Act or any law repealed by this Act.

84. Management and control of repayment of money unlawfully obtained

- (1) Simultaneously with the issuing of a direction under section 83(1), or as soon thereafter as may be practicable, the Authority shall by a letter of appointment signed by him or her appoint a person (hereinafter in this section referred to as the repayment administrator) to manage and control the repayment of money in compliance with the direction by the person subject thereto: Provided that the Authority may afford the person subject to the directive a reasonable period of time to devise and implement an alternative plan of action that is in the interests of the investors and to which the Authority has no objection.

[Subs. (1) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

(1A)

- (a) The repayment administrator shall at the request of the Authority, as soon as may be practicable report to the Authority whether or not the person subject to the relevant direction is, in the repayment administrator's opinion, solvent, and if the repayment administrator finds that the person subject to the direction is insolvent, the repayment administrator shall comment on whether such person is technically or legally insolvent.

[Para. (a) substituted by s. 42 of Act 22/2013]

- (b) On appointment of a repayment administrator and whilst the person is subject to the relevant direction as contemplated in this section-
 - (i) the repayment administrator shall recover and take possession of all the assets of the person subject to the relevant direction; and
 - (ii) all actions, legal proceedings, the execution of all writs, summonses and other legal process against the person subject to the relevant direction shall be stayed and not be instituted or proceeded with without the leave of the court and without also serving the legal process documentation on the Authority.

[Para. (b) substituted by s. 42 of Act 22/2013]

- (c) If the report referred to in paragraph (a) concludes that the person subject to the directive is insolvent, the Authority may, notwithstanding anything contrary contained in any law relating to liquidation or insolvency apply to a competent court for the winding-up in terms of the Companies Act or the sequestration in terms of the Insolvency Act, 1936 (Act No. 24 of 1936), as the case may be, of the person subject to the directive, and the Authority shall have the right to oppose any such application made by any other person.

- (d) The Master shall, subject to section 370 of the Companies Act, 1973 (Act 61 of 1973), appoint the person nominated by the Authority as liquidator or trustee.

[Para. (d) substituted by s. 42 of Act 22/2013]

- (e) Any written report to the Authority by an inspector appointed in terms of section 83 or any report by a repayment administrator appointed in terms of this section is confidential and shall not be disclosed to any person: Provided that the Authority may, notwithstanding the provisions of section 33(1) of the South African Reserve Bank Act, 1989 (Act No. 90 of 1989), furnish such report to-

[Words preceding the proviso substituted by s. 42 of Act 22/2013]

- (i) the person subject to an inspection in terms of section 83 or that is subject to a directive in terms of section 84;
- (ii) a person or institution contemplated in section 89;
- (iii) a relevant division of the South African Police Services or the National Prosecuting Authority;
- (iv) any other person that can prove, to the satisfaction of the Authority, a legitimate interest in the matter and only upon payment of a prescribed fee and with the written consent of the person subject to the directive; or
- (v) any duly appointed provisional liquidator or provisional trustee of the person subject to the directive.

- (f) If the Authority has issued an instruction in terms of section 84(6) and a provisional liquidator or provisional trustee of the person subject to the direction is subsequently duly appointed, the Authority shall be regarded as a creditor of the person subject to the direction and the Authority shall have the same rights of a creditor in terms of the law relating to liquidation and insolvency.

[Subs. (1A) inserted by s. 28 of Act 20/2007]

- (2) The Authority shall serve a copy of the letter of appointment referred to in subsection (1) upon the person subject to the relevant direction, and such person shall, with effect from the date of the letter of appointment, be prohibited from disposing of or otherwise dealing with such of the assets of such person as are specified in the letter of appointment, except with the written permission of the repayment administrator.

[Subs. (2) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

- (3) The repayment administrator shall act under the control of the Authority, and the repayment administrator may from time to time apply to the Authority for instructions in regard to any matter arising out of or in connection with the performance of his or her duties in terms of subsection (4).

[Subs. (3) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

- (4) It shall be the duty of the repayment administrator-

[Words preceding para. (a) substituted by s. 42 of Act 22/2013]

- (a) to conduct such further investigation into the affairs or any part of the affairs of the person subject to the direction as the repayment administrator may deem necessary in order to establish-

[Words preceding subpara. (i) substituted by s. 42 of Act 22/2013]

- (i) the true amount of money unlawfully obtained by that person as contemplated in section 83(1);
- (ii) the identities of all persons from whom such money was so unlawfully obtained;
- (iii) where any such money or any assets into which such money was converted, is kept or can be located; or
- (iv) any other fact which in the opinion of the Authority or the repayment administrator needs to be established in order to facilitate the repayment of such money in terms of the relevant direction;

[Subpara. (iv) substituted by s. 42 of Act 22/2013]

- (b) to take all reasonable steps (including the liquidation of assets into which money unlawfully obtained as contemplated in section 83(1) has been converted) which may serve to expedite and ensure the repayment of money in accordance with the requirements of and within the period specified in the relevant direction;
- (c) to report the suspected commission by any person of any offence of which the repayment administrator becomes aware in the course of the performance of his or her duties as repayment administrator in terms of this section, to the responsible prosecuting authorities having jurisdiction in the area in which such offence is so suspected of having been committed; and

[Para. (c) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

- (d) to perform any other function assigned to the repayment administrator by the Authority in connection with the finalization of the repayment of money in accordance with the relevant direction.

[Para. (d) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

- (5) For the purposes of the performance of the duties as set out in subsection (4), the repayment administrator shall, in relation to the person subject to the relevant direction and in relation to the affairs of that person, have the powers conferred by sections 136 to 138 of the Financial Sector Regulation Act, upon an investigator contemplated in those sections, as if the repayment administrator were an investigator and the person subject to the direction were a financial institution contemplated in those sections.

[Subs. (5) substituted by s. 60 of Act 19/2003, s. 42 of Act 22/2013 and s. 290 of Act 9/2017 w.e.f. 1 April 2018]

- (6) The repayment administrator shall in respect of the services rendered by him or her in terms of this section and the responsible inspector or inspectors shall in respect of an inspection referred to in section 83(1) conducted under section 12 of the South African Reserve Bank Act, 1989 (Act No. 90 of 1989), be paid such remuneration by the Authority as the Authority may determine, and the Authority may recover an amount equal to the remuneration so paid from the person subject to the direction or the inspection, as the case may be.

[Subs. (6) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

- (7) The repayment administrator shall hold office until the relevant direction has been fully complied with, but the Authority may at any time in writing withdraw the appointment of the repayment administrator on good cause shown, whereupon the repayment administrator shall vacate his or her office.

[Subs. (7) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

- (8) Any person who-

- (a) when requested by the repayment administrator to take an oath or to make an affirmation, refuses to do so;
- (b) without lawful excuse refuses or fails to answer to the best of his or her ability a question put to such person by the repayment administrator in the exercise of the repayment administrator's powers or the performance of the repayment administrator's duties, even though the answer may tend to incriminate that person;
- (c) wilfully furnishes the repayment administrator with any false information;
- (d) refuses or fails to comply to the best of his or her ability with any reasonable request made to such person by the repayment administrator in the exercise of the repayment administrator's powers or the performance of the repayment administrator's duties;
- (e) wilfully hinders the repayment administrator in the exercise of the powers or the performance of the duties of the repayment administrator; or
- (f) commits any other deed designed to obstruct, or to enable any person to evade, the repayment of money as required by a direction under section 83(1),

shall be guilty of an offence: Provided that no answer given to a question put by the repayment administrator to a person in terms of this section and no information derived there from may be used against such person in any criminal proceedings.

[Subs. (8) substituted by s. 60 of Act 19/2003 and s. 42 of Act 22/2013]

CHAPTER IX

GENERAL PROVISIONS

85. Certification of returns and other documents

Any return or other document to be furnished to the Authority by a bank or controlling company in terms of a requirement of this Act, shall be certified as correct by the chief executive officer and, in the case of such a return, also by the chief accounting officer of the bank or controlling company and be endorsed by such chief executive officer with the date on which it is so certified.

85A. Approval of eligible institutions

- (1) Notwithstanding anything to the contrary in any law, no bank or controlling company shall, in the calculation of its prescribed minimum amount of required capital and reserve funds, take into account a credit assessment of any external credit assessment institution or export credit agency unless the relevant external credit assessment institution or export credit agency obtained the prior written approval of the Authority to act as an eligible institution.
- (2) Any external credit assessment institution or export credit agency that wishes to be authorised by the Authority as an eligible

institution may apply to the Authority for authorisation.

- (3) An application under subsection (2)-
 - (a) shall be made in the prescribed manner;
 - (b) shall be accompanied by such information and comply with such requirements as may be prescribed: Provided that the Authority may impose additional requirements in writing; and
 - (c) shall be accompanied by such fee as may be prescribed.

[S. 85A inserted by s. 29 of Act 20/2007]

85B. Verification of information

The Authority may require that information submitted to him or her in terms of this Act be verified by such a person, in such a manner and at such intervals as may be prescribed.

[S. 85B inserted by s. 29 of Act 20/2007]

86. Inspection, copies and keeping of documents

- (1) Any person may upon payment of the prescribed fee-
 - (a) inspect any document specified in subsection (2) and kept by the Authority in terms of this Act;
 - (b) obtain a certificate from the Authority as to the contents or any part of the contents of any such document; or
 - (c) obtain a copy of or extract from any such document.
- (2) The documents referred to in subsection (1) are-
 - (a) certificates of provisional or final registration or of the registration of an alteration of the memorandum of association or articles of association applied for in terms of the Companies Act, 1973 (Act No. 61 of 1973), or of the memorandum of incorporation or of a change of name of banks and of controlling companies;
[Para. (a) substituted by s. 43 of Act 22/2013]
 - (b) memorandums of association or articles of association approved under the Companies Act, 1973 (Act No. 61 of 1973), or memorandums of incorporation of banks and of controlling companies; and
[Para. (b) substituted by s. 43 of Act 22/2013]
 - (c) returns and copies of notices, reports, returns, statements or minutes lodged with the Authority in terms of section 59, 65 or 75, excluding any return or statement so lodged by means or under cover of a prescribed form which, in terms of the regulation prescribing it, is to be treated as confidential and not available for inspection by the public.
- (3) The Authority shall keep the documents specified in paragraph (c) of subsection (2) for a period of at least 10 years: Provided that the Authority shall not be required to keep the said documents which relate to a bank or a controlling company of which the registration has lapsed or been cancelled, for a period longer than five years as from the date of termination of such registration.
- (4) If the Authority is of the opinion that a person requires an inspection or any certificate, copy or extract referred to in subsection (1) to promote any public interest, the Authority may exempt that person from the obligation to pay the prescribed fee in respect of such inspection, certificate, copy or extract.
[Subs. (4) substituted by s. 61 of Act 19/2003]

87. Minors and married women as depositors

- (1) Notwithstanding anything to the contrary contained in any law or the common law, and unless otherwise provided in the memorandum of incorporation of a bank, a minor over the age of 16 years or a married woman, whether or not under marital power, may be a depositor with a bank and may without the consent or assistance of his guardian or her husband, as the case may be, execute all necessary documents, give all necessary acquittances and cede, pledge, borrow against, and generally deal with, his or her deposit as he or she thinks fit, and shall enjoy all the privileges and be liable to all the obligations and conditions applicable to depositors.
[Subs. (1) substituted by s. 44 of Act 22/2013]
- (2) The husband of a woman who is a depositor with a bank shall, save with her written consent, not be entitled to demand or receive from the bank any particulars concerning the deposits she holds with that bank.

88. Limitation of liability

No liability shall attach to the South African Reserve Bank or, either in his or her official or personal capacity, to any member of the board of directors of the said Bank, the Authority or any other officer or employee of the said Bank, including an inspector duly appointed in terms of section 11 or 12 of the South African Reserve Bank Act, 1989 (Act No. 90 of 1989), or to a repayment administrator duly appointed in terms of section 84 of this Act, for any loss sustained by or damage caused to any person as a result of anything done or omitted by such member, the Authority or such other officer or employee in the *bona fide* performance of any function or duty under this Act.

[S. 88 substituted by s. 62 of Act 19/2003 and s. 45 of Act 22/2013]

89. Furnishing of information by Authority

(1) Notwithstanding the provisions of section 33(1) of the South African Reserve Bank Act, 1989 (Act No. 90 of 1989), the Authority may furnish information acquired by him or her as contemplated in that section-

- (a) to any person charged with the performance of a function under any law, provided the Authority is satisfied that possession of such information by that person is essential for the proper performance of such function by that person; or
- (b) to an authority in a country other than the Republic for the purpose of enabling such authority to perform functions, corresponding to those of the Authority under this Act, in respect of a bank carrying on business in such other country:

Provided that the Authority is satisfied that the recipient of the information so provided is willing and able to keep the information confidential within the confines of the laws applicable to the recipient.

[Proviso added by s. 30 of Act 20/2007]

(2) The Authority must inform the Minister and the Governor of the South African Reserve Bank of any matter that in the opinion of the Authority may pose significant risk to the banking sector, the economy, financial stability or financial markets more generally.

[Subs. (2) added by s. 46 of Act 22/2013]

[S. 89 amended by s. 63 of Act 19/2003 and first para of s. 89 numbered as subs. (1) by s. 46 of Act 22/2013]

89A. Fair administrative action

Any administrative action taken in terms of this Act is subject to the Promotion of Administrative Justice Act, 2000 (Act No. 3 of 2000).

[S. 89A inserted by s. 3 of Act 3/2015 and substituted by s. 10 of Act 23/2021 w.e.f. 1 June 2023]

90. Regulations

(1) The Minister may make regulations-

- (a) as to any matter which is required or permitted to be prescribed by regulation under this Act;
- (b) subject to the provisions of the Companies Act, providing guidelines relating to the conduct of, and prescribing requirements to be complied with by, a member of the board of directors of a bank in the performance of the functions of such a director;

[Para. (b) substituted by s. 64 of Act 19/2003]

(c)

[Para. (c) deleted by s. 4 of Act 12/2022 w.e.f. 1 April 2023]

(d) prescribing the manner in which any payment in terms of this Act shall be made to the Authority;

(e)

[Para. (e) deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(f) prescribing that the financial statements of a bank shall be prepared in conformity with financial reporting standards issued in terms of the Companies Act;

[Para. (f) substituted by s. 31 of Act 20/2007]

(g)

[Para. (g) deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2023]

(h) prescribing the basis on which any movable or immovable assets shall for the purposes of this Act be valued; or

- (i) prescribing, generally, any matter, whether or not connected with any matter specified in paragraphs (a) to (h), inclusive, which the Minister may deem it necessary or expedient to prescribe in order that the objects and purposes of this Act may be better achieved.

[Para. (i) substituted by s. 64 of Act 19/2003]

- (2) A person who is obliged in terms of any provision of this Act to render a return or statement in a prescribed form, shall be deemed not to have rendered that return or statement unless such person has set forth therein all the particulars for which provision is made in the prescribed form.

[Subs. (2) substituted by s. 64 of Act 19/2003]

- (3) A regulation made under subsection (1) may in respect of any contravention thereof or failure to comply therewith prescribe a penalty not exceeding a fine of R2 000 or imprisonment for a period of six months.

91. Offences and penalties

- (1) Any person who-

- (a) fails to comply with a direction under section 7;

- (aA) in the completion of any questionnaire contemplated in section 1(1A)(c) or in the furnishing of any prescribed information contemplated in section 60(5) furnishes the Authority with any information which to the knowledge of such person is untrue or misleading in any material respect; or

- (b) contravenes or fails to comply with a provision of section 7(3), (4) or (5), 34, 35, 38(1), 39, 41, 42(1), 52(1) or (4), 53, 55, 58, 59, 60(5)(a), 60(5)(b), 61(2), 65, 66, 67, 70(2), (2A) or (2B), 70A, 72, 73, 75, 76, 77, 78(1) or (3), 79, 80, 84(1A) or 84(2),

[Para. (b) substituted by s. 32 of Act 20/2007, s. 47 of Act 22/2013 and s. 290 of Act 9/2017 w.e.f. 1 April 2018]

shall be guilty of an offence.

[Subs. (1) amended by s. 23 of Act 9/93, s. 56 of Act 26/94 and s. 16 of Act 36/2000 and substituted by s. 65 of Act 19/2003]

- (2) A director or employee of a bank or controlling company who, or any company in which such director or employee has a direct interest and which-

- (a) accepts from any person any benefit for or in connection with any advance granted by that bank or by the bank in respect of which that controlling company is registered; or

- (b) otherwise than with the written consent of the Authority or at a duly advertised public auction purchases any immovable property owned by or mortgaged to that bank or the bank in respect of which that controlling company is registered, and which is sold by or at the instance of the bank in question or is sold at a judicial sale at the instance of any other person, shall be guilty of an offence.

- (3) A bank which, while a shortfall referred to in section 74(3) exists in respect of its business, pays any dividends, shall be guilty of an offence.

- (4) Any person convicted of an offence in terms of-

- (a) section 1(1A)(d), 11(2), 18A(7), 22 (4) or 60(5)(a)(i) or (b)(i) read with subsection (1)(b) of this section, shall be liable to a fine or to imprisonment for a period not exceeding ten years or to both a fine and such imprisonment;

- (b) section 17(6), 21, 22(3) or (8), 32(4)(a), 78(2), 82(3), 83(3)(a), 84(1A), 84(8) or subsection (1), (2) or (3) of this section (excluding the offence in terms of subsection (1)(b), referred to in paragraph (a)), shall be liable to a fine or to imprisonment for a period not exceeding five years or to both a fine and such imprisonment.

[Para. (b) substituted by s. 32 of Act 20/2007 and s. 11 of Act 23/2021 w.e.f. 1 June 2023]

- (c)

[Para. (c) deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

[Subs. (4) substituted by s. 56 of Act 26/94 and s. 65 of Act 19/2003]

- (5) Any person who accepts any benefit in contravention of the provisions of subsection (2)(a), shall pay to the bank concerned the amount or value of such benefit.

- (6)

[Subs. (6) substituted by s. 65 of Act 19/2003 and deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(6A)

[Subs. (6A) inserted by s. 65 of Act 19/2003 and deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

(7)

[Subs. (7) substituted by s. 65 of Act 19/2003 and deleted by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

91A.

[S. 91A inserted by s. 33 of Act 20/2007 and repealed by s. 290 of Act 9/2017 w.e.f. 1 April 2018]

92. Review of Act

- (1) The Minister shall appoint a standing committee to review this Act from time to time, and such committee shall consist of such incumbents of offices and other members as the Minister may from time to time determine.
- (2) A member of the standing committee shall hold office for such period as the Minister may determine, and shall be eligible for reappointment on the expiration of the term of office of such a member.
[Subs. (2) substituted by s. 66 of Act 19/2003]
- (3) The standing committee may from time to time, through the medium of the Policy Board for Financial Services and Regulation established by section 2 of the Policy Board for Financial Services and Regulation Act, 1993 (Act No. 141 of 1993), make recommendations to the Minister with regard to amendments to this Act which, in the opinion of the committee, have become advisable owing to changed circumstances or which the administration of this Act has shown to be advisable.
[Subs. (3) substituted by s. 57 of Act 26/94]
- (4)
[Subs. (4) deleted by s. 66 of Act 19/2003]

93. Interpretation of certain references in existing laws and in other documents

A reference in any law in force immediately prior to the commencement of the Deposit-taking Institutions Amendment Act, 1993, or in any other document, to-

- (a) a deposit-taking institution, discount house, banking institution, banking institution registered under or in terms of the Banks Act, 1965 (Act No. 23 of 1965), or building society registered in terms of the Building Societies Act, 1986 (Act No. 82 of 1986), shall, unless inconsistent with the context or otherwise clearly inappropriate, be construed as a reference to a bank;
- (b) the Authority of Deposit-taking Institutions or the Authority of Building Societies shall be construed as a reference to the Authority:

Provided that-

- (i) any such reference in section 10(1)(i)(xii)(bb), (xiiA) or (xiii)(bb) or 19(5A) of the Income Tax Act, 1962 (Act No. 58 of 1962), to a building society shall be so construed as a reference to a bank which, prior to its registration as such, had been a building society (within the meaning of the Building Societies Act, 1986) that after the commencement of this Act was registered as a deposit-taking institution by virtue of the provisions of section 33 as those provisions existed prior to the amendment thereof by the Deposit-taking Institutions Amendment Act, 1993; and
- (ii) any such reference in section 10(1)(w) of the Income Tax Act, 1962, to a deposit-taking institution shall be so construed as a reference to a bank which, prior to its registration as such, had been a banking institution (within the meaning of the Banks Act, 1965) that after the commencement of this Act was registered as a deposit-taking institution by virtue of the provisions of section 33 as those provisions existed prior to the amendment thereof by the Deposit-taking Institutions Amendment Act, 1993.

[S. 93 substituted by s. 24 of Act 9/93]

94. Amendment of section 3 of Act 61 of 1973, as amended by section 106 of Act 82 of 1986

Section 3 of the Companies Act is hereby amended by the substitution for paragraph (b) of subsection (1) of the following paragraph:

“(b) with reference to any company or external company or society which is subject to the provisions of any law relating to [banks or] insurance companies or societies in so far as those provisions are inconsistent with the provisions of this Act; or”.

95. Repeal of laws, and savings

- (1) Subject to the provisions of subsection (2), the laws specified in the Schedule are hereby repealed to the extent set out in the

third column of the Schedule.

- (2) Any regulation made, direction, order or directive issued, request made or requirement laid down, and any other thing done under any provision of any law repealed by subsection (1), and which could be made, issued, laid down or done under a provision of this Act, shall be deemed to have been made, issued, laid down or done under the lastmentioned provision.

96. Short title

This Act shall be called the Banks Act, 1990.

[S. 96 substituted by s. 26 of Act 9/93]

Schedule

LAWS REPEALED

No. and Year of Law	Short Title	Extent of Repeal
Act No. 23 of 1965	Banks Act, 1965	The whole
Act No. 80 of 1969	Financial Institutions Amendment Act, 1969	Section 2
Act No. 23 of 1970	Financial Institutions Amendment Act, 1970	Sections 3, 4, 5 and 6
Act No. 89 of 1972	Revenue Laws Amendment Act, 1972	Section 8
Act No. 91 of 1972	Financial Institutions Amendment Act, 1972	Sections 12 to 17, inclusive
Act No. 67 of 1973	Financial Institutions Amendment Act, 1973	Section 4
Act No. 101 of 1976	Financial Institutions Amendment Act, 1976	Sections 37 to 53, inclusive
Act No. 94 of 1977	Financial Institutions Amendment Act, 1977	Sections 17 to 21, inclusive
Act No. 80 of 1978	Financial Institutions Amendment Act, 1978	Sections 18 to 21, inclusive
Act No. 103 of 1979	Financial Institutions Amendment Act, 1979	Sections 27 to 31, inclusive
Act No. 99 of 1980	Financial Institutions Amendment Act, 1980	Sections 45 to 49, inclusive
Act No. 36 of 1981	Financial Institutions Amendment Act, 1981	Sections 23 to 25, inclusive
Act No. 82 of 1982	Financial Institutions Amendment Act, 1982	Sections 16 and 17
Act No. 86 of 1984	Financial Institutions Amendment Act, 1984	Sections 22 to 33, inclusive
Act No. 106 of 1985	Financial Institutions Amendment Act, 1985	Sections 10 to 36, inclusive
Act No. 82 of 1986	Building Societies Act, 1986	The whole
Act No. 6 of 1987	Financial Institutions Amendment Act, 1987	Sections 3 to 7, inclusive, and 10 to 12, inclusive
Act No. 96 of 1988	South African Reserve Bank, Banking Institutions, Mutual Building Societies and Building Societies Amendment Act, 1988	Sections 2 to 16, inclusive, and 32 to 51, inclusive
Act No. 13 of 1989	Banking Institutions, Mutual Building Societies and Building Societies Amendment Act, 1989	Sections 1 to 6, inclusive, and 11 to 14, inclusive